IMFA (IMFA)

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The Listing Department
National Stock Exchange of India Ltd.
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Bandra (E)
Mumbai-400051
Stock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir/ Madam, 2nd August, 2023
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 27th July, 2023 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2023 is attached herewith .
You are requested to take the same on record.
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CFO & C MPANY SECRETARY
Membership No: F3526
Encl : As above.

"Indian Metals & Ferro Alloys Limited Q1 FY24
Earnings Conference Call"

July 27, 2023

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ANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL
OFFICER AND COMPANY SECRETARY
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING
OFFICER
MR. DEEPAK KUMAR MOHANTY – HEAD, FERRO
ALLOYS BUSINESS UNIT
MR. BINOY AGARWALLA – HEAD, POWER BUSINESS
UNIT
MR. SANDEEP B. NARADE – HEAD, MINING BUSINESS

UNIT
MODERATOR : MR. ARYAN PREM RANA – VERITAS REPUTATION PR
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Indian Metals & Ferro Alloys Limited arranged by Veritas Reputation.
At this moment, all participants' lines are in the listen -only mode. Later, we will conduct a question & answer session. At that time, if you have a question, please press "*" and "1" on your touch- tone keypad. Please note that this conference is being recorded.
I hand the conference over to Mr. Aryan Rana from Veritas Repu tation. Over to you, sir.
Aryan Prem Rana: Good morning ladies and gentlemen. Thank you for joining us today on this Earnings Conference Call of IMFA (Indian Metals & Ferro Alloys Limited). I am Aryan Rana from Veritas and I am delighted to be your host fo r this session today. We have some exciting updates to share with you as we present and discuss the financial results for the quarter ended 30th June, 2023. I am pleased to inform you that IMFA's market valuation has reached a significant milestone nearing Rs. 2,000 crores up from Rs. 1,500 crores since our last earnings call in May this year. This accomplishment underscores IMFA's position as India's leading fully integrated manufacturer of quality ferrochrome in the metals and mining industry. We have alr eady shared the results with you and they are accessible on our company website and the stock exchanges.
However, I would like to remind you that our discussion may include forward-looking statements that are subject to known or unknown risks, uncertaintie s, and other factors.
To provide you a comprehensive overview of our Q1 performance and address your queries, we are privileged to have esteemed members of our management team present today. Let me welcome Mr. Prem Khandelwal – CFO & Company Secretary; Mr. Bijayananda Mohapatra – Chief Operating Officer; Mr. Deepak Mohanty – Head, Ferro Alloys Business Unit; Mr. Binoy Agarwalla – Head, Power Business Unit; and Mr. Sandeep B. Narade – Head, Mining Business Unit.
Now we will begin with a brief summary of our Q1 performance for the quarter ended 30th June 2023, following which we'll open the floor for a Q&A session where you will have the opportunity to interact directly with our management team.
Without further ado, I now hand over the call to Mr. Prem Khande lwal, our CFO and Company Secretary, to take us through the financial highlights. Over to you, sir.
Prem Khandelwal: Good morning ladies and gentlemen. Financial results as expected for Q1 is much better than Q4 of last year with EBITDA of Rs. 183 crores c ompared to Rs. 143 crores in the Q4 of last year and PAT of Rs. 110 crores compared to Rs. 64 crores. Production and sales numbers; Production for the quarter Q1 FY24 was 66,261 tonnes as compared to 61,200 tonnes in the previous quarter, i.e., Q4 of FY23. Sales is around 64,695 tonnes compared to 57,362 tonnes. And prime realization was Rs. 1,15,825 per tonne as compared to Rs. 1,16,558 per tonne. EBITDA cost for

the quarter was Rs. 81,044 as compared to Rs. 86,686. With that, we can now start the Q& A session to address your queries.
Moderator: Ladies and gentlemen, we will now begin the question & answer session. We will wait for a moment while the question queue assembles.
The first question is from the line of Shubham Agarwal from Aequitas Investments. Please go ahead.
Shubham Agarwal: This is Shubham from Aequitas. Sir, my first question is related to the realization. Since June, we have seen some decrease in realization of ferrochrome. How is it currently trending and how is it expected for the next 3 to 6 months?
Deepak Kumar Mohanty: Actually, the present market scenario is subdued due to the demand issue and it has already gone down. Compared to the last quarter, it will be 5 to 6 cents

down certainly. Already it is below
$1. But we can't predict beyond this quarter because a lot of variability is there in the market.
Basically, how it will pan out in China, it all depends on that, they being the major producer and consumer. But considering the cost pressure on the producing side production and all, things are going to look up. And as you must be aware, the Chinese government has already started taking a lot of steps to revive the demand, particularly interest rate lowering, lending rate lowering, and easing out mortgage rul es for the people to buy houses and all. With all those things, probably next quarter will go but nothing can be predicted.
Shubham Agarwal: But for the next quarter, we can expect a slight decrease in average realization compared to this

quarter?
Deepak K umar Mohanty: Absolutely.
Prem Khandelwal: We can expect a little low realization and the cost is also going down.
Deepak Kumar Mohanty: Yes.
Shubham Agarwal: My next question was on cost only. You mentioned that Rs. 81,000 was the cost per tonne, almost.
Prem Khandelwal: Yes, EBITDA cost.
Shubham Agarwal: How much can we expect this to decline?
Prem Khandelwal: Difficult to predict, but I think it can go down by another Rs. 2,000 to Rs. 3,000 a tonne because the coke cost is coming down. Recently we have p rocured coke at $316 which used to be $480 earlier. Coke cost is coming down. Coal cost has already come down quite a lot. If this price

realization goes down a little bit, the cost will also come down. Maybe we would be able to maintain the margins.
Shubh am Agarwal: When it comes to cost, both coal and coke costs, as you rightly mentioned, are coming down. But now, given that it has stabilized to some extent, once we have consumed all our inventory of the last 3 -4 months, what is the average cost per tonne that we can stabilize at?
Prem Khandelwal: You need to understand the coke inventory whatever we are buying, that will be used, say, after 3 months or 6 months. As of now, in the current quarter, we are using high cost inventory of $475, which will gradua lly go down to, say, $400, then $350, then $300. So, very difficult to pinpoint the cost as such – total cost, EBITDA cost, but gradually it will come down.
Shubham Agarwal: I understand that. What I am trying to understand is, given that coke cost is clos e to $300 and coal cost has also gone down substantially, if we take the current prices of cok e and coal, what should be our cost of production? I am asking hypothetically.
Prem Khandelwal: We need to work out because if we take $300…. Right now, the Rs. 81,000 cost whatever mentioned, it is taking care of $475 coke. If you take $320, that kind of saving would be there. We can't predict the reduction in coal cost, but coke cost at which we can predict.
Shubham Agarwal: So, it can go down as low as Rs. 70,000 to Rs. 75,000 per tonne, right? In the current prices?
Prem Khandelwal: Maybe around Rs. 75,000, not below that. If you take coke cost $120, that would be roughly what? Rs. 9,000 a tonne and we use half a tonne per tonne of ferrochrome. So, Rs. 5,00 0 reduction can be there.
Shubham Agarwal: Lastly, sir, on the money that we are expected to receive on the Utkal coal, what is the current status on that?
Prem Khandelwal: Current status is that they had issued a notice to secured creditors and 30 days ti me was there which expired on 19th of July. And they had asked for valuation report from IDCO which has already been given to them. Now I think it's a matter of time. Can't predict the exact timeline, but it should come sooner now.
Shubham Agarwal: Recent ly, there was an article which said that a lot of the coal recently which has been auctioned, the companies are finding it difficult to raise financing for those blocks. Is this a reason why things are getting delayed for us?
Prem Khandelwal: No, that cann ot be a reason for this because this is being done by nominated authority at Government of India, Ministry of Coal level. It has nothing to do with the company's performance or company's handling of the block.

Shubham Agarwal: And lastly, my question was, recently FACOR came out with an announcement that from 15th July, they will stop production. How does this help us in realization or supply demand scenario?
Deepak Kumar Mohanty: No, I don't think it will affect because they mostly produce very less quanti ty and sell in domestic while our major focus is on export. Only thing is demand has also come down in India which has to go up, with that only. The domestic prices also have come down. So, that will more or less increase. But the main thing is China. Unle ss China revives, sentiments cannot go up and prices moving up will be difficult.
Moderator: The next question is from the line of Mr. Saket Kapoor from Kapoor & Company. Please go ahead.
Saket Kapoor: Sir, if you could mention, what was our coke consumpti on rate for Q4? i.e., the March quarter and Q1, and the likely for Q2?
Prem Khandelwal: Coke consumption cost or the buying price you're asking, Saket?
Saket Kapoor: Consumption cost.
Prem Khandelwal: Consumption cost for Q4 was Rs. 47,800 and for Q1 it wa s Rs. 42,500.
Saket Kapoor: And what is it likely for Q2?
Deepak Kumar Mohanty: It will be around Rs. 1,000 lower than the Q1.

Saket Kapoor: And what will be the coal math look like for Q1 versus Q2?
Prem Khandelwal: The coal cost you are talking about?
Saket Kapoor: Yes, sir, the coal cost.
Prem Khandelwal: Coal cost for Q1 was Rs. 2.80 as compared to Rs. 3.01 in Q4.
Saket Kapoor: And Q2, sir, what should be the trajectory?
Prem Khandelwal: It should be more or less the same.
Saket Kapoor: The coal we are using only for the electricity generation?
Prem Khandelwal: Yes.
Saket Kapoor: So, this Rs. 2.80 would be the cost for Q2 also?

Prem Khandelwal: More or less likely to be the same.
Saket Kapoor: And for Q2, sir, how are the deliverables likely? And secondly, sir, for Posco, now things are normal as has been the case with Q1. Whatever the committed quantity shipment goes to them on a quarter basis, I think 7,000 tonnes, that is what it is being maintained at now?
Deepak Kumar Mohanty: Yes, it is maintain ed at 21,000 level for Q3 – this quarter, running quarter. We finalize on a quarterly basis. So, it has been finalized.
Saket Kapoor: Once again if you could give the sales mix between the contracted one and the spot sales that we do on a ….
Deepak Kumar Mo hanty: 65% is basically all long -term you can say , 35% is on spot basis.
Saket Kapoor: And for this quarter, sir, how much is the realization down from Q1 for the contracted price?
Prem Khandelwal: Saket, giving the number would be very difficult at the mo ment because we will come to know after the end of the quarter only. But the overall trend seems to be a little moderate than Q1. So is the cost also.
Saket Kapoor: EBITDA per tonne what you mentioned, sir, if you could repeat?
Prem Khandelwal: EBITDA per tonne Rs. 81,044.
Saket Kapoor: And this is what the trajectory is likely for this quarter or is it difficult to tell at this point of time?
Prem Khandelwal: Yes, it is difficult to tell at this point of time.
Saket Kapoor: In June and July, has this only been the average or the trending is lower?
Prem Khandelwal: We are giving you the quarterly figure. This is for Q1, Rs. 81,044.
Moderator: The next question is from the line of Mr. Aashav Patel from Molecule Ventures PMS. Please go ahead.
Aashav P atel: My question is, sir, as you explained in detail that the coal cost is likely expected to be simila

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to the Q1 for Q2 as well. And similarly, coking coal is expected to be down by only Rs. 1,000 per tonne. Then, how do you expect the operating cost to come down by around Rs. 3,000 per tonne?
Prem Khandelwal: For Q2, I have not mentioned Rs. 3,000 a tonne. This is for the entire year we are predicting the coke cost by Rs. 5,000 a tonne, not for the Q2 or Q3.

Aashav Patel: And what would be our blended coking coal cost on our inventories?
Deepak Kumar Mohanty: In the last quarter, it was around $455 to $460 because we use some quantity of other coke and other things and which will go down by as we have mentioned, it will be something like $440. It is not going to come down drastically because we have booked; so, that will come, and the effect of that comes after 2 quarters only. Because what we have booked now, that will come towards the middle of December because by September end, it will be dispatched from Columbia, then it will be voyage time, then clearance and movement and the actual usage if you say, it will be 2 quarters away from now.
Aashav Patel: Sir, even assuming that our operating cost comes down a bit for Q2, given that there has been volatility in the realization for ferrochrome, can we expect on absolute EBITDA terms Q2 to be somewhat softer compared to Q1 even if the margins remain the same?
Prem Khandelwal: It could be a little softer than Q2. But we are repeating this point again and again that in our company, one should not look at the quarterly basis. It's a long -term p lay. So, you need to see on the yearly and 3-year and 5 -year basis because quarterly is very difficult. We got so many fluctuations. The price fluctuation is so much, it is very difficult to predict anything for a quarter.
Aashav Patel: As you mentioned that nominated authority has already given the valuation report, can you please mention what is the valuation decided by the independent authority regarding our coal block regarding Utkal C?
Prem Khandelwal: No, we don't have the number, but we understand that whatever we have invested, we are going to get back the money. There may not be any write -off.
Aashav Patel: And sir, what would be our power cost for Q1?
Prem Khandelwal: Variable cost for Q1 is Rs. 4.
Aashav Patel: And versus Q4?

Prem Khandelwal: Q4 it was Rs. 4.26.
Aashav Patel: And it is expected to remain Rs. 4 only even in Q2, right?
Binoy Agarwalla: In Q2, the variable cost may go up by 15 paise just because we have scheduled some planned maintenance in Q2.
Aashav Patel: Sir, given the global scenario of ferrochrome prices, given that Chinese chrome ore inventory of UG2 are at record high over the last 7 -8 years and given that South Africa may also face a challenge because of the ongoing winter season, how do you expect the ferrochrome realizations

to pan out? I understand in the near future, the realizations are down by around Rs. 15,000 per tonne. But how do you expect the trajectory going forward?
Deepak Kumar Mohanty: First of all, the Chinese inventory of UG2 chrome or e is not record high. It is around 2 million tonnes which is record low, mainly because of the volatility in the market and demand pickup is not there. But once it pans out because of the Chinese government intervention and also as you know Europe already it is summer vacation and all and a lot of people because of the demand and supply not in tandem, some steel mills have taken maintenance schedules and other things, we expect first the demand and supply need to be in tandem. Then only, the price movement will up because this is not a sustainable price.
Aashav Patel: Do you think that at current realization, given the ore cost, the players which are not integrated globally, they might be just making a single digit margin much lower than the usual?
Deepak Ku mar Mohanty: Yes, absolutely correct. And even in the domestic if you look at the last OMC auction, there the prices are rising by Rs. 2,000 to Rs. 3,000 in different categories. So, chrome ore price in domestic OMC auction also has gone up. So, this is putting cost pressure for everybody. Because, we are integrated with a little leeway and the re is the davantage. But otherwise, the present price is not sustainable for a non-integrated producer.
Aashav Patel: And given the low ore inventori es in China, any price rise is expected to sustain? Is it correct understanding – ferrochrome price rises are expected to be structurally sustaining?
Deepak Kumar Mohanty: It is always expected and government interventions are going on. As I was telling, t heir interest rates have been decreased twice and the mortgage rules have been slackened so that people will go for investment in housing. All those things are going on and further steps also the Chinese government is working out. With all those things, I see a positive scenario ahead, but it may take a little time.
Moderator: The next question is from the line of Mr. Kaushal Kedia from Wallfort PMS. Please go ahead.
Kaushal Kedia: Sir, just wanted to understand, our 90% is exports, right?
Deepak Kumar Moha nty: Yes.
Kaushal Kedia: And 10% is domestic?
Prem Khandelwal: Correct.
Kaushal Kedia: I just wanted to get a sense of how much are we supplying to Jindal Stainless approximately, if possible to give that breakup?

Deepak Kumar Mohanty: Jindal stainless we are not supplying anything, to be very frank. They used to take quite a bit quantity earlier. But as you know, they also have ferrochrome production capability and they are buying and they are also doing some tolling through Tatas and other producer s. So, they don't require ferrochrome. They are not buying from us any material at the moment. Because, mostly they were taking for Hisar production where they have reduced the capacity; not doing, but rather they are getting billets and other things and then basically other grades they are making. So, they don't require at the moment. We are not supplying any quantity to them at this point of time.
Kaushal Kedia: Sir, I just wanted to get a sense that can the share of domestic go up in the near future wit h the export volume staying at the same levels?
Deepak Kumar Mohanty: Because already we are tied up, as we are telling 65% and other 35% is there. So, wherever it will be viable, we go for that. Unless our additional capacity comes up, which is ahead in ' 25, till then, we don't see much unless the market scenario, that 35% what will play depending upon the market scenario.
Kaushal Kedia: No, I didn't understand, sorry. 35% of what?
Deepak Kumar Mohanty: As I have mentioned earlier, our contracted or long -term supplies are almost 65%. And balance 35%, we sell on spot basis in which something in Europe, something China, something other places. There is no more scope at this juncture.
Kaushal Kedia: The capacity ramp up will happen by 2025. Most of the c apacity will be used for domestic. Is that what you are saying?
Prem Khandelwal: No, that is not what he is saying. We are supplying around 10% in the Indian market till now. Going forward also, I think it is going to be more or less the same.

Kaushal Kedi a: Because of the Indian infrastructure push and as you can see, there is demand for massive stainless capacities. Even Jindal Stainless declared the results yesterday; their volumes are up quite a bit. I am just trying to get a sense about how much we can contribute or how much will we benefit from this infrastructure demand?
Prem Khandelwal: In the Indian market, I don't think there is any expansion in the stainless steel sector. Unless the stainless steel as a sector expands, we cannot cater to the

Indian market here because the consumption of ferrochrome is in stainless steel. In India, I don't think in the near future, any expansion is going to happen.
Kaushal Kedia: But if you see, Jindal Stainless volumes are going up. Yesterday in their results year on year if you see, there is an increase.
Prem Khandelwal: I don't know about that, but their capacity utilization may have gone up. But are they going for any expansion? I don't know.

Kaushal Kedia: So, you are not seeing any major tailwinds from the domestic? No increased inquiries or something like that?
Prem Khandelwal: No.
Moderator: Our next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: If I heard you correctly, then you said the domestic demand is quite subdued right now. Correct? You are facing some headwinds over there.
Prem Khandelwal: Yes.
Rahil Shah: You also said quarter on quarter, it is difficult to forecast anything. But then on a yearly basis, do you think the exports which is your majority of the business, that will be more than sufficient to capture a good growth for the year? Do you have any targets and expectations of what will be your revenue and margins at the end of FY24? If you can help me with that?
Prem Khandelwal: FY24 is more or less li kely to remain the same as FY23 with top line EBITDA and PAT more or less likely to remain the same.
Rahil Shah: What's the reason behind this? Because if the exports is doing well, then is it not expected to grow further?
Prem Khandelwal: The price realization is coming down, so is the cost. So, we are likely to maintain the margins. But if the price goes up, then obviously the margins will improve further and the top line and bottom line both will improve. But it all depends. It is very difficult to predict anything at the moment.
Rahil Shah: Because of the fluctuations?
Prem Khandelwal: Yes.
Moderator: The next question is from the line of Manish Sehgal, an individual investor. Please go ahead.
Manish Sehgal: Sir, I just wanted to understand we have raised about 1 lakh tonne extra chrome ore. What are we going to do with that? And secondly, is there a shipment which has slipped into the next quarter this time also because there was one which had slipped to this quarter and I see sales are lesser than production again. So, I just wanted to get those 2 inputs.
Sandeep B. Narade: In Q1, we have produced more from the Sukinda open cast. It was an opportunity because the monsoon was delayed by 8 to 10 days. So, we encashed that opportunity. But now, the m onsoon has started and we may produce as per our budget this quarter. All that ore, because we are

producing limited capacity throughout the year, will be consumed in our ferrochrome plants as per the plan.
Deepak Kumar Mohanty: Second question was on what exactly?
Manish Sehgal: Shipment slipping into this quarter.
Deepak Kumar Mohanty: No, actually there is no shipment delay which has come to this quarter. It was not there. Minor, maybe 1,000 tonnes or something, but it is not major. This will be purely t his quarter's production mostly .
Manish Sehgal: But if we see the last 2 quarters, the production is higher than the sales. So, we will have some inventory left over, right?
Deepak Kumar Mohanty: We have some inventory of different ma terials which we are liquidating also. But our inventory had gone down, particularly at Posco because they were not taking, so which was created and as per our commitment and contract, we need to maintain 1 month's stock at Pohang , in our warehouse. That is why at that point in time it was lower, but now it is all stabilized in the normal inventory level. We don't have additional which can be really exported out or sold off.
Manish Sehgal: S

o, we have some inventory sitting with us in the Posco warehouse.
Deepak Kumar Mohanty: Yes, which was taken out because of the Posco's force majeure thing. But again, we had to bring back that after they resumed from January second half.
Manish Sehgal: Is there an opportunity to sell chrome ore outside if we have the opportunity to raise more in case of what we raise more than what we need? Are we allowed to sell outside given we had options
Prem Khandelwal: Manish, normally we don't do that because we plan the raising as per our requirement only.
Manish Sehgal: If we are able to do 2.5 lakh again, then we have an opportunity to sell outside which is quite ….
Prem Khandelwal: But this inventory, whatever extra inventory we have raised now, that will be used in the rainy season when there is not going to be any Ore production at that time. Overall for a year, we plan as per our requirement only.
Moderator: The next question is f rom the line of Sagar Gandhi from Future Generali India Life Insurance. Please go ahead.
Sagar Gandhi: Sir, if you can please repeat the Q1 and Q4 sales volume number and realization?

Prem Khandelwal: Q1 is 64,695 tonnes and Q4 is 57,362 tonnes. Prim e realization for Q1 is Rs. 1,15,825. And for Q4, it was Rs. 1,16,558.
Moderator: The next question is from the line of Anant Mundra from Mytemple Capital. Please go ahead.
Anant Mundra: Sir, for the expansion project at Kalinganagar, how are we planning t o meet the energy requirements for the plant? Would it be 100% hybrid renewable or will it be a mix of hybrid renewable and thermal?
Bijayananda Mohapatra: For Kalinganagar, actually we require around 56 to 58 megawatt. We are putting one gas plant there, which we will be using the CO gas generated from our furnace because we are going to set up a closed furnace. The rest, 50 megawatt, we will go for around 60% from hybrid and 40% from our thermal plant at Choudwar.
Anant Mundra: So, there will be no new thermal plant? It will be the existing….
Bijayananda Mohapatra: No, we are not going to set up any new thermal because the government is coming up with renewable energy obligation.
Moderator: The next question is from the line of Chirag Singhal from First Wa ter Capital. Please go ahead.
Chirag Singhal: Sir, I actually wanted to understand on your coking coal cost. You mentioned that the consumption cost was around $450. Now, when I look at the Australia -origin hard coking coal prices, I am just not able to figure out how our prices are so higher despite the correction has been very steep in the last couple of months. Even if I take the second half average price of FY23, the Australia -origin hard coking coal price was sub $350. Is this the right comparison to look at the Australia hard coking coal price? Can you just throw some light on this?
Deepak Kumar Mohanty: First of all, this hard coking coal, what price you are telling $350, yes, it is correct; $350, $330, and all those things, that is coking coal. But w e are not using coking coal; we are using coke. When you convert coking coal to coke, then there is a 70% recovery all those things for which prices normally go up. And second thing, we don't buy coke or coal from Australia. We buy Colombian coke which is low cost which is our requirement, ultra low cost. That basically depending upon the demand scenario situation, prices move up and down. And the thing I was telling that what we finalize now normally is used after 2 quarters because what we finalize now, that comes after around 2 months later. Shipment happens from Colombia and it takes 45 to 50 days to arrive in India. Then discharging, moving to plant, and actual usage in that month. That way if you look at, it becomes 2 quarters. That is why I told, at t he moment, our coke cost is high and it will go down in Q3 and Q4. Is it okay or anything

you want to know
Chirag Singhal: I got your point. Are you contemplating any different strategies in order to reduce this 6 months lag that we are currently having? Or is this something that we will have to work with?

Deepak Kumar Mohanty: This is what we have to work with because domestically, we don't get ultra low cost coke which we require, and also Australia or China. That is why we need to work in this m anner.
Chirag Singhal: And just to confirm on the cost per tonne based on the current prices, you mentioned that considering the current cost of coal and coke, the cost of production should be somewhere around Rs. 75,000 per tonne which was Rs. 81,000 per tonne. Is that correct?
Prem Khandelwal: No, that is for the year, I told. Maybe for the year it will come down.
Chirag Singhal: I am not talking about Q2. I am just talking about if you consider the current prices of both the thermal coal that you use in your power plant and the coke. If you take the current prices, then the cost should be around Rs. 75,000 per tonne. Is that right?
Prem Khandelwal: Yes.
Chirag Singhal: Just one last question on the volume side. Are we expecting similar volumes as FY23 even for the current

fiscal?
Deepak Kumar Mohanty: Yes, we are targeting 250,000 levels. So, the same level or maybe a little more than the FY23. It will be around 250,000 tonnes in volume.
Moderator: The next question is from the line of Akhilesh Bagri, an i ndividual investor. Please go ahead.
Akhilesh Bagri: Sir, I just want to confirm around which quarter will the new capacity come online, of which financial year?
Bijayananda Mohapatra: That will come one by one. We are targeting to 2025 April and another is around 2 to 3 months after stabilization of number 1.
Akhilesh Bagri: And will it be 50:50 thousand or how will it be?
Bijayananda Mohapatra: Yes, each capacity is 50,000. There will be 2 furnaces. Each furnace has a capacity of production of 50,000.
Akhilesh Bagri: And sir, what will be our strategy in terms of selling this? Is it also going to be like two -third contracted, one -third spot, or have you thought something on that?
Bijayananda Mohapatra: Mostly it will be in that line. However, we need to s ee how is the market and other things; where it will be. All those things are dynamic. Can be told at the right moment. But we have opportunities because of our performance in the international market with many companies – steel mills and all – direct ly. So, we have the opportunity to increase also the long -term quantity at different places.

Akhilesh Bagri: Basically, we don't see any challenge in placing this quantity once it comes online?
Bijayananda Mohapatra: Yes.
Akhilesh Bagri: And sir, what kind of peak debt would we perhaps have in order to fully fund this expansion? Because we will have a lot of cash flow generation in the next 2 years. Also, maybe money will come from Utkal. Just your thoughts on what might be the peak debt?
Prem Khandelwal: No, as of now, we are planning all from internal accruals only. We are not planning to raise any debt.
Akhilesh Bagri: We may be for the long -term debt -free ?
Prem Khandelwal: Yes, this investment is spread over a period of 6-7 years. We expect enough cash flow to generate during that period to meet the requirement. As of now, we have not planned any debt raising for the expansion.
Moderator: The next question is from the line of Joshua from Seven Seas. Please go ahead.
Joe Shah: Prem, this is regarding Utkal C. I understand that Utkal C compensation is not 1 + 1 = 2. For land investment from 2014, we are entitled to 12% interest rate per year. It means suppose the compensation payment is delayed, we continue to earn interest on the land investment. So, d o you expect fina

l compensation to be more than our investment in Utkal C of about Rs. 350 crores to Rs. 375 crores?
Prem Khandelwal: No, that is difficult to predict Jo e Bhai because there are many components they are going to disallow also. So, maybe wha tever interest we are going to get, that will compensate for the disallowance portion. That's why I said that we expect the investment amount to be recovered more or less. We don't expect any write-offs.
Joe Shah: Can we expect more also? Is it possible?
Prem Khandelwal: No, that is difficult to predict.
Joe Shaha : But there is a possibility also, right? Because of the delay, we earn more interest also.
Prem Khandelwal: Yes, but that interest meter is stopped from October last year because af ter the vesting order they have issued , the interest portion is not accruing anymore.
Joe Shaha : Deepak, one question for you. Yesterday, MD mentioned that in 5 to 6 years, we plan to raise the ore capacity to 10.5 lakh tonnes of chrome ore and our new furnace capacity will be commensurate with the ore raising. Looking at the new Kalinga capacity of 1 lakh tonnes, I think

there is still scope to have a furnace of another 70,000 to 80,000 tonnes. Next project after this 1 lakh tonne capacities are achieved, we can have one more furnace, one more project?
Bijayananda Mohapatra: Actually these are mining exploration s. After 5 years, we are going for underground mining. From there, we will go up to 10.5. Initially, we are putting 1 lakh tonnes for which around 2.5 lakh tonnes is required. That we are building up now. After 5-6 years towards 2028-29, we will go for another set of ore acquisition. At that time, we will think.
Moderator: The next question is from the line of Mr. Saket Kapoor from Kapoor & Company. Please go ahead.
Saket Kapoor: Prem sir, I missed your comment. You mentioned that FY24 profitability will be in the similar line to what FY23. Did you comment something like this?
Prem Khandelwal: Yes.
Saket Kapoor: Because, when we look at the last year's performance, the PBT numbers were at Rs. 340 crores

and we have done PBT of Rs. 150 crores for the first quarter itself. This means that we are
indicating or we are anticipating lower numbers for the coming 3 quarters that will themselves
be cumulative to closer to Rs. 340 crores.
Prem Khandelwal: As I said, Saket, in our company, projecting the quarterly numbers is very difficult. We need to
see it on a yearly basis only. That's why I said that looking at the current price trend and the cost
trend, we expect the profit margins to remain the same for the current year also compared to l ast
year. Quarter on quarter predicting is very difficult.
Saket Kapoor: But that is pointing towards if we have the first quarter as a heavy quarter and we are predicting that we will be
closer to last year's number, that means that the trend is going to be lower for the remaining 3 quarters.
Prem Khandelwal: That is for you to extrapolate.
Saket Kapoor: How are the shipping costs currently trending, sir?
Deepak Kumar Mohanty: Shipping costs have come down because as already I have told, demand is not there. It has come
down to the earlier normal scenario and it is continuing. Not much difference. It is not at high
like earlier. It is more or less stable and range bound.
Saket Kapoor: And 2 last questions. Firstly sir, what are the key factors that have enabled us for this kind of
expansion? We have been able to repay our debt. We don't have any long -term debt currently
and also the Utkal C litigation is coming to an amicable solution in our favor as of now. Barring
these, what has resulted in us committ ing CAPEX for the expansion wherein we have so many
variable factors pertaining to the offtake and pertaining to the realization? Barring the chrome

ore which is the key raw material, the other factors are not in our hands. So, what has led to this
commitm ent of around Rs. 1,500 crore CAPEX over 5 to 7 years down the line? If you could
elaborate on the same?
Prem Khandelwal: You mean to say we should not expand?
Saket Kapoor: No, I am not. I am only trying to understand….
Prem Khandelwal: If we have to expand, then we have to put up furnaces also because we are expanding our chrome
ore facility. We are expecting more ore from the underground mines. That's why we are putting
up more furnaces also. And the biggest strength in our company is that we are fully i ntegrated.
So, at any point of time, we are going to make money. Even at the bottom of the curve, we are
going to make money. So, why should we not expand?
Saket Kapoor: But these factors were there for us 2 years earlier also or 3 years earlier also.
Prem Khandelwal: But at that time, we were debt heavy. We were not in a position to raise further debt. Now we
are debt -free and the situation is much better compared to COVID years now.
Saket Kapoor: Currently, what is our working capital requirement and the cost of funds there?
Prem Khandelwal: As of now, on a net debt basis, we are almost at a zero level. So, not much requirement at the
moment.
Moderator: The next question is from the line of Joshua from Seven Seas. Please go ahead.
Joe Shaha : Binoy, will you please confirm my understanding regarding the Kalinga expansion project? Our
power requirement is 58 megawatt, out of which 40% will be coming from our captive thermal
plant and 60% by way of renewable energy. Is it right?
Binoy Agarwalla: Yes.
Moderator: Ladies and gentlemen, this was the last question for the day. I now hand the conference over to
Mr. Abhishek for the closing comments.
Abhishek: Thank you everyone for joining us today on this conference call. We have had the opportunity
to share our exciting plans for IMFA's future growth and we are truly optimistic about the year
that lies ahead. On behalf of the company's Board of Directors and management, I extend our
heartfelt gratitude to each one of you for your active participation in this call. Your interests and
questions have been invaluable to us. If you have any further inquiries or require additional information, please feel free to
reach out to us or to my colleague at
aryan.rana@veritasreputation.com. We are always available to address any queries you may

have. Thank you once again for being a part of this conference call and we look forward for a
promising future and continue to grow ahead. Thank you, and have a great day ahead.
Moderator: On behalf of Veritas Reputation Private Limited, that concludes this conference. Thank you for
joining us and you may now disconnect your lines.

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

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The Listing Department
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Exchange Plaza
Plot No.C/1, G. Block
Bandra-Kurla Complex
Sandra (E)
Mumbai-400051
Stock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcr ipts
Dear Sir/ Madam, 7th February, 2024
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company 's Investor / Analyst Call held on 31st January, 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December , 2023 is attached herewith.
You are requested to take the same on record.
Thanking you
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PANY SECRETAR Y
Membership No: F3526
Encl : As above.

“Indian Metals & Ferro Alloys Limited
Q3 FY '2 4 Earnings Conference Call ”
January 31, 202 4

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL OFFICER AND COMPANY SECRETARY – INDIAN METALS & FERRO ALLOYS LIMITED
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING OFFICER – INDIAN METALS & FERRO ALLOYS LIMITED
MR. DEEPAK MOHANTY – HEAD OF FERRO ALLOYS BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE – HEAD, MINES BUSINESS

UNIT – INDIAN METALS & FERRO ALLOYS LIMITED

MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Moderator: Ladies and gentlemen, good day , and welcome to the Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation. At this moment, all participant lines are in the listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, you may please press star and one on your touch tone keypad. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.
Aryan Rana: Thank you, Liza nn. Good evening, everyone. We warmly welcome and express our gratitude to each one of you for being a part of today's Earnings Conference Call for Indian Metal s and Ferro Alloys Limited.
I'm Aryan Rana, your host for this session, and it brings me great joy to guide you through the proceedings as we analyse the financial results for the quarter concluding on December 31st, 2023. We 're delighted to announce that IMFA s Market Valuation has witnessed an impressive surge of nearly 103% in the past 10 months, crossing the INR3, 000 growth market capitalization milestone. IMFA s Market Valuation currently stands at approximately INR 3,548 crores.
This achievement, despite external challenges, solidifies IMFA s position as India 's foremost fully integrated manufacturer of superior ferrochrome in the metal and mining industry. While the detailed financial results are available on our company website and stock exchanges, it 's essential to note that our discussion may include forward-looking statements contingent upon known and unforeseen risks and uncertainties and various factors. So, for a comprehensive overview of our Q3 financial performance and address any queries you may have, we are honoured to have esteemed members of our management team present today.
I welcome Mr. Prem Khandelwal, our CFO and Company Secretary ; Mr. Bijayananda Mohapatra , our Chief Operating Officer ; Mr. Deepak Mohanty, overseeing the Ferroalloys Business Unit ; Mr. Binoy Agarwalla , heading the Power Business Unit ; and Mr. Sandeep B. Narade, in charge of the Mining Business Unit.
Without further delay, I now hand over the call to Mr. Prem Khandelwal, our CFO and Company Secretary, to guide us through the financial highlight s. Over to you, sir. Thank you.
Prem Khandelwal: Thank you, Aryan. Good evening, ladies and gentlemen. I welcome you all to this Q3 FY '24 Earnings Call of the Company. Third quarter years have been excellent, as you might have seen, especially if you compare it from the corresponding quarter of previous year.
Although sales has gone up by 10 % from INR614 crores to INR675 crores , the profit has gone up by tenfold from INR 10 crores to INR108 crores . The primary reason for this increase is the higher realization and lower cost. The sales realization has gone up from 93,000 to 1,03,000 in the corresponding quarter, and costs have gone down from INR 80,000 to INR 72,000.
Rest, all the figures are in public domain already through our press release , so I will not delve into those, and we can start the Q&A session now. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and -answer session. The first question is from the line of Kaushal Kedia from Wallfort. Please go ahead.
Kaushal Kedia : Hi. Thank you for taking my question. Sir, on the capex , I just want to understand, the capex is on track, and how are we going to go about the capex on the Chrome Ore Mining Front and the Furnace Front? Can you just explain in a little detail, please?
Prem Khandelwal : Yes, capex front, we are well on time, but the possession of land is getting a little delayed, so we are trying to overcome that. But if we are

not getting the possession within time, then it might get delayed a little bit. But that is not going to suffer the project too much. We will try to contain that delay. And as far as the amount is concerned, the furnace, we are going to spend around INR600 crores. And on mining, we are going to spend around INR 1,000 crores. But this capex is going to be spent over a period of seven years.

Kaushal Kedia : Sir, so the furnace capacity will go up by 33%, right?
Prem Khandelwal : Yes, it will go up by 1 lakh ton . So, from 2,84,000, the capacity will go up to 3,84,000.
Kaushal Kedia : Okay . Sir, and the mining capacity, the commentary by Mr. Panda in the press release, he has said that this year we will cross 6 lakh tons for the first time. So, the mining capacity, we are increasing gradually. Is it so?
Prem Khandelwal : Yes.
Kaushal Kedia : So, the blast furnace, if everything goes...
Prem Khandelwal : Yes, sorry . Please go ahead.
Kaushal Kedia : So, the blast furnace, if everything is on track, I believe the blast furnace will come on track by September '26, correct?
Prem Khandelwal : No, it's September ' 25, not '26.
Kaushal Kedia : Okay . By September 25, okay. If the land procurement is on track?
Prem Khandelwal : Yes.
Kaushal Kedia : Okay . But the mining capacity, that will go up gradually. So, we should see more than 6 lakh tons in FY '24. And by FY '25, that means by March FY '25, how much should we see on the mining front?
Prem Khandelwal : Sandeep, would you answer that?
Sandeep B. Narade: So, in FY '25, we are targeting 7.3 lakh tons of ore.
Kaushal Kedia : This is March '25.

Sandeep B. Narade: FY'25. FY'24, we will be crossing 6 lakh tons , close to 6.7 lakh. And in FY '25, that will be 7.3 lakh.
Kaushal Kedia : So, sir, this excess chrome ore, we are hoping to sell it in the open market then?

Prem Khandelwal : No. We have no plans to sell in the open market. The excess ore, either we'll stock it or we'll look for some alternative to use that ore. But no plan to sell ore in the market.
Kaushal Kedia : Why, sir? Because in the domestic market we can command a good price also, right?

Prem Khandelwal : No, but as a policy, we are not selling ore.
Kaushal Kedia : Okay, sir. Thank you.
Moderator: Thank you. The next question is in the line of Saransh Sethi from Samar Wealth Managers. Please go ahead.
Saransh Sethi: Sir, am I audible?
Moderator: Yes, sir. Please proceed.
Saransh Sethi: Sir, I want to know what are the key drivers behind driving growth and what is the future outlook on demand side?
Prem Khandelwal: Deepak?
Deepak Mohanty: Can you come again once again . I could not -- a little bit of echoing happened while you were speaking. Can you repeat your question?
Saransh Sethi: Yes, sir. Of course. Sir, I want to know what are the key drivers behind revenue growth and what is the future outlook on demand side?
Deepak Mohanty: No, demand outside, let me tell you, as per ISSS, which is the International Stainless Steel Forum. So, they are expecting around 4%, 3.6% growth in stainless steel and conjuctions , okay. So, in that manner, what it was expected for basically calendar year ' 23, it was around 60 million but actually it should be slightly less . But in calendar year ' 24, it is going to exceed 60 million tons . So, which will drive the requirement and all . And as such, we being the integrated producer and long-term kind of our agreement with many people. So, we have also opportunity when our other production comes into line, we have the opportunity to increase in those areas as well as new areas. We are also looking at different kind of products and also to cater to other markets also. So, I don't think as far as -- because demand and the thing is issue is there. So, we do not have any challenges really to enhance our invo

lvement in the global front with the big players where

we have long -term relationships. Considering our consistency in quality and delivery everything, we have enough opportunity to cope up to the additional quantity. Hope I have explained …
Prem Khandelwal: And Saran, as far as the revenue growth is concerned, we are already in the expansion mode and

we are putting up two furnaces in Kalinga Nagar. So, that will increase the capacity by 1 lakh ton. In FY '26, we will see the revenue growth also.
Saransh Sethi: And s ir, secondly, do you have any significant plan for domestic markets?
Prem Khandelwal: Domestic market s as of now -- yes, Deepak, please.
Deepak Mohanty: It is not at the moment, but as it grows, we will be also catering to the domestic market as per the requirement.
Saransh Sethi: Okay, sir. Thank you. That's all.
Prem Khandelwal: Thank you.
Moderator: Thank you. The next question is from the line of Dhviti from Molecule Ventures. Please go ahead.
Dhviti: Hello. Am I audible, sir?
Prem Khandelwal: Yes.
Dhviti: Good afternoon and congratulations on good set of numbers, sir. My first question is on if you could give breakup of cost of production per ton for Q3 FY '24 and EBITDA cost based on the RM prices.
Prem Khandelwal: Our Ferro Chrome cost for Q3 FY '24 is INR 72,000.
Dhviti: Okay.
Prem Khandelwal: And EBITDA cost for Q3 FY'24 is INR 79,000.
Dhviti: Okay. And how do we see that shaping up for Q4 FY '24?
Prem Khandelwal: It is more or less likely to remain same.
Dhviti: Okay. And s ir, what about the power cost for current quarter and the Y -o-Y? So, if you could give a breakup of that.
Prem Khandelwal: Binoy?
Binoy Agarwalla: Sorry, I couldn't get you. You are comparing with Q3 FY '24 versus Q4 FY '24?
Dhviti: Q3 FY' 23 and Q3 FY '24.

Binoy Agarwalla: The power cost Q3 FY '23, it was variable cost was INR 4.77. And Q3 FY '24, the variable cost has come INR 4.30. There is a saving of around 47 paise.
Dhviti: Okay. And so, considering the rise in realizations of Ferrochrome in the past few months, how do we see our Q4 realization? Will it be similar to what we did in Q3? Or how is that standing out?
Prem Khandelwal: Look, Q4 realization will be a little lower, because the price -- the benchmark has come down by $0.09. So, I think there will be some reduction in our price also.
Deepak Mohanty: I would like to add two things also. In addition to that, you know that Chinese New Year and other places like Kutuzov holidays and other things, particularly month of February, non-transaction, normally people don't conclude anything . They do it prior. So, it will be remaining in that level. So, it will be slightly lower with the decrease in long term, this benchmark price.
Dhviti: Okay, sir. And what will be our cost for coal and coke inventory? Has there been some spike in the coke prices? So, when will that be coming in the cost?
Prem Khandelwal: Deepak, coke cost?
Deepak Mohanty: Yes, coke cost, actually it has come down. We are using it somewhere in $ 320 around in that range at the moment. And the prices are going up slowly, because the coking coal prices have also gone up. But our booking is always forward, because we get it from Columbia and it's a long lead time required for that consignment term.
So, our thing will be more or less in the range of the present market scenario, which is around $350 to $360. So, not much change will be there in coke, particularly coke front, which has come down drastically, in fact, from the earlier quarters, which we looked at earlier. In last year, corresponding quarter, it was quite high.
Dhviti: If you could give a number for that, sir?
Deepak Mohanty: So, corresponding year, if you look at the coke price

was something like 47,000 or something,
let me just one minute. It was around 47,000 around, which has come down by around 10,000 now, like 37,000.
Dhviti: Thank you, sir. That's all from my side.
Prem Khandelwal: Right. Thank you.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Yes. Namaskar, sir. Thank you for this opportunity. Sir, firstly, when we look at the numbers on a Q-on-Q basis, our depreciation has gone down from INR26 crores to INR15 crores. So, what explains this, sir?

Prem Khandelwal: We have changed the method, Saket, this time from WDV to SLM. That's why it has gone down from INR27 crores to INR14 crores.
Saket Kapoor: Okay. And now, sir, Q -on-Q, this will be the number going ahead?
Prem Khandelwal: Yes. Now, it is SLM. So, more or less, this is going to be the number going forward.
Saket Kapoor: Sir, why we have adopted this straight line method? What was the reason?
Prem Khandelwal: We had appointed a consultant to study the plant life and other things. And we have studied industry norms also. Most of the companies in our industry are following SLM method. We were only following WDV. So, we did a study and then came to the conclusion that SLM is more suitable to us compared to WDV. So, that's why we decided to change the method.
Saket Kapoor: And Prem sir, also for the other expenses, Q -on-Q, we see a reduction of INR7 crores on a base of INR118 crores. So, any one -off items or what has led to this reduction of INR7 crores?
Prem Khandelwal: Saket, INR7 crores is nothing. It's almost only 7%.
Saket Kapoor: 7% is there, sir?
Prem Khandelwal: Yes. So, it's normal, I think, some item might have reduced.
Saket Kapoor: Sir, can you give me the cost per ton for the second quarter? 72,000 you gave for Q3.
Prem Khandelwal: Yes.
Saket Kapoor: What would be the cost for the previous quarter, sir?
Prem Khandelwal: It was 70,500.
Saket Kapoor: Come again, sir?
Prem Khandelwal: 70,500.
Saket Kapoor: Okay. So, the cost has gone up Q -on-Q?
Prem Khandelwal: Yes.
Saket Kapoor: Okay. And the realization for Q2 and Q3?
Prem Khandelwal: Realization for Q2 was 1,01,000. Q3, I've already told, 1,03,000 INR.
Saket Kapoor: Okay. And for the next quarter also, these metrics are going to remain. But the selling price, we are not aware how it will shape up. But for the cost, it is going to...
Prem Khandelwal: The selling price will come down a little bit, but the cost will remain the same.

Saket Kapoor: Cost is going to remain the same. Sir, today in one of the interviews, MD did spoke about our ore output to go up, and you were earlier discussing. So, what are we contemplating in terms of the excess ore that we are going to mine? Other than stocking it, what other activities are we envisaging? Any type of job work?
Prem Khandelwal: Nothing, has been frozen at the moment, Saket. So, it's not proper for us to delve into that right now. We are just exploring the alternatives to use that ore.
Saket Kapoor: Okay, sir. So, lastly, sir, on the coal prices, we have seen in international markets, coal prices are only correcting by 8% to 10%. I'm not aware of the grades. So, how are the current coal prices, spot prices trending? And what kind of further advantage can we expect in terms of the coal prices and then also the trend for the metallurgical coke, if you could give some colour on that?
Management: Binoy, regarding coal, would you answer that?
Binoy Agarwalla: Yes, the coal price, as of now, it is in decreasing trend. Earlier, we used to buy spot auction at 6,000, 6,200 in FY23. But now it has come down to 4,000. It is slowly, gradually coming down. If it remains like this, then our variab

le cost will remain also like in the same line.
Saket Kapoor: Okay, then for the coke part, sir, coke we are importing, metallurgical coke.
Deepak Mohanty: So, I told, as I told, considering the Colombian coke, particularly which we use, so it will be in the range of 350 to 360 over a period of next six months for our usage. Thereafter, nobody can say how it will turn out, coking coal and coke scenario and other things. So, for the moment, you may consider for next six months, it will be in that range, $350 to $360 per ton of coke.
Saket Kapoor: And lastly, sir, on the compensation part, the INR390 crores is what the figure that have been crystallized from the authority that will be due to the company?
Prem Khandelwal: Yes.
Saket Kapoor: And sir there is, again, the other party has gone to the arbitration to seek what relief, sir? What are they contemplating or contesting now?
Prem Khandelwal: Initially, they initially, they went to coal Tribunal for a stay of order, final order, which was turned down by the Tribunal. And now they are, they are, they are into the Tribunal to, for the

reduction in the compensation amount. We are also into Tribunal for whatever reduction the NA has done, INR64 crores reduction. We have also filed a case in Tribunal for r estating that amount, because there is no logic for reduction of amount.
Saket Kapoor: Okay. So, there has been a INR64 crores. No, no. I ’m just seeking the clarification only, ma’am. No further question. There has been a reduction of INR64 crores on the sum of, nominated by, sums finalized by the nominated court. That is 390 minus 64. That is what they are…

Prem Khandelwal: 416 minus 352 they have done. So, the provisional order was INR416 crores. But it was 352crores as per final order. So, the INR64 crores reduction, whatever they have done, we have challenged that also in coal Tribunal.
Saket Kapoor: Okay. But then, what is the reference of INR390 crores here, sir, when you are mentioning 416?
Moderator: Mr. Kapoor may we request you to return to the question. Sir, there are participants waiting for their turn.
Saket Kapoor: Done. Yes, ma'am. I'll join again.
Moderator: Thank you. The next question is from the line of Kaushal Kedia from Wallfort .
Kaushal Kedia: Sure, I just want to understand that demand is not an issue. I think when we had met you earlier also, you were pretty confident that demand is not going to be an issue even after capacity expansion. So, we could sell at the prevailing rates. So, if we wan t to model in our financial models for, say, three years down the line, it is safe to assume that given the prevailing realizations, EBITDA will go up by more than 33% going forward after expansion.
Prem Khandelwal: No, no. See, in our industry, it's very difficult to predict anything beyond one quarter.
Kaushal Kedia: Okay. No, fair enough. But I'm not saying, I'm not talking about the rates. I'm talking about more on the volume sales. So, after we've done the capex, demand is not going to be an issue.
Prem Khandelwal: Yes, yes. That's true.
Kaushal Kedia: Because I think, and as a policy, you're saying, so we don't want to sell ferrochrome in the domestic market.
Prem Khandelwal: Chrome ore I said, not ferrochrome.
Kaushal Kedia: Okay, sir because I think the way the stainless -steel demand is increasing, I think we'll have a big market in India for ferrochrome.
Prem Khandelwal: Yes, of course, if the market goes up in India, yes, that's, I think, Deepak Mohanty also said the same thing, that if the market goes up in India, we'll sell in the Indian market? Why do we export it then?
Kaushal Kedia: And I think the realizations will be slightly better also in the Indian market. Is my understanding correct?
Deepak Mohanty: No. Realization will be always in line with the world market price, becaus

e there will be leads
that lag at certain points in time, or certain points where some glitches, like at the moment the chrome ore prices have gone up, for which the prices have gone up. But that is not a sustainable thing. And nobody in this world -- any country, they deal with their own prices, more or less aligned to the world price. Okay, and more or less in line.
Kaushal Kedia : And we are confident of finishing the capex in September '25.

Prem Khandelwal : Yes, as of now, we are trying to do that. But if the position gets delayed, then it might get a little bit more.

Kaushal Kedia : By about how many months?

Prem Khandelwal : Difficult to predict at the moment. Depends on when we get the position of land. Yes.

Kaushal Kedia : Okay, sir. Okay. Thank you very much, sir. All the best. Thank you very much.
Moderator: Thank you. The next question is in the line of Rakesh Roy from Omkara Capital. Please go ahead.
Rakesh Roy : Hi, sir. My first question is your realization part. As you said, in Q4, realization will come down. But if we see overall picture for CY24, you just mentioned that the stainless -steel business will grow nearby 3.6% on international level. So, we see any more realization will grow same like 3.6% or more than 3.6% in CY24?

Deepak Mohanty: No, actually 3.6% growth is also quite a bit, considering a lot of issues at the moment going on. Russia -Ukraine war has not stopped. And if it stops, it will not be 3.6%, it will be exponentially going up. And the rates we issue is also decreasing the tra de and everything. So, a lot of stability needs to come in the world, then only you can think of any higher 3.6% growth is a very good growth if it is really achievable.
Rakesh Roy : And then how much growth you are looking for, you are seeing for the Indian domestic stainless -steel business for if you say CY24 and '25?
Deepak Mohanty: No prediction so far by anybody, but everybody said because as you know, the consumption per capita consumption is still below 2.5. Any minor change can lead to a very great requirement level. So, nobody can say, but things are pressing. So hopefully it will go up and then we'll be catering to domestic also.
Rakesh Roy : Okay. And any comments on the China economy and from your point of view on China, sir?
Deepak Mohanty: Chinese economy, you must have heard, they are facing certain crisis with real estate side and you know Evergrande has been directed for liquidation. So that is a good news and bad news also because that will ultimately make the things stable, which was unstable because they were trying to manage and manage. But particularl y as I have told in the previous con call also, that Chinese stainless -steel producers are behaving good.

They don't want to bring down stainless steel production, not the ferrochrome production, but they are working on low margin. So that is why even now the production, ferrochrome production, if you look at, they are producing 650,000 per month and they are producing at least 3 million tons of stainless steel every month. So, it is a good thing they are managing and keeping the things in tandem.
So, I hope things will better and they are having also, government is having concerns, started certain concern because their population has come down by 0.15% to 0.08 million in 2023. So, if the population goes down continuously over the years, going ahead, their workforce will be going down, which is a concern they are working on. Otherwise, things are more or less stable.
Rakesh Roy : Right. So, one last question, sir. So last question is the same on realisation. I am just asking -- Q4, can we see Q4 is a bottom -out for realisation sir or is it or near term more downside of realisation, ferrochrome?
Deepa

k Mohanty: I think it will remain in the -- it will not go further down because of the cost. So only because of currency devaluation and all, they are able to work it out, but further going below will not be sustainable. As I told, both ferrochrome and stainless -steel people are operating at a very low margin,
Rakesh Roy : Right. Thank you.
Moderator: Thank you. The next question is from the line of Nihar Shah from Crown Capital. Please go ahead.
Nihar Shah: Good evening, sir. I'm fairly new to the company, so I have two, three questions. What are the opportunities we are exploring going ahead with the company?
Prem Khandelwal: Nihar, your voice is not clear.
Nihar Shah: Hello. Am I audible now?
Prem Khandelwal: Yes, a little better.
Nihar Shah: Yes, I was saying that I'm fairly new to the company. So, can you help me understand the opportunities we are exploring going ahead?
Prem Khandelwal: I didn't get your question, Nihar. Can you repeat it again?
Nihar Shah: Yes. Sorry. Now, now is it better?
Prem Khandelwal: Yes.
Nihar Shah: I am saying that can you help me understand the opportunities we are looking...
Prem Khandelwal: No, no, your voice is breaking again.

Moderator: Sorry to interrupt, Mr. Shah. Your audio is breaking up. Sir, may we request that you return to the question queue? Because we are unable to hear you clearly. Thank you. The next question is from the line of Vinay Nadkarni from Hathaway Investments Private Limited. Please go ahead.
Vinay Nadkarni: Yes, just wanted to check out, can you just give us some light on what is the cost of material as a percentage of sale and what would be the power cost as a percentage of sale? I believe these are the two key costs for you.

Prem Khandelwal: We need to work out percentage. Binoy its not…
Management: Actually, power, we are not selling. We are using as a captive.
Prem Khandelwal: No, no, he's asking about the power cost as a percentage of sales.
Vinay Nadkarni: Yes. Or the ferrochrome production.
Prem Khandelwal: So that we need to work out. We'll tell you that separately.
Vinay Nadkarni: Okay. Thanks. Thanks.
Prem Khandelwal: Right. Right.
Moderator: Thank you. The next question is on the line of Joe Shah from 7seas. Please go ahead.
Joe Shah: Deepak, I have one question for you regarding the impact of this. The Chinese reserve requirement issue has been reduced by $0.50 cents, which is significant. Will it have any impact on the ferro chrome demand in China?
Deepak Mohanty: I couldn't hear. Somehow I got a break in between. Can you repeat?
Joe Shah: Yes. Now, Chinese reserve requirement ratio has been reduced by $0.50 cents. So, to help struggling economy, Chinese economy, will it help in better ferro chrome demand from China?
Deepak Mohanty: With the ferro chrome demand, as you know, it is already there and they are also 50% dependent on export.
Joe Shah: Right.
Deepak Mohanty: Their internal consumption plus 50%, around 50% also, they require the export market. So, which is not in very good shape in Europe and UK or US and other places. So, it's not very good. That's why they are keeping a tandem by producing, maintaining the level of stainless steel as well as ferro chrome, balancing the price and minimum things so that they need not to cut down. And also, they are bringing up ferro chrome where it is more cheaper, like northern part, Inner Mongolia and on and closing down the high cost producers. That kind of balancing they are managing. So hopefully it will continue.

Joe Shah: Okay. Now, Deepak, one more thing. Today, MD mentioned in CNBC interview that average price for the Q3 was INR1,09,000 for the prime ferro chrome. Now here we are seeing the 1,23,000. So, what is the, actuall

y, what is the difference? Why difference is there?
Deepak Mohanty: No, where you are seeing 1,23,000?
Joe Shah: No, here we are discussing. So, MD said that it was prime ferro chrome of Q3.
Deepak Mohanty: You know, total average realisation is 1,02,000, what Mr. Prem Khandelwal was informed, which we normally look at for the costing and in this. But there are certain rates and other things which goes at a higher and certain rates which goes at a lower. So overall, it is 102.
Joe Shah: Overall, the realization is 102 average?
Deepak Mohanty: Which was 93,000 in the corresponding quarter.
Joe Shah: Okay. Okay. Okay. Thank you. Thank you.
Moderator: Thank you. The next question is on the line of Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Prem sir, I also missed this point. Then what is the significance of this 1,23,000 for number which you mentioned?
Prem Khandelwal: Where are you getting that number, Saket? 1,23, we have never mentioned.
Saket Kapoor: Okay, sir. Then please, I stand corrected. What was our realization for Q3?
Prem Khandelwal: 1,03,000, I said for quarter Q3 FY'24, it is 1,03,000 compared to 93,000 in Q3 FY'23.
Saket Kapoor: Okay. And Q2 was 1,01,000?
Prem Khandelwal: 1,01,000.
Saket Kapoor: So, from 1,01,000, it is 1,03,000?
Prem Khandelwal: Yes.
Saket Kapoor: That is what the number is. And this is what we are anticipating for current, currently current prevailing market conditions also?
Prem Khandelwal: For Q4, it will come down a little bit from 1,03,000.
Saket Kapoor: Okay. Sir, on the compensation part, sir, in the December notification, we have mentioned that the freehold and the leasehold pertaining to Utkal -C Coal Mines at INR353 crores, approx number. Out of that…
Prem Khandelwal: INR352 crores.

Saket Kapoor: Yes, INR352 crores. And out of that, JSPL paid around INR131 crores and INR221 was pending.

Post that, sir, what should we learn from this INR390 numbers mentioned and also the INR416 numbers mentioned by you during the call?
Prem Khandelwal: Sorry, you are getting confused, Saket. INR416 was the provisional order, which we had declared through the stock exchanges also.
Saket Kapoor: Correct.
Prem Khandelwal: That is only related to land.
Saket Kapoor: Okay.
Prem Khandelwal: That has been reduced to INR352 crores by NA. We have already got INR20 crores on the statutory portion. We have already got INR20 crores. So, INR352 plus INR20, we are adding INR372. And another INR18 crores we should get on mining infra, which is not yet finalized. So, all put together, we are saying that maximum we can get INR390 crores as of now.
Saket Kapoor: Okay.
Prem Khandelwal: And we have challenged the INR64 crores of reduction also in coal tribunal. If we get that, then it will again go back to INR433 crores. INR390 plus INR64 crores.
Saket Kapoor: Okay. Now it is clear. So, there is a lot of buffer here also for the INR64 crores part also. What are we contesting for this INR64 crores money? Why has there been a litigation pertaining to this figure?
Prem Khandelwal: They have disallowed certain amounts there, which as per Act, it is not disallowable. So, we have contested that. How can you disallow when the Act says nothing about this, like registration charges, lapsed period of lease. So, those things are, as per Act, those things are not disallowable. But NA has disallowed those amounts. So, we are contesting that.
Saket Kapoor: Right. And Prem sir, what is the cash on book, sir, as on 31st December?
Prem Khandelwal: Just a moment, let me see. It is around INR398 crores.
Saket Kapoor: INR398 crores. This is the net cash number post the working capital requirement?
Prem Khandelwal: No, no, no. This is the gross number and working capital is INR245.
Saket Kapoor: So, we have to reduce. Okay

. 245 from this 398 number?
Prem Khandelwal: Yes.
Saket Kapoor: To get the net cash?
Prem Khandelwal: Yes.

Saket Kapoor: Right, sir. Thank you, sir. And all the best, sir.
Prem Khandelwal: Thank you.
Moderator: Thank you. The next question is from the line of Nihar Shah from Crown Capital. Please go ahead.
Nihar Shah: So, I was just asking that I'm fairly new to the company. So, can you help me understand the working capital cycle and what are the working capital days?
Prem Khandelwal: Normally, it is 25%. The working capital is 25%. And cycle, as it is calculating, very difficult because Coke, we stock for six months, we import one shipment altogether. So, that way, it is very difficult to calculate. But on average, we take it 25%.
Nihar Shah: Okay. I understood. And can you help me understand the opportunity we are exploring going ahead with the company?
Prem Khandelwal: Opportunity? I didn't get you. What kind of opportunity? We are already expanding our ferro chrome capacity. We are already expanding our mining capacity. And apart from that, we are also working on some renewable power project. So, these are the things at the moment we are exploring.
Nihar Shah: Okay. Okay, sir. So, as you said, like we can only predict one quarter ahead? So, what are we predicting?
Prem Khandelwal: For price.
Nihar Shah: For price. So, looking at that, what are we predicting our revenues to be in last quarter, quarter four?
Prem Khandelwal: Deepak, do you have that number or difficult to predict at the moment?
Deepak Mohanty: Our projection, basically, turnover.
Prem Khandelwal: Turnover for the fourth quarter?
Deepak Mohanty: Maybe around, I have some figures. INR600 crores or close.
Prem Khandelwal: But we'll come to know after the end of the quarter. We are going to sell on the spot basis also. So, difficult to give that number now. I think we'll have to wait for the end of the quarter.
Nihar Shah: Okay. Okay. And I just wanted to ask that, are margins sustainable at this level?
Prem Khandelwal: Yes, we are hopeful of maintaining 23 %, 24% margin.
Nihar Shah: Okay, sir.
Prem Khandelwal: Right.

Nihar Shah: Thank you and all the best.
Prem Khandelwal: Thank you. Thank you.
Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.
Joe Shah: No, Prem, I understand that the spot ferro chrome price in India is now about INR120,000. So, when in February there is a festival holiday in China, can we sell in India in the spot market to have a bit better realization?
Prem Khandelwal: Deepak?
Deepak Mohanty: Yes, actually, the thing you're telling is practically not moving and all steel mills are opposing and not buying at that level. It's being the offer. People are not buying at that level. But we supply a certain quantity and those will be in line with the cur rent market scenario. It's not, anyway, it's not INR120,000. It may be INR118,000, INR119,000, INR117,000 in that range where the really deals are taking place.
Joe Shah: Okay. Okay. Very good. Now, Prem, one question for you. We have approached this tribunal for this reduction in this Utkal -C compensation by INR64. Now, there's JSPL, they are approaching tribunal. The tribunal has not given them any stay order. Now, can they go to court again after tribunal, they can go to court and to delay the compensation payment?
Prem Khandelwal: For stay?
Joe Shah: Yes, tribunal has not given them the stay, right? So, they are supposed to make the payment.
Prem Khandelwal: They will go to court. They will go to court for what? For staying the order?
Joe Shah: Yes, for objecting the order.
Prem Khandelwal: I don't know. They can go to court also, but they have, till now, they have not g

one to court.
Joe Shah: Okay. Okay. Good. And our approaching this tribunal for the INR64 crores of difference, that we must not delay the whole payment of the INR250 crores to INR222 crores balance.
Prem Khandelwal: That should not get delayed because both the things are separate.
Joe Shah: Right. So, we expect this INR221 crores payment in about three months' time?
Prem Khandelwal: No, difficult to give any timelines there.
Joe Shah: Okay. Okay. Okay. Thank you.
Moderator: Thank you. The next question is from the line of Akshada Deo from Vivog Commercial Limited. Please go ahead.

Akshada Deo: Hi. I just wanted to understand a little bit of the backstory of how you were able to connect the profits so far. I am new to the company. Was it just because of the materials cost that you have experienced a reduction in the same, and you were able to translate that into realizations, or was there something else?
Prem Khandelwal: Well, two factors I said, madam. One is that price has gone up by INR10,000 a ton, and cost has come down by INR8,000 a ton. So, there is a saving of INR18,000 per ton, and if you multiply that by 60,000, 65,000 normally what we sell in the market, that wi ll give you the number.
Akshada Deo: Okay, sir. So, it was basically, okay, market dynamics is what you're giving.
Prem Khandelwal: Yes.
Akshada Deo: Okay. Okay. And the court tribunal that is going on, do you have a timeline on when you are expecting the said cash of roughly INR390 crores?
Prem Khandelwal: Statutor ily, they have to dispose of case within 90 days' time.
Akshada Deo: Sorry, sir. What time?
Prem Khandelwal: Statutor ily, they are supposed to dispose of the case within 90 days' time.
Akshada Deo: Okay.
Prem Khandelwal: Right.
Akshada Deo: Okay. Okay. Thank you so much.
Prem Khandelwal: Right. Thank you.
Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited. Please go ahead.
Vinay Nadkarni: I just wanted to check out what is the capacity utilization for this year so far?
Prem Khandelwal: Deepak.
Deepak Mohanty: So, basically, we are in line with our budget and as we have always given that product ion and sales, both will be in the range between 250 to 260,000. So, what we will do better than that?
Prem Khandelwal: So, that would be what percentage of your total capacity? I'm sorry, I don't have the...
Deepak Mohanty: We say 284,000 is the capacity, but we produce in the range of 250 to 260,000.
Vinay Nadkarni: I get that. I get that.

Deepak Mohanty: Although that is the capacity, you have the maintenance, you have a lot of other things to go on in between. So, taking that normal things out, it will be...

Vinay Nadkarni: So, you're kind of peaked out on your capacity?
Deepak Mohanty: Yes.
Prem Khandelwal: Yes.
Deepak Mohanty: Yes, yes. We are utilizing almost 100%. Even maybe last quarter it was 104%.
Vinay Nadkarni: So, from this period till the September 25, when your new capacities will be generated, you will be more or less at the same utilization levels? And therefore...
Deepak Mohanty: Absolutely, 250 to 260,000 levels. I think you are thinking of many other things as Mr. Prem Khandelwal informed. So, if you can arrange some other avenues and for the utilization of chrome ore then it will be more.
Prem Khandelwal: I have already said to assume between 250 to 260 only.
Vinay Nadkarni: Yes. And with the downward realization prices expected to be lasting in 2025, in 2024-25, do you see impact in your growth being more or less stagnant next year? Till the time your new capacities get developed?
Prem Khandelwal: So, the price we said, the price is likely to be more or less same like this year, next year also.
Yes.
Vinay Nadkarni: And capacity too? I mean the output also?
Prem Khandelwal: Yes, yes, yes.
Vinay Nadkarni: So, it will be more or less stagnant as the current year?
Prem Khandelwal: Yes.
Vinay Nadkarni: Okay. One last question was on material cost. Your material cost seems to be pretty 54%, 55% of your total cost. Is that a norm in your industry in ferro alloys ? Because others have seen is pretty high.
Prem Khandelwal: No, because we have our own captive ore, our cost is very less. Okay.
Vinay Nadkarni: So, that's mining, captive mining and captive power. These are the main costs and both of them your maximum.
Prem Khandelwal: Yes. These two are giving us a lot of savings in the cost front.
Vinay Nadkarni: Okay. Thanks a lot, sir. And I would await your mail or you're on the earlier question that I had on power cost and material cost.
Prem Khandelwal: Okay. Right.

Vinay Nadkarni: Yes. Thank you, sir. Thank you very much.
Moderator: Thank you. The next question is from the liner, Joe shah from 7seas. Please go ahead.
Joe Shah: Binoy Agarwalla , one question for you. Now, about the hybrid renewable power tie -up, can you explain it? Because I remember two, three quarters ago, there was some information that we'll have to invest INR100 crores in this company, which is going to supply us a renewabl e power. So, can you explain more on this?

Binoy Agarwalla: Means our discussions are on with two, three developers.
Joe Shah: Okay.

Binoy Agarwalla: Those who are giving us, those who will be giving us renewable energy.
Joe Shah: Right.
Binoy Agarwalla: And that will be on RTC basis round the clock and it will be in the hybrid mode, solar and wind, so that during daytime we can get solar and during nighttime also we can get wind. In that way, in that collaboration, we are trying to develop in that sense .
Joe Shah: Will we be able to invest some money with this?

Binoy Agarwalla: Yes. Investment amount would be around INR100 crores.
Joe Shah: 100 crores. Right. Okay. Very good. And first, side by side, we'll be using our captive percent, about 50%.

Binoy Agarwalla: Sorry, sorry, your voice got break.

Joe Shah: Apart from the solar and wind, the renewable energy, we'll be utilizing our captive coal also, our captive power generation also.

Binoy Agarwalla: Yes.
Joe Shah: Yes. Okay. Thank you.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Abhishek Sawant for his closing comments.
Abhishek Sawant: Yes. Ladies and gentlemen, your presence on this conference call today has been greatly appreciated. We would like to thank you for this opportunity to explore in fast future growth strategies and discuss how we plan to navigate through these challenging t imes.
Our optimism for the growth journey ahead, not only within India, but also in other regions, remains steadfast. On behalf of the company's esteemed board of directors and dedicated management team, I extend our heartfelt gratitude to every one of you for your active participation in today's calling. Your interest and insightful questions have been a valuable contribution to our discourse.
Should you have any future inquiries or require additional information, please do not hesitate to reach us on aryan.rana@veritasreputation.com . We remain at your service to address any queries you may have in the future. Once again, thank you for being a part of this conference call. We eagerly anticipate a promising future and continued growth together. Wishing you all a fruitful and fulfilling time ahead.
Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Indian Metal s and Ferro Alloys Limited, that concludes

this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.
Management: Thank you.

Call: May 2024

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Sub : Earnings Call Transcripts
Dear Sir/ Madam, 3Qth May, 2024
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 24th May, 2024 on the audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2024 is attached herewith .
You are requested to take the same on record.
(PREM K DELWAL)
CFO & OMPANY SECRETARY
Membership No.F3526

"Indian Metals & Ferro Alloys Limited
Q4 FY '2 4 Earnings Conference Call "
May 24, 202 4

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL OFFICER AND COMPANY SECRETARY – INDIAN METALS & FERRO ALLOYS LIMITED
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING OFFICER – INDIAN METALS & FERRO ALLOYS LIMITED
MR. DEEPAK MOHANTY – HEAD OF FERRO ALLOYS BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. SANDEEP NARADE – HEAD, MINES BUSINESS UNIT – INDIAN METALS & FERRO ALLOYS LIMITED
MR. SAUNAK GUPTA – DEPUTY CHIEF FINANCIAL OFFICER – INDIAN METALS & FERRO ALLOYS

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Indian Metals & Ferro Alloys Limited, hosted by Veritas Reputation. At this moment, all participants lines are in the listen only mode. Later we will conduct a question and answer session. At that time, if you have a question, you may press star and one on your touchtone keypad.
Please note that this conference is recorded. I now hand the conference over to Mr. Abhishek Sawant from Veritas Reputation. Thank you and over to you, sir.
Abhishek Sa want: Good evening, everyone. We warmly welcome and express our gratitude to each one of you for being a part of today's Earnings Conference Call for Indian Metals & Ferro Alloys Limited. I am Abhishek Sawant, your host for this session and it brings me great joy to guide you through the proceedings as we analy se the annual financial results for the quarter and full year ended 31st March 2024.
We are glad to announce an excellent operational performance during the year with the highest ever ferrochrome production, chrome ore raising and captive power generation, which has set the stage for a strong financial performance. This achievement has com e despite all external challenges and it further solidifies I MFA's position as India's foremost fully integrated manufacturer of ferrochrome in the metals and mining industry.
While the detailed financial results are available on our company website and the stock exchanges, it is essential to note that our discussion may include forward-looking statements , contingent upon known and unforeseen risk, uncertainties and various other factors. To offer a comprehensive overview of our annual financial performance and address any queries you may have, we are honoured to have an esteemed team members of our management team present today. Mr. Prem Khandelwal, CFO and Company Secretary ; Mr. Bijayananda Mohapatra, Chief Operating Officer ; Mr. Deepak Mohanty, overseeing the Ferroalloys Business Unit ; Mr. Binoy Agarwalla, who Head 's Power Business Unit and Mr. Sandeep Narade, who is incharge of the Mines Business Unit .
Our agenda for today begins with a concise summary of our Q4, as well as annual financial performance. Following that, we'll open the floor for a Q&A session, providing you with the opportunity to engage directly with our management team.
Without any further delay, I now hand over the call to Mr. Prem K handelwal, our CFO and Company Secretary to guide us through the financial highlights. Over to you, sir.
Prem K handelwal: Thank you, Abhishek a nd good evening, ladies and gentlemen. I welcome all of you to this Q4 and FY24 Earnings concall of the company. FY24 has been a very satisfying year for the company in the sense that the company has achieved the highest ever operational performance in terms of ferrochrome production, power generation and mining output a nd has been the second best year in terms of P AT. So, financial numbers and quantity numbers are already in public domain, so I am not going to repeat those numbers again.
But I would like to clarify just one item -- one-off item, which is in the fourth quarter results relating to Utkal Coal Limited. As you may be aware of, the company had invested INR 111

crores in the share capital of Utkal Coal and had advanced a loan of INR 243 crores to the company for a coal mining project. But on the principal amount of INR 243 crores , the company had stopped recognizing interest , since the date of cancellation of coal block in 2014.
But in the fourth quarter, the Nominative Authority has quantified the compensation amount at INR353 crores , consequent to which the company has recognized interest on INR 243 crore s principal amount from 2014 to 2024, and the interest amount

comes to around INR 220 crore s.
But as the compensation amount of INR 353 crores is not enough to cover the entire principal and investment amount along with the interest, the balance amount of INR 221 crore s has been written -off, which is forming part of other expenses. And the interest component of INR 221 crore s forms part of other income , apart from that, all other things are normal things.
So with that, I would now request to start the Q&A session.

Moderator: The first question is from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.
Aashav Patel : Thank you for the opportunity. First of all, I would like to thank the entire team and congratulate the entire team for an excellent set of numbers in a globally very tough environment. To start with, my first question is in quarter 4 consolidated P&L, we have seen an increase in other income by roughly around INR 50 crores compared to the usual range. So can you please specify what led to this increase in other expenses?
Prem K handelwal: Other expenses, you are talking about consol account or?
Aashav Patel : Consolidated other expenses.
Prem K handelwal: Consolidated other expenses, we have usual like repairs and maintenance has gone up by INR 12 crores because of boiler repairs and furnace repairs w as done. These are one -off kind of expenses. And the selling expense has gone up by INR 6 crores primarily because of more tonnage we have sold in this quarter. And the routine overhead cost has escalated to around INR10 crores a nd there is a write off of goodwill.
As I have said in my opening remarks, we have written up the investment of INR 111 crores in UCL. So there was a goodwill amount of INR 21 crores also lying in the consol account, which we had to write -off, s o if you put all these together, you will get the figure.
Aashav Patel : Got it. So all these items shouldn't be, for example, goodwill write -off and everything should be part of exceptional line item ?
Prem K handelwal: Saunak , why have we done this? Can you explain that?
Saunak Gupta: So primarily this is on the basis of routine expenditure and going by INDAS requirement. It is that since whatever was our investment amount that we had in the standalone financials in UCL, where we have also put a note that about INR 111 crores we are providing for impairment. On the same basis, on the goodwill which has been created in the consolidated financials has to be

also written off as a part of the other expenses. And we cannot treat it as the exceptional expenses. So that is why we have taken it in the normal course of business.
Aashav Patel : Got it, sir. So my second question is that our EBITDA, what would be our EBITDA production cost for quarter 4? And how do you expect it to pan out in quarter 1?
Prem K handelwal: Just a moment. Let me see EBITDA cost. EBITDA cost for Q4 is around INR 82,000 to INR83,000 a ton. And I think Q1, it should be in the same range, more or less in the same range.
Aashav Patel : Similar. But we have seen coking coal has been correcting significantly in the last six months. And met coke is also expected to be corrected in a similar fashion . What was our coke cost in quarter 4? And what is the coke cost in our inventory?
Prem K handelwal: Deepak, would you explain that?
Deepak Mohanty: Yes. Actually, our coke cost -- it is something like in the quarter 4, it is around INR 15,500 around. And which was in the previous year, if you consider it was something like INR 22,000, INR23,000. So it has come down quite a bit because of the downtrend. And our existing coke, whatever we have, what we are using at the moment, so that is more or less in line with this. But it is -- as you are telling also, the prices have come down. I mean, we have booked for what will be shipped in the next quarter, early

next quarter in June. So those prices are coming down quite a bit.
So going ahead, of course, that will take three months and all those things. Actually, it will be after maybe four to five months. But still our coke cost for the next quarter will be hovering in the same line.
Aashav Patel: Okay. But for Q2 onwards, we can expect a significant decrease in coke cost.
Deepak Mohanty: In Q2? No, it is remaining more or less in line. That's what in Q2. Q3, it will go down.
Aashav Patel: For how many months we hold the coke inventory, sir?
Deepak Mohanty: Yes, we keep around three months inventory because it comes from mostly from Columbia. So it has a shipping time of 45 days and then packing the material for shipment, all those things. So normally, we keep the inventory for three months.
Aashav Patel: Got it, sir. Okay, sir. I have other questions. I'll come back in the queue.
Prem K handelwal: Thank you, Aashav.
Moderator: Thank you. The next question is from the line of Shubham Sethia from Bajaj Finance. Please go ahead. Mr. Sethia, your line is unmuted. Please go ahead with your question.
Shubham Sethia: Sir, what was the specific consumption of coal in quarter 4 and for overall FY?
Binoy Agarwalla: Sir, I could not hear. What were you asking?

Shubham Sethia: What was the specific consumption of coal for quarter 4 and then overall FY?
Binoy Agarwalla: Overall, specific coal is coming around 1.01 in ARB per megawatt.
Shubham Sethia: And, sir, specific consumption of coke per metric ton of ferrochrome production?
Deepak Mohanty: So basically, for ferrochrome, it is around 450 to 500 kgs of the fixed carbon is required. So you can say 0.5 or 0.6 if you take on the fixed carbon basis, 0.5 to 0.6 ton per metric.
Shubham Sethia: Okay. Sir, my next question is on the power cost. So what was the tentative power cost for quarter 4?
Binoy Agarwalla: Quarter 4 or you are asking for FY'25 Q1?
Shubham Sethia: No. For quarter 4 FY'24.
Binoy Agarwalla: Power cost, variable cost is 4.37.
Shubham Sethia: And fixed cost, sir?
Binoy Agarwalla: Sorry?
Shubham Sethia: Fixed cost?
Binoy Agarwalla: Fixed cost is around 1.30.
Shubham Sethia: 1.3, sir?
Binoy Agarwalla: INR1.30.
Shubham Sethia: And for quarter 1, what we are expecting, sir?
Binoy Agarwalla: We are expecting variable cost will be around INR4.20.
Shubham Sethia: Okay.
Binoy Agarwalla: And fixed cost will be at par with Q4.
Shubham Sethia: Sir, my next question is on the NSR side. So we saw very good NSR for overall quarter 4 and then for FY'24. What is our forecast for this Q1 and Q2 in terms of NSR, sir?
Prem K handelwal: You mean net realization?
Shubham Sethia: Realization, sir.
Prem K handelwal: Market has improved a little bit after Q4, so I think we can see an increase of around INR3,000 to INR4,000 for Q1.
Shubham Sethia: So total will be, sir, around?

Prem K handelwal: This quarter it was around INR1,02,000. So we may see INR1,05,000 -INR1,06,000 in the next quarter.
Shubham Sethia: Okay. Thank you, sir. That's all from my side.
Moderator: Thank you. Our next question is from the line of Joe Shah from 7seas. Please go ahead.
Joe Shah: Prem, going back to our last con- call, we were told that construction of Boundary Wall for Kalinganagar project was not started, could not be started because of some administrative issue. So now what is the status of this Kalinganagar land? When we are goi ng to start the Boundary Wall construction?
Prem K handelwal: BNM , would you answer that?
Bijayananda Mohapatra : Yes. Regarding this Kalinganagar project site, so there is a R&R issue, compensation issue. The IDCO has already given the disbursement process started, and they have initiated to the district a

dministration. But in the meantime, election has already star ted, so they will give this distressed families after the election, so mid -June. Thereafter, this process will be started, construction of Boundary Wall.
Joe Shah: Did you say it will start? So there won't be delay on this side, or after month we'll be able to start construction?
Bijayananda Mohapatra : No. District administration will help us for construction. Because of the election, they don't want any law.
Joe Shah: Right. Okay. Now one more question about this ethanol. What is our annual capacity in liters per year? How many liters will be produced per year from this ethanol?
Bijayananda Mohapatra : Sir, this project we are putting is around 120 kiloliters per day. Basically it is from maize, broken rice, and damaged food grains. So if you take 300 working days…
Joe Shah: Your production capacity, what about production capacity?
Bijayananda Mohapatra : Production capacity is 120 kiloliters per day.
Joe Shah: Okay. 120 kiloliters per day. And how many tons of rice bran we need for 1 kiloliter?
Bijayananda Mohapatra : It is not rice, sir. We are more focused about the maize. So it will be basically maize-based because that area maize cultivation is too much. So that will -- the exact figure I have to check for the project.
Joe Shah: No problem. Okay. Thank you.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company.

Please go ahead.
Saket Kapoor: Namaskar, Prem sir. Namaskar to all the team members.

Prem K handelwal: Namaskar, Saket.
Saket Kapoor: Sir, as you alluded to the earlier participant about the other expenses for this quarter, which is to the tune of NR162 crores, that includes INR21 crores of the royalty, the goodwill part.
Prem Khandelwal : Yes, the write -off.
Saket Kapoor: And other than that, then the remaining INR20 crores is also a non-recurring one or what should we take into account for that remaining balance?
Prem K handelwal: Again, as I said, the INR12 crores is repairs and maintenance and this is again non -recurring. But INR6 crores of selling expenses is because of higher tonnage. So that is recurring in nature. And other overheads of INR10 crores is again non-recurring in n ature.
Saket Kapoor: Other? Last point, sir.
Prem K handelwal: Other overheads of INR10 crores is again a one -off kind of thing. So that may not repeat again.
Saket Kapoor: Okay. Sir, when we look at your Note 7, Note 6 rather, therein you have proposed about some acquisition of 52 lakh shares of UCL. Sir, if you could explain the nature of the transaction and how much we will spend to acquire this 21% stake?
Prem K handelwal: As you are aware of, IMFA is holding 79% stake in UCL. So on balance, 21% is held by promoter companies. And we are in the process of merging that UCL into IMFA. But we have been advised that if you make UCL 100% subsidiary, the merger process will be much easier. That's what we are trying. But in UCL, since the value is nil, we are buying the 21% remaining stake at INR1 to make it 100% subsidiary and then we'll launch the merger scheme.
Saket Kapoor: Right, sir. And sir, when we look at the segmental reporting, therein we find that under the mining category, on a revenue of INR139 crores, we have booked loss of INR110 crores. So are these all goodwill and all these issues that get factored into the seg ment under mining? Or how will you explain this, sir?
Prem K handelwal: Saunak, are you aware of that?
Saunak Gupta: Yes, so over there, what usually happens is that all the cost in mines, everything including whatever is the expenses that has been incurred for raising as well as mining is actually shown under the segment. But since it is a captive consumption, so only thos e if you are sold outside are considered. Otherwise, whatever is the value

of transfer that is accounted there as a revenue.
And that is what is given to our FABU business and the Ferro Alloys business. So, on a standalone mining, it shows a loss because a ll the costs that have been incurred in the mines are booked under the mining costs.
Saket Kapoor: Okay, but this is only one off for this quarter only. Every quarter we are booking revenue in this trajectory of INR130 crores and the loss is closer to INR1 crores. But only for this fourth quarter, we are seeing this loss rising to INR110 crores. So that was my only reason. Last year also --

Saunak Gupta: It is actually dependent upon whatever is our mining and dispatch plan to our Ferro Alloys business. So, that can be quarter -to-quarter depending upon whatever is our production plan.
Saket Kapoor: Sir, these are the extraordinary costs? It is a significant number, INR112 crores for the year as a whole.
Saunak Gupta: No, it includes routine cost and UCL e xpenses.
Saket Kapoor: Right. Sir, when we spoke about this ethanol project, what is the capex that we have outlined for the project and when will we start spending on the same?
Prem Khandelwal: BNM ?
BIjayananda Mohapatra: The project cost is around INR140 crores and now we have applied for the single window clearance to the government of Orissa and as well as we have applied for this environment clearance to MOF. So we have this one hearing on 14th May. There is some concer n that also we have replied. Hopefully, we will get the EC by next month. So, after that, this land belongs to us.
So then we can start about the land preparation, all these things. Then simultaneously, we will go for the project execution.
Saket Kapoor: And when will be any timeline when we will be commissioning this project?
Bijayananda Mohapatra : This is generally around 12 to 14 months.

Saket Kapoor: And on a capex of INR140 crores, what should be the expected top line since 1,20,000 litres you mentioned, I think so.
Bijayananda Mohapatra : There is a 120 KLD used to call kiloliters per day.
Saket Kapoor: So at today's value of ethanol, what should be our optimum revenue at full capacity?
Saunak Gupta: So it is what you correctly mentioned. It is 1,50,000 or basically 150 KLD. And in that cost of INR140 crores, INR30 crores is related to our own land. So we will not actually have any pay-outs on that. So overall, our investment will be somewhere around I NR100 crores -INR110 crores. And of this –
Prem Khandelwal : Saunak, he is asking Revenue, turnover?
Saunak Gupta: So, turnover would be somewhere around -- once we achieve that 150 KLD, it will be around INR200 to INR220 crores to start with. But it will depend upon the market price, which can increase.
Saket Kapoor: Right. And the margins are also in double -digits. And this product is because I think that the OMC will be fetching the --
Bijayananda Mohapatra : OMC is the controlling authority, sir.

Saket Kapoor: And last point is on the tax provision part. We find that there is a higher tax outgoing. Any prior period item also we are seeing or what could be the reason? The profitability is definitely higher. So what is our tax rate currently?
Prem K handelwal: Tax rate is 25% Saket. We have gone for new regime. So tax rate is 25%. I don't think tax rate is high. Because of high profitability, tax is high.
Saket Kapoor: And just to conclude, employee benefit also include the director r enumeration, the promoter's commission also. That is the reason why it has gone up for this cost.
Prem K handelwal: No, no. It has gone up because of the normal increments, as well as the commission also. Because of higher profits, higher commission.
Saket Kapoor: And sir, I would also like to thank the Board for the in

creased dividend pay- out and also the commitment which Panda sir alluded to during the television interview, whether he did. I did not get the fact that he will be sharing the pay-out with his inves tors as has been the case as the precedent be. So we are really grateful to the team for agreeing to this task and rewarding their shareholders in the best possible way.
Prem K handelwal: Thank you, Saket. And this has already been the management priority to reward the shareholders wherever possible.
Saket Kapoor: Correct. Correct, sir. And we have acted on the same task. Thank you, K handelwal Ji. And thank you to all the team members. All the best. Thank you.
Moderator: Thank you. The next question is from the line of Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.
Satyan Wadhwa: Sir, can you tell us what the production and sales number was for March quarter? And what would you expect for FY25?
Prem K handelwal: Production for March quarter is 65,000 tons and sales is 68,000 tons. And next quarter –
Satyan Wadhwa: What are we planning for next quarter?
Deepak Mohanty : Next quarter, it will be slightly lower because we had some maintenance in between from which we started from March and completed in May. So, in TCP2 and one furnace at Choudwar and one furnace at Theruba li. So, that will be slightly around 62,000 it will be in that range next quarter.
Satyan Wadhwa: And for the full year, what would you project?
Deepak Mohanty : We are expecting around 250,000 to 26 0,000 as usual in that range.
Satyan Wadhwa: So 62,000 to 65,000 per quarter, is that what you're saying?
Deepak Mohanty : I told normally 250,000 to 260,000 in that range. Around 260,000 only it will be, because we had some maintenance in the initial part of the beginning of the year and all. So taking that into

which happens normally after five to six years in two furnaces, that will reduce, cannot go to the DCM level probably. But it will be in and around 260,000. Okay.
Satyan Wadhwa: All right. Great. Thank you.
Deepak Mohanty : Thank you.
Moderator: Thank you. The next question is from the line of Ashaav Patel from Molecule Ventures PMS.

Please go ahead.
Ashaav Patel: Thank you for the opportunity again, sir. My question is, clear margin pressure is visible
globally, even on large South Africa -based smelters like Mirafra. What is the situation exactly
in China right now? Given that they don't have captive ore, what sort of margins do you think the non-integrated players over there will be making? And do you expect it to inch upward?
Deepak Mohanty : Let me answer. So, actually Chinese market, in fact, their ferrochrome production has gone to
770,000 per month, which was in the range of 600 to 650. And the stainless steel production also
accordingly has gone up there. Only thing, China now, they have a strategy to operate at a very
low margin, but have higher efficiency and higher operational ratio.
So which is going on. And their domestic demand also is not very bad, but only the problem is the real estate sector, for which the government has given certain declarations that they will buy
out and bail out this real estate. If really that happens, things will become better. Otherwise, at the moment, the situation is quite steady.
Demand, supply are matching and going on. And it's not going to go up further at the moment unless government takes some initiative. Otherwise, it is more or less stable. And in the range
of around $0.98, $0.99, which is the level, is workable for most of the people.
Ashaav Patel: Got it, sir. And sir, on a EBITDA basis, EBITDA per ton basis, we will be more profitable than
Chinese smelters, right? Is that correct understanding?
Prem K handelwal: Absolutely.
Ashaav Patel: Okay. So what sort of chrome ore inventory is currently present in Chinese port? Rough
b

allpark?
Deepak Mohanty : Yes, Yes. It's around 2.6 to 2.7 million tons, which is mostly 50 days consumption.
Ashaav Patel: 50 days consumption only. So the inventory looks to be quite on the lower side of the spectrum compared to the usual.
Deepak Mohanty : Little bit delay in shipment and registry issues, which is delaying the thing. But nowadays, probably they are maintaining in that range.
Ashaav Patel: Does this mean …

Deepak Mohanty : They are not maintaining like earlier 3 million, more than 3.5 million. They were in the range of
2.1 million tons stocking, but what I'm telling that is at the ports. Of course, there will be some
inventory in the plants and all, but port stock wise also now they have gone up from 2 to 2.1 million to 2.7, 2.8 in that they are maintaining at the moment.
Aashav Patel: But given that whenever the demand improves in China, does this slow inventory mean that
price increase could last for a longer time until they actually procure the ore again from South
Africa and convert it into ferrochrome and provide the supply in the m arket?
Deepak Mohanty : You see the demand if it goes up naturally prices will go up, but Chinese are trying to maintain a low margin both in ferrochrome and also in stainless steel rather some destocking took place
which has brought the stability in stainless steel particularly destocking. So they are maintaining
that as a strategy.
So that's why they don't want to take it high and then bring it down similar way like which was happening earlier, but nowadays they are operating with low margin at all the places, but
maintaining operational level of 90%.
Aashav Patel: Sure, got it, sir. Sir, next question is regarding the upcoming capex. So as we have already
announced the INR1500 crores of capex, I just wanted to know how the fund outflow is expected
to be spread over the next 5 years to 7 years
Prem Khandelwal: You want year -wise breakup?
Aashav Patel: Yes, roughly year -wise breakup. I understand exact can't be laid down at the start of the project?
Prem Khandelwal: Yes, because that will be difficult to give yea r wise, but since the spread is over a period of 6
years to 7 years we are quite hopeful of funding it through our internal accruals.
Aashav Patel: So except the smelter the entire mining capex will be spread out. So in a single year we won't require any significant amount?
Prem Khandelwal: Yes, even in the space, smelter will be spread over a period of 18 months.
Aashav Patel: And what is the current status of EC, environmental clearance regarding this I lakh metric ton enhancement?
Prem Khandelwal: EC has been recommended for grant of EC. I think within a month's time we should be getting it.
Aashav Patel: and for chrome ore enhancement?
Bijayananda Mohapatra : Chrome ore enhancement already we have got EC for Mahagiri from 3 lakhs to 6 lakhs. We have already got CTO and we have produced in the last quarter. And for SMC also we have got EC
for 6 lakhs enhancing from 3 lakhs to 6 lakhs.
Aashav Patel: So mining EC has already been achieved?

Bijayananda Mohapatra : Yes,
Aashav Patel: But we cannot sell this as a merchant miner this enhanced chrome ore?
Prem Khandelwal: No, 50% of that we can sell, but as a policy we don't do that because that's why we are adding more furnace capacity.
Aashav Patel: And sir given that we already have a robust balance sheet with INR300 crores of net cash and also expecting around INR250 crores as a final settlement from Utkal C and we are already generating INR400 to INR500 crores of annual cash flow which is sufficient to fund the announced capex of INR1500 crores as mentioned by you. So my question is that in the past management communicated of further expansion beyond this 1 l akh metric ton capacity. S

o any concrete plans have been laid down on this par t?
Prem Khandelwal: No, as of now beyond that we have not planned anything concretely because any expansion along with the ore output without ore, we cannot expand in the furnace further.
Aashav Patel: But sir we are meaningfully increasing our ore. At the same time we are increasing our furnace capacity only by 30%.
Prem Khandelwal: No, as of now you see whatever extra ore we are going to get, maybe after 18 months, 12 months to 18 months by that time, this furnace will come up for operation also and in the next phase when we are going to get further ore, then we'll plan the furnace. That is at the very initial stage now. No concrete plans on that as of now.
Aashav Patel: All the best from me. Thank you.
Moderator: Thank you. The next question is from the line of Shubham Sethia from Bajaj Finance. Please go ahead.
Shubham Sethia: Sir our annual production for the year was around 2.6 lakh tons with adding this 1 lakh tons of capacity, so this year output will be in the same range only 2.6 lakh tons?
Prem Khandelwal : Yes.
Shubham Sethia: And from the next year onwards we can expect like if we take 18 months of capex time for the smelter, so we can expect half of the capacity inaugurating from the next year onward?
Prem Khandelwal: In FY27 we can expect net capacity to be operational.
Shubham Sethia: Sir, my next question is again is on the cost front only. So for the overall production in Q4 what was our specific power consumption?
Binoy Agarwalla: So basically specific power consumption is around 4000 units.
Shubham Sethia: Sorry sir?
Binoy Agarwalla: 4000 units per ton of ferrochrome.

Shubham Sethia: Thank you sir.
Moderator: Thank you. The next question is from the line of Anant Mundra from MyTemple Capital. Please go ahead.
Anant Mundra: Hello. Good afternoon, sir. Thank you for the opportunity. Sir, just wanted to seek a clarification. You mentioned the current EC limit is 1.2 million tons for us already. Is that correct?
Bijayananda Mohapatra : Let us say EC we are having a 1.2, 6 lakhs for MMC and 6 lakhs per Sukinda. After EC, we have got the 6 lakhs production from Mahagiri, but 6 lakhs per Sukinda we'll start after getting this underground operation which will take 6 to 7 years.
Anant Mundra: So right now we are producing mainly from Mahagiri. Is that what you're saying?
Bijayananda Mohapatra : Actually, we are doing this open- cast mining from Sukinda that we are restricting to 3 lakhs. So that the underground operation we are keeping those stocks and the rest incrementally, everything we are doing from Mahagiri. Because Mahagiri operation CTO t hat consent to operate that we have got up to 6 lakhs.
Anant Mundra: Okay. So currently, Sukinda you'll just restrict to 3 lakhs, and Mahagiri you'll ramp up to 6 lakhs?
Bijananda Mohapatra : Yes as per requirement with our furnace consumption.
Anant Mundra: And once we have to do the phase 2 expansion of Kalinga Nagar at that point of time we will explore expanding Sukinda to 6 lakhs is that correct?
Bijayananda Mohapatra : Up to 1 lakh we'll require around 2.5 lakh ore. So 9 lakhs is there. 3 lakhs from Sukinda, 6 lakhs from Mahagiri.
Anant Mundra: So Sukinda will not do beyond 3 lakhs that's the correct answer?
Bijayananda Mohapatra : Because unless we go for an underground operation we have to reserve our open-cast stock.
Anant Mundra: Okay. Thank you. That's it from me.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead, sir.
Saket Kapoor: Sir, a small point you mentioned that for this quarter, for quarter 4 we have some overhead and exceptional expenses in the overhauling part and that we have booked for this quarter and the volume dip we will see in the next quarter. This is what you are

communicating?
Prem Khandelwal: Mostly, yes.. Those are overhead expenses it has nothing to do with the volume, Saket. Volume is more or less fixed around 60,000 tons every quarter.
Saket Kapoor: No, sir. When we look at quarter 4 numbers the production number is at 65. We are looking at a lower volume number. This is also not a monsoon quarter. That will happen later on. For Q1,

we are expecting production in the range of 62,000 and for that the expenses will be different. I was just trying to understand whether we have booked the expenses in March quarter or it will have a bearing again in the first quarter.
Prem Khandelwal: Deepak ?
Deepak Mohanty: Okay. I think it will be basically something will be measured equipment and other stuff when issued and booked in the March. Something also will come in April. So, some amount. But the production will be mostly in the level of 63,000.
Saket Kapoor: Right. 63,000 should be our tonnage for the quarter.
Deepak Mohanty : Yes, tonnage wise. For this quarter. I am saying quarter.
Saket Kapoor: And, sir, our realization, as you mentioned, are currently trending up by 3% to 4% as of now. We are 45 days into means 2/1 into the quarter. So, the realization trajectory is the spot prices are up by 3% to 4%. That is what you alluded to.
Prem K handelwal: INR3000 to INR4,000 per ton.
Saket Kapoor: Per ton. That is the spot prices?
Prem K handelwal: Yes.
Saket Kapoor: Okay. And if we take the percentage that we take for the quarterly run rate that we book every quarter, what is that trend there, sir?
Prem K handelwal: No, I didn't get you, Saket. Can you repeat it again?
Saket Kapoor: So, we also have a contracted price index that is set every quarter. Where is that index currency? What is that indicating?
Deepak Mohanty: So, basically, you are talking about the benchmark.
Saket Kapoor: Benchmark, right, sir. I missed the word.
Deepak Mohanty: Benchmark price has gone up in this quarter by $0.8 cents from $1.44 to $1.52 cents.
Saket Kapoor: Okay. And that benefit we will get in the Q1 realization in terms of the contracted volume?
Deepak Mohanty: You see, we will get benefit naturally for that reason. It will go up. And the thing what Mr. Khandelwal has told that it is increasing. Taking all those things into account, we will gain 3000 to 4,000 in the average realization.
Saket Kapoor: Okay. But only dampener will be, we will be selling less than what Q4 has been. Q4 is the highest at 60, closer to 68,000, sir?

Deepak Mohanty: But as the production will be around 53,000, naturally, the sales projection is also at the same rate system, because we don't have really stock to operate beyond the stock. Already last year, we have done. So, we are at the minimum stock. So, that's the level what we are expecting, 53,000.
Saket Kapoor: And sir, our mining lease, for which year, when will the expiry or the renewal come?
Prem K handelwal: Mining lease is up to 2049 and 2055.
Saket Kapoor: Okay. Right, sir. Thank you once again. Thank you, sir.
Prem K handelwal: Thank you, Saket.
Moderator: Thank you. The next question is on the line of Joe Shah from Seven Seas. Please go ahead.
Joe Shah: Deepak, I understand that from June onward, MARAF, South Africa, they will stop announcing the benchmark price. What will be the impact on the pricing? How will they be able to decide on the price?
Deepak Mohanty: Well, it's a big impact, just that bombshell has come on 20th of this month. So, people are working out, have to work out with people, because that was a good base to start negotiations with, but which will not be there. But eventually seems will people ha ve to -- there are many other indices, like your CRU, fast market and many other things are there. So, it has to be

dealt with individual customers, how to bring in certain, whatever the way to further negotiation and moving ahead.
Of course, everybody, including Glencore and all, they are working on that. So, a lot of issues were there, for which they have now stopped it. But anyway, so the things have to change and
change that we managed well. So, we'll be doing all those things in the coming days.
Joe Shah: Right. Now, Deepak, one more thing, I need your views on macroeconomics, because now our
future for IM FA will be based mainly dependent on the ferro chrome price realization. We are
stuck around 10,5000, 2,000, 6,000, something like that. But now, people are talking about the Fed rate cut in maybe 6 to 9 months, if it happens. So, will it increase the amou nt of commodities
and standardization and hence ferro chrome? What is your view?
Deepak Mohanty: Well, you see, I've just attended ICDR, where SMR presented a paper, where particularly for
stainless steel sector, they are expecting around 4% growth. And even the ISSF have told also
there will be 3.6% hike in stainless steel consumption. And we are expecting, which is at 58
million stainless steel worldwide production, back to reach 59.5 million tons in this '24 calendar
year. So, I don't think there will be much issues at the moment. People are changing, but I think
it will not and Chin a trying to bail out their residential, these real estate people. If it happens,
things will be more or less steady.
Joe Shah: Sir, but suppose there is a Fed rate cut, then it will increase the demand for our standard steel beyond our target consumption will go up? It is generally believed that with Fed rate cuts,
consumption will go up and...

Deepak Mohanty: You see, China is producing more, but they have to have the opportunity to sell. And Europe,
particularly Germany and many other places are not in very good shape economically. Inflation,
debt inflation and interest rates and everything. So, with all those things, that's why people are,
even with the negative sentiment, they are telling that their consumption is expected to grow
around 3% to 3.5%, which is, according to me, is very good. If that remains, things will not
behave well.
Joe Shah: Okay. Okay. Thank you.
Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Abhishek
Sawant for closing comments. Over to you, sir.
Abhishek Savant: Ladies and gentlemen, your presence on this conference call today has been greatly appreciated.
You've had the opportunity to explore IMFA's future growth strategies and discuss how we plan to navigate through the challenging times. Our optimism for the gr owth journey ahead, not only
within India, but also in other regions, remains steadfast.
On behalf of the company's esteemed board of directors and dedicated management team, I extend our heartfelt gratitude to each one of you for your active participation in today's call.
Your interest and insightful questions have been a valuable contributi on to our discourse. Should
you have any further inquiries or require additional information, please do not hesitate to reach
out to us, or you can contact my colleague, Aryan Rana at aryan.rana@veritasreputation.com .
We remain at your service to address any queries you may have. Once again, thank you for being a part of this conference call. We eagerly anticipate a promising future and a continued growth
together in FY 2025. Wishing you all a fruitful and fulfilling t ime ahead. Thank you.
Prem K handelwal: Thank you.
Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

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The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza
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Bandra-Kurla Complex
Bandra (E)
Mumbai-400051
Stock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcr ipts
Dear Sir I Madam, 14th November 2024
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor I Analyst Call held on sth November, 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 3Qth September 2024 is attached herewith .
You are requested to take the same on record.
Thanking you
(PREM KH ELWAL)
CFO & COMPANY SECRETARY
Membership No: F3526
Encl : As above.

"Indian Metals & Ferro Alloys Limited Q2 FY25
Earnings Conference Call "

November 08, 202 4

MANAGEMENT : MR. PREM KHANDELWAL – CHIEF FINANCIAL OFFICER & COMPANY SECRETARY
MR. BIJAYANANDA MOHAPATRA – CHIEF OPERATING OFFICER
MR. SAUNAK GUPTA – DEPUTY CHIEF FINANCIAL OFFICER
MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS

MR. SANDEEP B. NARADE – HEAD, MINES BUSINESS
UNIT
MR. SURESH BABU – HEAD, FERRO ALLOYS BUSINESS
UNIT
MR. M. VENKATESH – HEAD SALES AND MARKETING ,
FERRO ALLOYS BUSINESS UNIT
MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION

Moderator: Ladies and gentlemen, good day and welcome to the Analyst Conference Call of Indian Metals & Ferro Allo ys Limited arranged by Veritas R eputation.
At this moment, all participant lines are in the listen only mode. Later , we will conduct the question and answer session. At that time, if you have a question, please press " *" and "1" on your touchtone keypad. Please note that this conference call is being recorded.
I now hand the conference over to Mr. A ryan Rana from Veritas Reputation. Thank you and over to you , sir.
Aryan Rana : Thank yo u. Good evening and thank you for joining this C onference Call with Indian Metals and Ferro Alloys Limited to "Review " our "Financial Results " for the 2nd Quarter of Fiscal Year 2025 ending September 3 0, 2024.
IMFA has seen a remarkable year with about 80% increase in market valuation in the past one year and over 700% in the last 5 years recently got re-affirmation of our credit ratings by ICRA . Our long-term facility rating remains at AA - with a stable outlook while our short -term rating continues at A1+. This endorsement reflects IMFA's r obust financial performance with sustained profitability, strong cash flows and solid debt coverage indicator s projected to remain strong in the near term .
The improved financial profile is largely a result of effective debt reduction since FY22 and the compan y is favorably placed for growth in the F erro Chrome sector . As a fully integrated manufacturer of quality Ferro Chrome and a leader in the industry , IMFA benefits from a highly competitive cost structure driven by self -reliance and chrome ore and power production . We remain one of India's top F erro Chrome exporters with a diverse operational portfolio encompassing chrome ore mining, electricity production and F erro Alloys smelting.
Our Financial Results are available on our website in the stocking changes for further reference . Please note that today's discussion may contain forward-looking statements that involve risks, uncertainties and other factors. These statements should be considered in light of our businesses risk which could impact future performance or results.
Joining us today are key members of our management team, Mr. Prem Khandelwal - Chief Financial Officer and Company Secretary; Mr. Bijayananda Mohapatra - Chief Operating Officer ; Mr. Sa unak Gupta - Deputy Chief Financial Officer ; Mr. Binoy Agarwa lla - Head of Power Business Unit; Mr. Sandeep B Narade – Head, Mines Business Unit; Mr. Suresh Babu – Head, Ferro Alloys B usiness Unit and M r. M. Venkatesh - Head Sales and M arketing , Ferro Alloys B usiness Unit.

We will start with the " Brief Overview " of our Q2 FY25 Results , after which we will open the floor for questions. With that, I will now hand over the call to Mr. Prem Khandelwal ji – our CFO. Over to you, s ir. Thank you.
Prem Khandelwal : Thank you, Arya n, and good afternoon, everyone. Thank you for joining us on today's E arnings Call for Q2 FY 25.
We are pleased to report Results that exceeded our expectations for this quarter, reflecting the hard work and commitment of our team and our strategic focus on operational efficiency. Our profits came in stronger than anticipated, bolstered by solid performance across our key segments. This positive outcome reinforces our confidence in the strength and resilience of our business model ev en as we navigate a dynamic market environment.
Looking ahead, we expect the upcoming quarters to continue this trend. We anticipate stability in demand and pricing which should allow us to maintain a steady performance. We remain committed to driving sustainable growth supported by our investments in technology and efficiency i mprovements . We are grateful for the c

ontinued support of our stakeholders and we
are eager to build on this momentum. Thank you once again for your trust and partnership and we look forward to your questions now.
Moderator: Thank you very much, sir. We will now begin with the question and answer session. The first

question is from the line of Sid Mehta from HNI . Please go ahead.
Sid Mehta : I have a question , if you can clarify my understanding of the operations going forward , if I read it correctly based on the CNBC interview I saw today, it seems that in the future, in the year FY25-26, there will be probably, the quantity of production will be more or less what we have going right now, b ut there may be an improvement in the price as well as there is currently a reduction in the cost of coking coal, and that both aspects together should be expected to increase our profitability going forward. So, is this one correct outlook that I am having?
Prem Khandelwal : No, for the next quarter, I don't think the MD has indicated that.
Sid Mehta : For the next 15-18 months, 15 months ?
Prem Khandelwal : No, I don't think he has indicated that because in our business predicting more than 2 quarters is very difficult. So, what he has mentioned in the interview that next 2 quarters looks like that we are going to maintain these kind of margins. Beyond that, it is very difficult to predict anything, so we need to see where the market is at that point of time and the demand and supply situation will determine the price.
Sid Mehta : So, in FY25-26, we will be setting up the expansion facilities and after FY 25-26, the year after that pretty much we would start seeing some result of the expansion, right , so the quantity would

increase o nly at that time, today we are producing everything we can and we are s elling everything we can ?
Prem Khandelwal : Yes, that is right.
Sid Mehta : So, any improvement in the next year, next FY would come mainly from price increases, if any if they take place, right ?
Prem Khandelwal : Correct.
Sid Mehta : And maybe foreign exchange improvements also?
Prem Khandelwal : And maybe some cost reduction. It all depends on where the market is at that point of time.
Sid Mehta : So, once we pass over this scenario, if I am understanding it correctly, we will get an expansion of roughly 40%. So, if our capacity would go from say about two point some lakh tons to another probably 1 lakh tons added end to that ?
Prem Khandelwal : Yes.
Sid Mehta : And say , 2-3 years after that we would look to probably expand another 2 lakh tons if I am understanding correct?
Prem Khandelwal : Another 1 lakh ton.
Sid Mehta : The second expansion also would be this underground mining and all that , that would also be 1 lakh tons?
Prem Khandelwal : Yes, that will start somewhere in FY28 or FY29.
Sid Mehta : Would you like to add anything to this outlook as I am seeing?
Prem Khandelwal : No, I think pretty much you are on this thing , as you said, next year we cannot predict anything, but next 2 quarters , yes, that we can predict that it is more or less likely to be like this.
Sid Mehta : Now, in terms of the global situation, our position today is such that we can sell everything that we are making , we are one of the lowest cost producers. If Africa, maybe if the situation improves or if the world goes slightly into recession , a little bit here and there, I don't see that it should affect us right very much because r ight now, at 90 -95 cents, we are already among pretty a low price at the moment ?
Prem Khandelwal : You see, we are at such a level in as far as cost curve is concerned that if prices come down at certain unsustainable level , then most of the facilities would be shut down worldwide. So, almost

70%-80% capacity wil

l shut down, but even at that level, we would be mak ing s ome money.
That is the advantage we have.
Sid Mehta : So, such a bad scenario seems unlikely that people will drive the price down so low that they?
Prem Khandelwal : Yes, very unlikely and if it happens, then you see the kind of jump back we have seen earlier also.
Sid Mehta : One last question, what is your view on what are the options available to us to discuss the money that will come to us?
Prem Khandelwal : No, the money , as of now , you may know that lot of expenses have been lined up . Almost , we have to spend almost Rs. 2,000 crores in next 6-7 years. So, apart from the dividend, I don't see any further disbursement.
Sid Mehta : No further windfall disbursements ?
Prem Khandelwal : No, as of now, we are not anticipating any such kind of thing because we would be needing money for expansion lot of expenses.

Sid Mehta : It is the correct thing .
Prem Khandelwal : Yes.
Moderator : Thank you. The next question is from the line of Dhviti from Molecule Ventures . Please go ahead.
Dhviti : I had a question that g iven the new capacities will be on stream in 2 years and we already have our mining capacity approval. So, do you plan to expand to any inorganic routes like acquisition of some smelting capacity just to achieve the volume growth in FY 25 and FY 26?
Prem Khandelwal : We are open to that D riti and we are in fact looking for those kind of opportunities in the market also, but nothing lucratively is available at the moment. So, if something comes up, definitely we will look for that.
Dhviti : And sir, if you could help me with the cost of production for Q2 FY 25?
Prem Khandelwal : Q2 FY25, t he cost of production was Rs. 6 9,600.
Dhviti : And EBITDA per ton?
Prem Khandelwal : And EBITDA was Rs. 176 crores which is around 25.38%.

Dhviti : And sir, power for this quarter and also if you could help me with the coal cost and coke cost ?
Prem Khandelwal : Power cost variable cost for Rs. 3 .85 paisa and the coke cost was Rs. 1 6,545.
Moderator : Thank you. The next question is from the line of Joe Shah from Seven Seas . Please go ahead.
Joe Shah : Now Prem, regarding this legal stake, we know that the Supreme Court has rejected review petition filed by Union of India, a ll the legal rows are closed now and now this hanging bigger stakes is a big t ension for us. We are also not able to utilize the compensation which we have received for UC. Now, I think the only option left is the parliamentary action which is not a small job, but I remember our Vice Chairman during Manmohan Singh’s time, he was coordinating with all the Central India States for mineral matters. He is a brilliant person, we know and he is an elected Member of Parliament from Orissa and very active in Parliament, so I think this, this better should be taken up by him, not just for the benefit of IMFA , but for the benefit of the entire mining industry and because it is very important that this matter is sorted out amicably in the interests of the industry, which Indian Government of India also believe that this is very unjust ruling by Supreme Court. So, now do you have any idea of what is happening in Parliament for this matter?
Prem Khandelwal : No, I have no idea about that, but I believe this matter has been taken by all the min ing companies with the government and in fact FIMI has also given their representation that this levy should not be allowed. So, beyond that, I have no idea. And our MD has also taken up the matter with the ministry. So, all the companies are jointly taking the action , so let us see hopefully there should be some amicable solution to this, but beyond that I won't be able to comment anything on this .
Moderator : Thank you. The next question is from the line of Sanjeev Goswami from Fractal Capital Investments

. Please go ahead.
Sanjeev Goswami : Sir I was saying the production of Chrome Ore, actually declined by almost 50%, while Ferro Chrome production has gone up by more than 10%. So, do we really buy Chrome Ore from other mining companies like Orissa M ining Corporation? Or we had enough inventory of Chrome O re initially ?
Sandeep Narade : Yes, we are having the inventory and if you compare with the last year , it sounds to be dropped, but this year the monsoon was quite long and there was a rainfall almost all the days. So, that was the main reason. And last year , the monsoon was delayed , so we could make up the production in H1 and you can see the difference is of almost 1 lakh tons, so there is no direct impact of this. So, we are in line and in Q1 it was 100% , in Q2 about 18% less. But yes, we have the stock . We are having the inventory of ore, s o no need to buy from others.
Sanjeev Goswami : And generally, we don't buy Chrome Ore from outside ?

Sandeep Narade : We don't buy it.
Sanjeev Goswami : The reason I am asking is because if you look for FY21 to FY24, your F erro Chrome production plus Chrome Ore has come down from 0.5 to 0.39 in FY 24. So, is it because the production of Chrom e Ore coming out is better or what exactly explains that?
Prem Khandelwal : No, we didn't get your question. You are talking about Chrome Ore consumption in terms of Ferro Chrome ?
Sanjeev Goswami : Yes, exactly.
Prem Khandelwal : No, I don't know from where you got the figure, but Chrome Ore in terms of F erro Chrome, the chrome ore consumption is almost 2.3, I am seeing all the year , 2.3-2.4, it is not coming down.

Sanjeev Goswami : So, if you look at FY21 to FY2 4, the Chrome Ore production increased from 5,21,000-6,70,000. That is increase of almost 1, 50,000, while the production of Ferro Chrome increased only 5,000?
Prem Khandelwal : Yes, b ut that is not the comparison, because we are holding inventory, b ut consumption is almost same. It is around 2.4 tons per ton of Ferro Chrome.
Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor : We have spent around Rs. 41 crores for the first half for the purchase of property, plant and equipment. So, how much of this is to be our new furnace project and when are we going to start spending in a major way, CAPEX for the new project?
Suresh Babu : We have started our boundary work from the last month and the boundary work will be completed by the end of this December. So, we are expecting to start the furnace by 2026 July.
Saket Kapoor : And we have placed the order for the equipment s?
Suresh Babu : Yes, major packages we have order ed, like power plant and other electrode systems of the furnace and packages we have already made LOA and some of them were ordered.
Saket Kapoor : And when will we draw money? When will we paying them for that ? In which quarter we will be drawing cash for the same?
Suresh Babu : The payment will begin from the Q2 beginning of the next year , some of them in the Q1 and major will be com ing Q2 of the 2025.
Saket Kapoor : And how much have been entrusted with? What will be spending on this in terms of the plant equipment?

Suresh Babu : Plant equipment for furnace packages , it will be around Rs. 181 crores and power plant is around Rs. 95 crores and other we have paid till date around Rs. 63 crores.
Saket Kapoor : And s ir, what is our cash balance, if you could give me in terms of our investment in liquid funds and what is the cash on books ?
Prem Khandelwal : Total cash and bank balance as on date is Rs. 869 crores .
Saket Kapoor : And our working capital requirement is?
Prem Khandelwal : Working capital is Rs. 240 crore s.
Saket Kapoor : So, -600 i

s net cash where we are here?
Prem Khandelwal : Yes.
Moderator : Thank you. The next question is from the line of Sid Mehta from HNI. Please go ahead.
Sid Mehta : My question relates to our expansion going into ethanol production. I am just curious, not a criticism or anything that about what is the reason that while we are making Chrome O re, we decided to get into a different field altogether and right now from my understanding the sales on that would be around Rs. 300 crores, which is a fairly small amount for us as a compan y. So, doing some different business, getting into a whole different area, but getting a small amount of revenue , so I a m just curious what was the reason , I am not criticizing or anything, I am just curious about this and will this 30 0 one day become Rs. 3,000 crores also or it will remain Rs. 300-Rs. 400 crores like that ?

Bijayananda Mohapatra : Actually , we have diverted this new project as a diversification and we have a land at Therubali. So, utilizing that one , this one and initially we are going for 120 KLD , afterwards we will go on increasing the capacity seeing the plant performance.
Sid Mehta : So, if we go for maximum capacity in the future given our land, roughly what would you expect the sales say in today's prices to be , in theoretically, what would be the maximum sale?

Bijayananda Mohapatra : Maximum 120 KLD means around Rs. 300 crores. So, add another 120 will increase to another Rs. 300 crores like that we will, phase wise will expand not at a time.
Sid Mehta : Total how much KLD you can put ?

Prem Khandelwal : That would be difficult to say anything at the moment because it depends . We are just experimenting now with 120 KLD and very successful and if we get extra land there then we will expand further , but nothing concrete has been worked out.
Sid Mehta : So, in the future, we can go for 300-500 KLD like that ?
Prem Khandelwal : Yes, because you see the Ferro Chrome production in that area, logistically there is a disadvantage around Rs. 6,000 per ton. So, it doesn't make any sense in expanding F erro Chrome in that area. So, we have enough infrastructure s available there, lot of land is available, railway siding is available and that is a full agriculture belt. So, maize, r ice, everything is available in plenty there. So, that was the reason for expanding in ethanol and we are seeing lucrative business and if it is successful then we will expand further.

Sid Mehta : So, it is likely to be successful because are there any other people doing the same business , they are taking ethanol out of maize in that area and selling ?
Prem Khandelwal : No, that area, I think nobody else is there. So, that is why we have started. We have pioneered there.
Sid Mehta : Let us hope it all works out, I am glad that some new initiative is there and by God's grace, let us say one day it can go from 120 to maybe 1,200 also.
Prem Khandelwal : Let us hope so.
Moderator : Thank you. The next question is from the line of Kaushal Kedia , an Individual Investor. Please go ahead.
Kaushal Kedia : Sir, I want to ask you in one of the annual reports , you mentioned that you have proven capacity in the reserves are 21 million tons and in some earlier interview , I think someone had mentioned that it can increase also , you have not done proper survey of the area. I want to know what is the kind of reserve that you have in the mines ?
Sandeep Narade : Can you please repeat the question?
Kaushal Kedia : What are the mining reserves that we have, proven reserves ?
Sandeep Narade : Number as of now , I am not having with me right now, but yes, we are having enough reserves for our lea se period from both the mines.
Kaushal Kedia : So, we are comfortable for the next 20 -25 years?
Sandeep Narade : Yes.

Kaushal Kedia : So, it is upwards of I am assuming 21 million tons ?
Sandeep Narade : Yes, roughly.
Kaushal Kedia : Sir, and can you just repeat what was the EBITDA cost per ton?
Prem Khandelwal : EBITDA cost p er ton is around 77,500.
Kaushal Kedia : Sir, a nd the new furnace that we are setting up, where will we get the power from?

Bijayananda Mohapatra : Actually , we are setting up the power plant in the Kalinga nagar and whatever our thermal capacity is now , it is now catering there. So, for future we are getting tie up with the renewable energy , it is a hybrid solar plus wind. So, with that gr id power we will go for that furnace.
Kaushal Kedia : No, which CAPEX that we are doing, it includes setting up of how many megawatts of power plant ?
Bijayananda Mohapatra : No, we are starting up a small power plant, utilizing the furnace gas. It will be around 9 megawatts. That is beneficial to just using the heat from the flue gas. That is now re al thermal power plant.
Kaushal Kedia : So, the balance will be dependent on the gr id only?
Bijayananda Mohapatra : Not in grid. We are getting tie up with the captive hybrid power plant.
Kaushal Kedia : What does that mean , captive hybrid power plant ?
Bijayananda Mohapatra : That means somebody setting up a solar plus wind energy, we have to set as a stakeholder.
Kaushal Kedia : So, we will be investing in that as equity shareholder ?
Bijayananda Mohapatra : Yes.

Kaushal Kedia : So, a third party setting it up and we will be investing in that ?

Bijayananda Mohapatra : Yes.
Kaushal Kedia : And how much is that investment , Rs. 95 crores?
Prem Khandelwal : Rs. 120 crores.
Kaushal Kedia : So, that is including in this CAPEX or you included in this CAPEX or that is a separate investment ?
Prem Khandelwal : No, that would be separate CAPEX . It is not included in the furnace.
Kaushal Kedia : And sir, to set up 1,00,000 tons of furnace, what is the cost ? Is it Rs. 500 crores or Rs. 1, 000? I am confused because when I like last ?
Prem Khandelwal : No, it is around Rs. 650 crore s, Kaushal. Furnace is Rs. 6 50 crore s and for mining it is around Rs. 1,000 crore s.
Kaushal Kedia : And this mining is to go to 1. 2 million tons?
Prem Khandelwal : Yes, 1.2 million tons.
Moderator : Thank you. The next question is from the line of Joe Shah from Seven Seas . Please go ahead.
Joe Shah : Regarding power investment mentioned of about Rs. 85 crores in Kalinga nagar, that is for processing power from the gas, right?
Binoy Agarwalla: That Kalinga nagar power plant is around 9 megawatts. That power generation will be done from

the furnace of f gas.
Joe Shah : So, we will be producing 9 megawatts of power from this furnace gas?
Binoy Agarwalla: Yes.
Joe Shah : Now, one more thing, Prem, this Sukinda underground mining, which we are going to start when we are starting with the project underground because it is very challenging project, underground mining and what is the timeline and how much investment should be needed?

Sandeep Narade : Yes, the timeline is next 5 -6 years to start the improved production and investment will be about Rs. 1,000 crores.
Joe Shah : And when we will be starting this underground project ?
Sandeep Narade : We have already started some work.
Moderator : Thank you. The next question is from the line of Akhilesh B, who is an I ndividual Investor. Please go ahead.
Akhilesh B : Sir, I have two questions. So, one is on the Supreme Court verdict which came few months back that State Government can also get the royalty h ave you had any discussion with your state government in O rissa? Is there any idea you a re getting about how it will proceed

going ahead?
Prem Khandelwal : No, that Act has been struck down in Orissa High Court and the State Government has gone to Supreme Court against that. So, that is pending since so many years now. So, unless the act is reenacted, nothing is payable as of now.
Akhilesh B : So, do we have no contingent liability on other ?
Prem Khandelwal : No, there is no demand , there is no conti ngent liability. So, that is how we are not showing anything in our books and even Tata Steel also which had quantified earlier this quarter , they have also withdrawn that note because there is no demand, there is no act as on date.
Akhilesh B : So, as on date, royalty is still decided by the center ?
Prem Khandelwal : Yes, IBM, not center , IBM.
Sandeep Narade: Royalty will be the 15% and IBM declares the price on which we pay royalty.
Akhilesh B : And that is s tatus quo , nothing has changed since this process ?
Prem Khandelwal : Yes, nothing has changed .
Akhilesh B : And unlike Tata Steel, we didn't even have any contingent liability or demand in the past, so?
Prem Khandelwal : That was when Tata Steel had any demand, I don't know how they have shown it because the act was struck down. So, obviously, there is no demand.
Akhilesh B : That worried lot of investors ?
Prem Khandelwal : So, now they have modified the note. This quarter result , they have now modified note.

Akhilesh B : And s ir, second question is , can you refresh us on this ethanol project? What is our total CAPEX? When is the payback period, our expected EBITDA once it transfers refreshes only?
Saunak Gupta : So, on the ethanol project, our CAPEX is approximately Rs. 140 crores a nd we expect to get this around in 6 years' time (the payback period).
Akhilesh B : And what can be the projected EBITDA at full utilization?
Saunak Gupta : In full utilization , we expect it should be somewhere around 14 %-15% EBITDA .
Moderator : Thank you. The next question is from the line of Pavan Kaware from NMV Securities. Please go ahead.
Pavan Kaware: Sir, my question is on CAPEX. In quarter 4 of FY24, you had given a CAPEX number of Rs. 1,500 crore , is there any improvement in that number?
Prem Khandelwal : Improvement , you meant reduction?
Pavan Kaware : Obviously , you have said 2000 today?
Prem Khandelwal : No, 2000 is because there are several CAPEX items are there like we have furnace capacity, then mining, then ethanol , then RE power, all put together is around Rs. 2,000 crores.
Pavan Kaware : If you can give me a break up of this Rs. 2,000 c rores?
Prem Khandelwal : Estimated around Rs. 650 crores furnace, Rs. 1 ,000 crore for mining, Rs. 140 as Mr. Saunak said, Rs. 140 for ethanol and roughly Rs. 100-Rs. 120 crore f or RE power.
Pavan Kaware : So, what is the expected CAPEX for this and the next 2 years?
Saunak Gupta : So, this year , we expect to be around, if I go by the order release , will be around Rs. 600 crores CAPEX. Next 2 years, we are in the finalization stage. So, we will be actually framing it out.
Pavan Kaware : So, out of this Rs. 600 crores for this year , what was the executed CAPEX till now in half year ?
Saunak Gupta : As of now, what Suresh mentioned especially the Kalingan agar project we have around if I say executed is around Rs. 60 crores , and a portion which the ethanol has started. So, there we have some and the rest of them would be the routine CAPEX which we have spent around Rs. 50 odd crores . That is the thing as of now. So, what we mentioned this basically is on the basis of order

released. So, the overall order released is in that tune, annually Rs. 600. But as of now we have released in the tune of about Rs. 300-350 crores.
Pavan Kaware : So, out of t his 600, if it include s maintenance CAPEX?

Saunak Gupta : Yes, routine CAPEX is included .
Pavan Kaware : What is your routine CAPEX sir ?
Saunak Gupta : It is around Rs. 70-Rs. 80 crores .
Pavan Kaware : Rs. 70-Rs. 80 yearly ?
Saunak Gupta : Yes.
Moderator : Thank you. The next question is from the line of Mohit Madh iwalla from Envision Capital. Please go ahead.
Mohit Mad hiwalla: Sir, I just wanted to understand that has there been any reclassification of costs in the cos t of material consumed line item?
Prem Khandelwal : Yes, from this quarter onwards, we are showing power and fuel separately. So, if you see our results, there is a line item of power and fu el expenses of Rs. 101 crore s.
Mohit Madhiwalla : So, this was earlier being ?
Prem Khandelwal : This was earlier clubbed under the raw material consumptions, but the auditors have advised that no, this is not part of raw material, t his is a separate line item. So, we have segregated thi s and that is why the two items are appearing now.
Mohit Madhiwalla : And I just wanted to confirm a few things in terms of the capacities that we have and all of that. So, on our F erro Chrome production capacity, we are currently at 2,84,000 tons, right?
Prem Khandelwal : Yes.
Mohit Madhiwalla : And what would be the utilization for this quarter?
Prem Khandelwal : I didn't get utilization for this quarter means we are running at full capacity now. So, on average , we are producing around 65,000 tons every quarter.
Mohit Madhiwalla : And I also wanted to check on the ethanol plant just in terms of when the revenues are expected, just a little bit on that as well?
Prem Khandelwal : We are expecting it to be operational by end of December 25 , so last quarter of FY26, we should be seeing that.
Mohit Madhiwalla : Sorry, last quarter of FY26?

Prem Khandelwal : December FY25, we are expecting it to be operational. So, January to March quarter 26, we should be seeing the revenue out of that.
Moderator : Thank you. The next question is from the line of Joe Shah from Seven Seas . Please go ahead , sir.
Joe Shah : Prem, t his is a rather futuristic statement or suggestion. Now , there is a lot of interest and discussion about the ethanol. Now , there is a very interesting program which is called sustainable aviation fuel , SAF, which is p roduced using ethanol as a f eedstock to process like alcohol -to-jet ATJ. Now, India is seeking expertise from US , Europe about this SAF blend and SAF blend is getting mandated for aviation, so this is the confusion this SAF production in future , we are establishing the ethanol , this ethanol we built mainly for the vehicles on the roads. Now , this is for the aviation fuel and India is supposed to become global hub of this SA F because of our location , so this is number one? Number two is, this is an interesting point , now CBAM is a carbon border adjustment mechanism tax. It is coming into effect in Europe in 2026 because now, everyone is becoming aware of carbon tax and carbon emission and they want to control it. So, Europe is going to le vy tax only for the carbon emission and that will make freight very expensive. So, freight of chrome ore from South Africa to China will become more expensive. And China, US, Japan, Korea, they are also considering this kind of carbon tax. So, that will put us in benefit in a way because already , as our power generation is concerned, we are using renewable energy, and our underground mining is also producing less of pollution . So, these are our benefit. So, maybe time will come when the import a good kind of import from us more beneficial than doing all the processing and getting from other places. This is another. CBAM is a very interesting point which we should keep in mind.
Prem Khandelwal : Thank you.
Moderator : Thank you. The next question is from the line of Pavan Kaware from NMV S

ecurities. Please go ahead.
Pavan Kaware : Sir, my question was on our CAPEX plans on our mining and Chrome capacity expansion. So,

what is the expected time when we can see the full capacity expansion in mining and coal production both?
Prem Khandelwal : Mining will be in stages . Sandeep , could you give the dates?
Sandeep Narade : So, we are expanding this S ukinda mine for the production capacity in the first phase , 6 lakh tons per annum. Right now , we are producing 3 lakh tons . So, from that we will move to 6 lakh tons. So, that will come in FY31 .
Pavan Kaware : This is about the mining and what about this 1.2 lakh tons in expansions ?

Prem Khandelwal : That is the mining , Sandeep is talking about Pavan, 1.2 million tons , ultimately we will reach 1.2 million tons . From both the mines , together it will be 1.2 million tons.
Pavan Kaware : And basically expected in FY31?
Prem Khandelwal : Yes.
Pavan Kaware : And what about the F erro Chrome capacity increasing by 1 lakh ton ?
Prem Khandelwal : That will come in 2nd Quarter of FY26.
Pavan Kaware : So, it will be counted in financial year 27 ?
Prem Khandelwal : Yes.
Pavan Kaware : So, our current capacity of mining is 6. 51 lakh, s o will it be possible to produce this much tons of Ferro Chrome b ecause for this 3.84 lakh, we will be requiring nearly 8. 8 lakh?

Bijayananda Mohapatra : Just a minute. These are our product ion. Our capacity is now 9 lakh only, Mahagiri u nderground is 6 lakh and Sukinda opencast 3 lakh. So, as on date, our capacity is 9 lakh.
Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Abhishek Sawant for closing comments.
Abhishek Sawant : Thank you. Our Q2 performance has been solid, driven by consistent growth, higher revenue and improved margin. Thanks to our fully integrated model and debt free balance sheet. While the global stainless steel demand is under pressure due to economic slowdown, China ’s recent economic indicators show promise with their October PMI marking the first growth in 6 months, along with stability in the real estate prices . This is encouraging for the F erro Chrome market, especially as many global regions face uncertainties. Rising power costs in South Africa may also drive China to seek alternative F erro Chrome sources potentially benefiting our industry. As we move forward, we are focused on our expansion plans, which are progressing consequently. Thank you all for joining and we look forward to continuing positive moment um. On behalf of the Board of Directors and management, we thank you all for your participation in this conference. Have a good day ahead.
Moderator : Thank you very much, everyone. On behalf of India n Metals & Ferro Alloys Limited and Veritas Reputation, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

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The Listing Department
National Stock Exchange of India Ltd.
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Bandra-Kurla Complex
Bandra (E)
Mumbai-400051
Stock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcr ipts
Dear Sir I Madam, 04th February 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street, Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, the transcript of the audio
call recording of the Company's Investor / Analyst Call held on
3Qth January 2025 at 3.00 pm on the Unaudited Standalone and
Consolidated Financial Results of the Company for the quarter and nine
months ended 31st December 2024 is attached herewith .
You are requested to take the same on record.
Thanking you
(PREM K 'A DELWAL)
CFO & MPANY SECRETARY
Membership No: F3526
Encl : As above.

“Indian Metals and Ferro Alloys Limited Q3 FY25
Earnings Conference Call ”

January 30, 2025

M
ANAGEMENT : MR. PREM KHANDELWAL - CFO & COMPANY
SECRETARY
MR. BIJAYNANDA MOHAPATRA - WHOLE -TIME
DIRECTOR & CHIEF OPERATING OFFICER
MR. SAUNAK GUPTA – CFO DESIGNATE
MR. BINOY AGARWALLA - HEAD, POWER BUSINESS
UNIT

MR. SANDEEP B. NARADE - HEAD, MINES BUSINESS
UNIT
MR CH.S.V.C HSURESH BABU – HEAD, FERRO ALLOYS
UNIT
MODERATORS : MR. ARYAN RANA - VERITAS REPUTATION
MR. ABHISHEK SAVANT - VERITAS REPUTATION

Moderator : Ladies and gentlemen, good day and welcome to the E arnings Conference Call of Indian Metals and Ferro Alloys Limited arranged by Veritas Reputation.

At this moment, all participant lines are in the listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press "*" and "1" on your touchstone keypad. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you and over to you, sir.

Aryan Rana: Thank you, Rayo. Good evening, everyone, and thank you for joining us on this conference call to discuss Indian Metals and Ferro Alloys Limited, which is IMFA's Financial Results for the third quarter of Fiscal Year 2 025 ended December 31st, 2024. IMFA India is leading fully integrated producer of Ferro Alloys has delivered a resilient performance in Q3 FY25 despite a challenging market environment, reinforcing our focus on long-term value creation and operational excellence.

Over the past 3 to 4 years, IMFA has transitioned to profitability driven by strong share price appreciation. Also over the last two years, IMFA's market cap has more than doubled and share price has surged by 89%. While EPS has grown at an analyzed rate of 8.3%, the stock's 24% analyzed gain has gained over this period outpaced EPS growth reflecting increasing market confidence in the company's future. In the past year alone, IMFA shareholders have earned a total shareholders return, T SR, of 10% including dividends, while the five -year TSR stands at an impressive 51% per year, reinforcing our track record of delivering value.

Despite headwinds in the commodity markets, our steady long-term contracts and cost optimization efforts have helped us mitigate the impact on Q3 FY25 results, ensuring steady performance in a dynamic environment. Our financial results are available on our website and stock exchanges for reference.

Before we begin, I would like to remind you that today's discussion may include forward-looking statements that involve risk uncertainties and other factors that could impact the future performances and that should be considered to be in the context of our businesses and market conditions.

Joining us on the call today are Mr. Prem Khandelwal – CFO and Company Secretary ; Mr. Bijaynanda Mohapatra – Whole -Time Director and Chief Operating Officer ; Mr. Saunak Gupta – CFO Designate; Mr. Binoy Agarwal la – Head (Power Business Unit); Mr. Sandeep B . Narade – Head (Mines Business Unit) and Mr Chigurupalli Suresh babu – Head, Ferro Alloys Unit.

We will start with a " Brief Overview " of our Q3 FY25 Performance followed by an open floor for questions.

With that, I will now hand over the call to Mr. Prem Khandelwalji – our CFO. Over to you, sir . Thank you.

Prem Khandelwal: Thanks, Aryan. Good afternoon, everyone, and thank you for joining us on today's earnings call for Q3 FY25 .

This quarter our performance came in below expectations with the profits seeing some pressure due to market conditions. While this is not the outcome we had anticipated, we remain focused on navigating these challenges with a disciplined approach to operations, cost management, and strategic planning. Looking a head, we expect some further contraction in the next quarter as sudden headwinds persist. However, we are taking proactive steps to mitigate risk and enhance efficiency, ensuring that w e are well posi tioned for a recovery when conditions improve, which is likely from next month onwards. The expansion and diversification plans are going on track with Kalinga nagar Phase -1 construction to start from next month and ethanol from December 25 or January 26. With Kalinga Nagar Phase-2 thereafter, we are

well poised to double our ferro chrome capacity in the next 3 to 4 years. We appreciate the continued support of our stakeholders and remain committed to delivering long-term value.

Thank you for your trust, and we look forward to discussing our performance and outlook in

greater detail during this call. Thanks.
Moderator: Thank you very much. Shall we begin with a question-and -answer session?
Prem Khandelwal : Yes, now I think we can start with Q&A session.
Moderator: Thank you. Participants who wish to ask questions, please press “*” and “1” on your touchtone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2”.
Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. To ask questions, please press “*” and
“1”. First question is from Manan Vandur from Wa llfort PMS. Please go ahead.
Manan Vandur: Yes, thank you so much for the opportunity. Sir, I had a few questions. The first question would be that, what are the production and sale volume figures of ferro chrome this quarter?
Prem Khandelwal : Just a moment, let me see. Production was 65,865 tons and sales 65,490 tons.
Manan Vandur: Production you said 65,000?
Prem Khandelwal : 65,865 and sales 65,490.
Manan Vandur: Okay. So, the second question would be, what is the cost of chrome ore per ton for this quarter ?
Prem Khandelwal : It's Rs. 9,085 landed at Chou dwar .

Manan Vandur: It is 9,085. Sir, what is the cost of coke per tonne?
Prem Khandelwal : Coke is around Rs. 14,628 .
Manan Vandur: So, that would be for half a ton, right?
Prem Khandelwal : Yes, it's the consumption value I am telling you . It's a part of the ferrochrome cost.
Manan Vandur: Correct . Cost of power this quarter?
Prem Khandelwal : It's Rs. 18,671.
Manan Vandur: Sir, per unit how much would it be?
Prem Khandelwal : Per unit variable cost is Rs. 4.03 and total cost is Rs. 5.27.
Manan Vandur: And sir, the last question would be the what is the average selling price of ferrochrome this quarter?
Prem Khandelwal : This quarter selling price has come down. It is around Rs. 96,943 /-.
Manan Vandur: And how much do we anticipate in the next quarter? Like what would be the range for it?
Prem Khandelwal : You see , giving the exact number is very difficult because you know we are selling on a spot basis also. So, we will come to know at the end of the quarter only.
Manan Vandur: Okay. That's it from my side. Thank you so much.
Moderator: Thank you. The next question is from Aashav Patel from Molecule Ventures PMS. Please go ahead.
Aashav Patel: Thank you for the opportunity. My first question is that what is our EBITDA cost for Q3 this quarter, which went by?
Prem Khandelwal : EBITDA cost is 77,827, Aashav.
Aashav Patel: And roughly what how do we expect the cost per ton to pan out, EBITDA cost per ton to pan out for Q4 which is the current quarter ?
Prem Khandelwal : Q4 I think it would remain more or less at these levels .

Aashav Patel: And sir in terms of hypothetically speaking, if we need, I understand that we have the CTO to double our mining output. Is that correct understanding? From 6 lakh metric tons, we can now mine a total of 1.2 million metric tons of chrome ore .
Prem Khandelwal : Sandeep, would you answer that?
Sandeep B. Narade Yes. We have already received the CT E and CTO to double our production up to 1.2 million tons together from both the mines, Sukinda and Mahagri. We are already having all the permissions.
Aashav Patel: All the permissions, right?
Sandeep B. Narade Yes.
Aashav Patel: So, in case if you need to extract more ore, we can do it right away, from day one we can double?
Sandeep B.

Narade No, not right away. We have initiated the expansion project for that. From Sukinda, we will be doing 6 lakh tons by FY32. So, already we have started working for that. We are converting our opencast mine to underground. T hat project has been started.
Aashav Patel: Okay. And is there a way to expedite that? Can we expect the ore faster?
Sandeep B. Narade No, already because we are converting opencast to underground, s o that will take time and according to that, we have prepared the plan to expedite.
Aashav Patel: But how long does it take to build this underground ore specifically? I just wanted to understand the laid out timeline for the same which is over next 5-6 years. Is it because we have a staggered furnace coming up or is it a time-consuming process to develop the mine itself?

Sandeep B. Narade It is a time -consuming process. It takes about 5 years to start ore production from underground. And that depends upon the type of the ore, what type of ore we are having, how is the quality of the ground. So, all these conditions are taken into consideration for this.
Aashav Patel: Okay. And from Mahagiri, we can any which ways double the output?
Sandeep B. Narade Mahagiri we were doing 3 lakhs tons , 2 years back. From last year started augmenting the production. So, about 15% to 20% per year. At that rate, by FY27, we will be producing 6 lakh tons from Mahagiri.
Aashav Patel: Okay, got it. And how much are you targeting from S ukinda for FY27?
Sandeep B. Narade That will be just 3 lakh tons only from opencast.

Aashav Patel: Okay sir, that's all from me. Thank yo u.
Prem Khandelwal : Thank you, Aashav.
Moderator: Thank you. Next question is from Aditya from Axis Securities. Please go ahead.
Aditya: Thanks for the opportunity. So, just on the previous question, so we will go up to 6 lakh tons at Mahagi ri by FY27 from 3 and Sukinda by FY32. Is that right?
Sandeep B. Narade Yes.
Aditya: And can you just elaborate more on the expansion of ferrochrome from 280 KTPA to 0.5 million tons? How it will happen in what phases ?
Prem Khandelwal : Suresh, can you explain that?
Sureshbabu Chigurupalli: Yes. R egarding this Kalingangar project , we have obtained consent to establish in the month of November and almost major packages order is in progress and by March and April we are going to release us around the order of Rs. 400 crores and we have already released the order of around Rs. 200 crores and we are expecting to power up our first furnace by around first quarter of 26 - 27 by April to June. The June we are expecting, June 26 we are expecting to power up one smelter, and the other smelter with a gap of three months. So, that is how the first phase project expansion plan. That will add around 96,000 for existing power capacity and the remaining inorganic growth also we are planning, wherever it is possible.
Prem Khandelwal : And then in phase two, we will start thereafter , so which is again likely in 3 to 4 years. So, that's how we are planning to reach around 0.5 million tons in 3 to 4 years ’ time.
Aditya: Okay. Any color on the inorganic part, any particular targets we have, any advanced discussion?
Prem Khandelwal : No, nothing as such. We are open to that, but nothing as such at the moment.
Aditya: Okay. My last question is on, if you can throw some light on the current situation on ferrochrome prices. We have seen that in this quarter prices have, can we say that prices have bottomed out and what is the outlook? Any directional color will be helpful .
Prem Khandelwal : Suresh?
Sureshbabu Chigurupalli: In the last quarter , there is a steep fall of ferrochrome prices, and the realization is decreased. So, we are expecting similar prices for the next two months . Anything from M arch onwards there will be a uptick in the prices and now there is a

rollover of the same prices. So, we are expecting the bottom up as happened in both Chinese and European markets. So, we are

anticipating the market condition to improve later part of this quarter and the first quarter of the 25-26.
Aditya: Okay sir . Thank you and all the best.
Prem Khandelwal : Thank you, Aditya.
Moderator: Thank you. Next question is from Madhur Rat hi from Counter Cyclical Investments. Please go ahead.
Madhur Rathi: Thank you for the opportunity. I wanted to understand, we have Rs. 1750 crores CAPEX to increase our production capacity as well as to create a new ferro chrome…
Prem Khandelwal : Madhur, you are not audible. Are you using the speakerphone?
Aditya: Sir, is my audio right now better?
Prem Khandelwal : Yes, little better.
Aditya: Yes. So, I wanted to understand what is the payback period expected from this 1,750 crore CAPEX we are doing on ferrochrome?
Prem Khandelwal : I didn’t get you. What is the…?
Aditya: Sir what would be the payback period for these investments that we are making in increasing production at al l these three so all are steady like b ased on like past 5 -10 years of pricing, we might have taken a short projection . So, on that, what would be the payback for this?
Prem Khandelwal : No, it's very difficult to project the payback as such because our industry is very cyclical. So, if the prices are good, then it can be 2 -3 years also. But if it is not so good, then it could be 5- 6

years. So, predicting any number is very difficult.
Aditya: Okay, got it. We have got into ethanol production, so if I wanted to understand how much are
we going to invest in this? And sir, why are we getting into ethanol when we are a metal player ?
So, what is the rationale behind getting into ethanol?
Prem Khandelwal : This point we have explained in quite a detailed manner in the last concall also, that we have
some surplus capacity available in Therubali, and Therubali we are not expanding ferrochrome
because of logistic disadvantages. So, we are utilizing our idle capacities there. And that is
agriculture belt where enough of raw material is available. So, we are utilizing our idle assets
there to generate some money. Okay, so that was the idea. So, it's a 120 KL plant with roughly
Rs. 150 crore of investment, which will generate around Rs. 300 crore of revenue and EBITDA
margin expected around 10%.

Aditya: Okay, so around 5 years exactly .
Prem Khandelwal : Yes.
Aditya: Sir, thank you so much and all the best.
Prem Khandelwal : Thank you.
Moderator: Thank you. Next question is from Manan Vandu r from Wal lfort PMS. Please go ahead.
Manan Vandur: Yes, sir. Thank you again for the opportunity. So, my question was on coke. So, where do we
get this coke from? This is ex?
Sureshbabu Chigurupalli: Yes, coke we get Ultra -Low Phos Coke from Columbia . And we are also getting semi -coke from
China. There are two sources.
Manan Vandur: Columbia and China ?
Sureshbabu Chigurupalli: Yes.
Moderator: Thank you. Next question is from Joe Shah from Sevens eas. Please go ahead.
Joe Shah: Thanks for the opportunity. Today morning we had excellent CNBC TV18 interview of our
Managing Director. It was very informative. Now , Binoy, I have one question. Now we have
signed up 25 years renewable power agreement with Jindal Group. Now at present what price
we are buying this renewable power?
Binoy Agarwalla: The power will commence by June 26.
Joe Shah: Yes, I see. Okay.
Binoy Agarwalla: That is in line with our requirement.
Joe Shah: Right. No, but what price we will be paying for this?
Binoy Agarwalla: Sorry?
Joe Shah: What rate we will be paying for renewable power?
Binoy Agarwalla: That is ex -generator bus bar tariff Rs. 3. 84 paisa.
Joe Sh

ah: So, that is similar to our thermal power variable cost?

Binoy Agarwalla: Yes, at par with thermal variable cost.
Joe Shah: Okay, good. Now Prem, one more thing. Do we have any expansion plan for ethanol? Because
ethanol demand is going up and government of India is also increasing price and encouraging
ethanol production. Do we have any expansion plan for ethanol?
Prem Khandelwal : No, we are already putting up one plant, so once that is operational, then we will see what are
the nuances in the business, then we will decide.
Joe Shah: Now one question for Sandeep. Now South African situation, our MD also mentioned is very bad from power angle,
have so many problems and same with the transmit all the logistics. So,
nobody is going to South Africa for investment. In the past, in fact, taken bold step of a venture
into Indonesian coal mine, which did not succeed, that is a different story, but we had the guts
to go to Indonesia. So, can we look for some good chromite mine in South Africa to buy at cheap
rate, which will supplement our chrom e ore supply for the ferrochrome production? Do we have
any such plan? Are we exploring this opportunity?
Prem Khandelwal : No, I don't see any opportunity there because we have enough ore here itself. And we have
enough plant to expand our capacity in India. So, no point in going outside and exploring
opportunities there, because it's an unknown terrain. And I don't know whether any lucrative
mines will be available there. In the past also , we scouted throughout the world and nothing good
was available. So, again unnecessarily wasting time and money I don't think is proper there.
Joe Shah: Sure. And I think our quality of chrome ore and lumpy chrome ore is much better than South
Africa's chrome ore?
Prem Khandelwal : Yes.
Joe Shah: And price is also much more attractive. Our cost of this product is about 9000 which is quite less

than $200 USD price of South Africa today.
Prem Khandelwal : Yes.
Joe Shah: Okay, thank you.
Moderator: Thank you. The next question is from Divya Agr awal from Ficome F amily Office. Please go ahead.
Divya Agr awal: Thanks for taking my question. So, my first question is what is the reason for the softening in ferro chrome prices and what are the nature of steps taken to counter the impact of this softening ferrochrome prices?

Sureshbabu Chigurupalli: The prices basically impacted by the Chinese steel consumption. They have oversupplied the steel in this quarter. So, now they are diluting their steel stocks. So, that is the main reason there was no consumption for the ferro chrome. So, many of these smelter states of China is in under pressure and they are operating at lower capacities.
Divya Agr awal: And what are the steps that are we taking to impact this, to safeguard us from this softening chrome prices ?
Sureshbabu Chigurupalli: See, we have an integrated model of operations. So, we have an impact, but because of our integrated model and also the depreciation rupee is helping us to absorb those shocks.
Divya Agr awal: Okay. Secondly, what is the cost structure differential between the non-integrated producers and IMFA given your comments on the current conditions which are unsustainable for non-integrated producers?
Sureshbabu Chigurupalli: Non-integrated producers by buying ore and power, the cost of the production comes around 109 to 110, that is 1,10,000/ -. Whereas IMFA, cost of production is around…
Prem Khandelwal : EBITDA cost Rs.77000 /-.
Divya Agr awal: Okay, sir. Got it. And, thirdly what do you think of the ferrochrome prices, will this improve from here on and can you list some specific factors to back this up based on the demand in supply dynamics going on into the market?
Sureshbabu Chigurupalli: See,

we are expecting the ferro chrome prices will be an uptick from the first quarter of the coming year and maybe the latter part of this quarter. So, already the prices are bottomed up , same prices roll over in this month and also for February.
Divya Agr awal: But sir what gives you the confidence that there will be an uptick in the prices?
Sureshbabu Chigurupalli: Because there is no drop in the Chinese prices in the last month. So, generally the free fall is stopped and there roll over happened with the same price. So, that there is a sustainable, it is not a tenability to operate at these levels. So, we are anticipating there will be a reverse of the prices.
Divya Agr awal: And lastly, what are the latest set of data points from China which we should be watchful for given your comments on poor economic data from China?
Sureshbabu Chigurupalli: In this year , they have made the 5% growth as per the annual target and similar level of expecting in the coming year also. But of course , the vacations will be over in this month. So, the positive turnover may be anticipated from March onwards. This quarter is more of wait and watch quarter for China.
Divya Agr awal: Thank you, that's all from myself and all the best .

Moderator: Thank you. Before we take the next question, a reminder to participants that you may press "*" and "1" to join the question queue. The next question is from Rajesh Agarwal from Moneyore . Please go ahead.
Rajesh Agarwal: Sir, I always track Jindal Stainless' cost of ferrochrome, but this quarter their cost has not fallen down. So, why our realization has come down if you take a mixture of spot and long term?
Prem Khandelwal : No, we can't comment on J SL here, Rajesh.
Rajesh Agarwal: Okay, generally the difference is Rs. 5000 per ton, but this time it is Rs. 10,000 per ton. Their cost was 1,0 7,000 and our realization is around 96,000. So, I think trying t o 0:25:30__ always Rs. 5000 per ton.
Prem Khandelwal : No, I don't know . No, we can't compare in that manner. I don't know how they are accounting, what they are doing.
Rajesh Agarwal: The spot prices is the lower or t he long-term prices which we entered is lower , contract?
Prem Khandelwal : Sorry, come again, spot price?
Rajesh Agarwal: Because we have a mixture of both spot and long term, how much is long term as percentage?
Prem Khandelwal : Long term percentage is roughly around 60% .
Rajesh Agarwal: And what was the realization on that?
Prem Khandelwal : Realization is around 82 cents. Average realization.
Rajesh Agarwal: Average realization, 82 cents comes from how much per ton? Rupee per ton ? No.

Prem Khandelwal : Rupee per ton it is coming around …
Rajesh Agarwal: For the contract I am asking.
Prem Khandelwal : So, for this quarter , the average price is coming around 81 cents. So, that comes around 90,000/ - , 89 to 90 000/-.
Rajesh Agarwal: That is the reason. And sir, how much will the volumes go in 25- 26? How much capacity will come in on that in the next financial year? Our volumes can go up by?
Prem Khandelwal : Next financial year volumes can go up by another 50,000.
Rajesh Agarwal: We were able to sell completely.

Prem Khandelwal : Yes.
Rajesh Agarwal: And sir, why don't we sell in spot if we have a better evaluation?
Sureshbabu Chigurupalli: We have a long -term agreement, so our customers have a long -term in nature. So, wherever some part we are available, we are selling at a spot. In our domestic market also, we have an exposur e, we have increased our exposure in the last quarter.
Rajesh Agarwal: Last quarter, okay. Wherever we get a better price, we can sell in spot also.
Sureshbabu Chigurupalli: But we have a much long -term agreement, so that is why whatever the available quantity we are

also selling in the last quarter.
Rajesh Agarwal: Oh, okay. It is for how many? Yearly contract or two years or three years?
Sureshbabu Chigurupalli: Quarterly.
Rajesh Agarwal: So, every quarter we have flexibility . If the spot is higher, we can sell in spot.
Prem Khandelwal : No, we have mix of contracts, Rajesh. Some contracts are three years, some contracts are five years, some contracts are monthly, one year. So, this is a mix of contracts long term and spot. Prices are determined every quarter, but the contract tonnage and those things are for three years, one year like that.
Rajesh Agarwal: But is the demand locally is good? Why we need to enter into contracts?
Sureshbabu Chigurupalli: No, there is a constraint in the demand here in the local market. There is a constraint how much you can sell here. It's not that whatever we produce, we can sell the entire quantity in domestic market.
Rajesh Agarwal: Okay. But if the demand goes up, then can we sell?
Sureshbabu Chigurupalli: Yes, obviously. Then wherever we get better price, we will try to sell there.
Rajesh Agarwal: So, that flexibility is there in the system?
Sureshbabu Chigurupalli: Yes.
Rajesh Agarwal: Okay. Thanks .
Moderator: Thank you. Before we take the next question, a reminder to participants that you may press "*" and "1" to join the question queue. The next question is from Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Namaskar, Prem sir .
Prem Khandelwal : Namaskar, Saket .
Saket Kapoor: Firstly, you mentioned about this 50,000 additional capacity which we will be selling. That is the ferrochrome we will be selling in H2 . If you could just elaborate on the same ?
Prem Khandelwal : Yes, we are expecting this Kalinganagar Phase-1 to be operational by April to June next year. And by September, the second furnace. So, both the furnaces should be operational by end of September. So, six months, we should be getting around 40, 000-45,000 tons next year.
Saket Kapoor: So, sir, for financial year 1st April 2025 to 31st March 26. In that period, we will have this 50,000 additional capacity because…
Prem Khandelwal : No, FY27 we are talking about.
Saket Kapoor: So, this year it is going to be the same trend which we are executing for this year.
Prem Khandelwal : Yes.
Saket Kapoor: Next year, we will have 50,000 additional capacity.
Prem Khandelwal : Yes.
Saket Kapoor: And sir, I also missed this Chinese part of the explanation which sir was mentioning. So, if you could just narrate once again what was the reason for the Chinese smelter feedstock and all? Sir, please could you tell us again ?
Sureshbabu Chigurupalli: Chinese prices, there was a free fall of Chinese prices from the month of November m ainly due to the oversupply of stainless steel. So, the ferrochrome producers are not able to sell their product. And the prices are so low, so it is not e nable to continue their smelting operations. So, they are diluting their stock and anticipating that there will be a reverse in the prices in the coming first quarter of the Financial Year '25-26.

Saket Kapoor: Okay. And sir c hrome ore is the component and also nickel . So, have we seen the same trend? I have not observed the price trend for nickel and all. So, other commodities that go into stainless steel have also behaved in a similar pattern since the output has gone down?
Sureshbabu Chigurupalli: Similar tendency in the nickel, but in the coming month, of course, the nickel prices are expected to rise from Indonesia's report we suggests .

Saket Kapoor: Sir, couple of question on the P &L side. When we look at our other expenses line item for this quarter, the balance is Rs. 106 crore. A nd the comparable number for last year was 88.

So, any understanding why this increase, what explains this increase?
Prem Khandelwal : It's mainly on account of repairs maintenance and outward carriage , I mean the freight cost. Those two things have gone up. That's why the other expenses also gone up from 88 to 104.
Saket Kapoor: And Prem sir, the price of freight has also been trending lower with now Donald Trump administration in anvil . Have you seen the spot prices or the freight costs trending lower?
Sureshbabu Chigurupalli: The freight costs in the last quarter increased, but now it is softening.
Saket Kapoor: Any quantification you can give, additional cost that got debited just because of the higher trade cost on a comparable basis ?
Prem Khandelwal : You mean in terms of rupee?
Saket Kapoor: Yes sir .
Sureshbabu Chigurupalli: In fact those breakups are not available now , so we will have to look into that.
Saket Kapoor: Sir, now coming to the coking coal part of the story, sir, I think in Australia there are some natural disturbances in the mining activity. So, does that also change the outlook for coking coal going ahead and the pressure on margins can accelerate because of that . What is our thought process on the same?
Sureshbabu Chigurupalli: Coke prices , we are actually sourcing from Colombia, and the prices are almost flat for the quarter and the similar prices are we are expecting in the coming quarter also.
Saket Kapoor: Okay, sir. And for the coal prices, which we use for power generation, those linkages and prices are constant or what are the trends there?
Binoy Agarwalla: Coal prices for power plant will remain the same as Q3 FY25.
Saket Kapoor: Okay, and last two points. Firstly, about during this interview and all, there were some thoughts about this inorganic expansion and some exposed means some things on the block by Tata Steel.
So, can you explain, does Tata Steel have anything on block for ferrochrome mines or the chromo ore facilities? What is the buzz around, sir ?
Prem Khandelwal : No, see, we can't comment on the rumors, Saket. So, it's not proper for us to name anybody. So, our expansion plans are on track, and we are going ahead with that. And as we said earlier also, if we get any opportunity in in organic growth, definitely we will look at that. But nothing reportable at the moment.

Saket Kapoor: Right sir. My question was not whether we participate or not. I was just trying to understand. Just like in the case of Balasore A lloy, earlier you said that if there is any asset, we are only interested in your furnace. In that sense only I am asking whether in Tata Steel case also there is some bit of story coming up of what is the effect that Tata Steel is looking because generally Tata Steel does not exit the business in the India segment . So, I don't understand this question , why?
Prem Khandelwal : No, please understand how we can comment on the matter of Tata Steel. That is their business outlook. So, we can't comment on that.
Saket Kapoor: And lastly sir, Prem sir, this would be the farewell call for you also, next quarter you are retiring from your next... ?
Prem Khandelwal : Yes. I think Saunak Gupta is going to take over as CFO from 8th of March.
Saket Kapoor: Yes sir. So, will you be there with the organization as a consultant or...?
Prem Khandelwal : Yes, I will continue as senior advisor here. Okay. But Saunak Gupta is going to be in Chair from next call onwards.
Saket Kapoor: Okay sir, my best wishes to you sir.
Prem Khandelwal: Thank you.
Saket Kapoor: Good life ahead sir and all the best to the team sir. And sir one point was about in the notes , which was also mentioned …
Moderator: Mr. Kapoor, I am sorry to interrupt but may...
Saket Kapoor: Yes, I will go come back in the queue.
Moderator: Thank you. We will move to the next question. The next

question is from Kausha k from Wal lfort
PMS. Please go ahead.
Kaushak: Yes, thank you for the opportunity. Sir, I just want to understand Jindal Stainless has announced a very aggressive expansion plan. So, the ferro chrome that will be required for them, is that available in India currently?
Prem Khandelwal : You should be asking that to them, not to us. We can't comment on their business plan.
Kaushak: No, but I am just asking from the ferrochrome point of view, is that much ferrochrome available? See, they have announced 1 million tons of capacity expansion. So, the kind of ferrochrome, the

quantum that is required, is available right now ? Is that kind of capacity commercially feasible right now in the country?
Prem Khandelwal : Suresh, do you have any idea?
Sureshbabu Chigurupalli: No, at present we are producing less ferrochrome because of the ore concern . Much information at this moment is not available.
Kaushak: Thank you. That's it from my side.
Moderator: Thank you. Next question is from Shubham who is an individual investor. Please go ahead.
Shubham: Hello. Sir, am I audible?
Prem Khandelwal : Yes, Shubham.
Shubham: Sir, first of all, my heartiest congratulations for the results in this difficult quarter. As I understand that the prices were quite challenging. Still, we have been able to maintain our good prices. Sir, my questions are, there are three questions, and the first question is from the mining sector. So, sir, what is our stripping ratio for the chrome which we are extracting and what is the grade of chrome ?
Sandeep B. Narade The stripping ratio for the second opencast is 1:3.47. And the grades var y from low to high grade. So, these are high grade…
Shubham: Bifurcate into, what is the grade of high grade and low grade?
Sandeep B. Narade : Low grade is less than 40%. Medium grade is up to 52%. And from 52 onwards, it is high grade.
Shubham: That's fine sir, but what is the average grade which we are producing sir? Average?
Sandeep B . Narade: We are producing in the range of medium grade. So, in general, grade is not taken into percentage and these terms are used low grade, medium grade, high grade. So, we are at average medium grade.
Shubham: And what is the CR by F e sir?
Prem Khandelwal : Suresh B abu can you say?
Sureshbabu Chigurupalli: Around 3.2 to 3.6.
Shubham: 3.2, sir?

Sureshbabu Chigurupalli: Yes.
Shubham: My next question is like you mentioned that the chrome ore landed cost is 9085. Right , sir? So, sir, what is our specific consumption of c hrome or e, sir?
Prem Khandelwal : It is around 2.5 tons per ton of ferrochrome.
Shubham: 2.5 sir?
Prem Khandelwal : Yes.
Shubham: Okay, and sir, you also mentioned that the cost of coke is 14, 628/- in the previous answers. So, sir, what is our specific consumption of coke sir?
Sureshbabu Chigurupalli: 0.5 tons.
Shubham: Sir, could not understand. 0.5 tons .
Sureshbabu Chigurupalli: Yes, 500 kg.
Shubham: And sir you also mentioned that you are importing from two regions mainly Colombia and China , so like what is the average percentage which you are using like say what is the percentage of Colombian coke and semi coke sir ?
Sureshbabu Chigurupalli: It is based upon the requirement . It varies from 70 to 30, 60-40 , Colombian & Chinese Coke
Shubham: Sir, Chinese one is semi -coke, right?
Sureshbabu Chigurupalli: Yes.
Shubham: And sir, like in the next quarter, are we expecting any further reduction in cost like you mentioned that repair and maintenance cost have gone up, output trade has gone up. So, like what is our total? Like you also mentioned that our total EBITDA cost is somewhere around 77, right?
Prem Khandelwal : Yes.
Shubham: 77, 827 in quarter three ?
Prem Khandelwal:

Yes.
Shubham: What is our tentative expectation from Quarter 4 or Quarter 1 '26 onwards , any reduction in cost?

Prem Khandelwal : I think Quarter 4 we are expecting to remain same. And difficult to predict at the moment for Quarter 1 next year.
Shubham: Okay . The last question from my side, like, you mentioned that like 60% of the sales, we are doing exports because of our long term arrangement and 40% we are selling ?
Sureshbabu Chigurupalli: No, we are exporting 90%. Out of that , long term is 60 %-70% and balance on a spot basis.
Shubham: Okay . So, sir, 90% we are exporting and 10% we are selling in domestic markets. Is that 10% off grade or pure FG only?
Sureshbabu Chigurupalli: No, it's proper ferrochrome.
Shubham: Okay, so what is the average realization which we are getting in domestic market , sir?
Prem Khandelwal : No, we don't have the breakup like that. I can give you the total realization which is around, I said 96,000 earlier , 96,943 /- average realization.
Shubham: Okay. And sir, what is the grade of ferrochrome which we are selling? Total average grade which we are selling overall?
Sureshbabu Chigurupalli: It is 61 %-62%.
Shubham: Thank you sir and that's all from my side. Wishing you good quarter 4 and onwards.
Prem Khandelwal : Thank you.
Moderator: Thank you. The next question is from Joe Sha h from Seven seas. Please go ahead.
Joe Shah: Prem, our best wishes for your new career as an IMFA Advisor. I hope you will also have a very long term with IMFA . My best wishes for you.
Prem Khandelwal : Thank you.
Joe Shah: And also best wishes for Bijayananda Mohapatra , Saunak Gupta, and also SR Ray , my best wishes for you. Now to new team my request is last few days IMFA shareholders have lost lot of money because market cap has gone down very much sharply. So, please see how this market cap can be protected . I know this market operations are not in your hand but still even F inance Minister also stepped in when market crashes , so we are facing the similar situation, so protection of shareholder's value is management responsibility in a way. So, please see what this can be done. And Prem, one more suggestion. Now in my city of Mumbai, every day millions travel by train. Millions of millions of people travel by train. And we don't find anyone wearing this COVID mask. So, COVID is gone now. So, we lost four AGM, physical AGM

because of COVID. Now COVID is no longer there. So, in the coming AGM, we should have physical AGM where people can come and meet N ew Directors, understand them and view more interaction. So, please consider Saunak , please you also consider this physical AGM for the next, this '25-26, sorry '24 -25.
Saunak Gupta: Thank you, Mr. Shah. Yes, point noted. We will be looking at that time.
Joe Shah: Okay, thank you very much.
Moderator: Thank you. The next question is from Akhilesh B who is an individual investor. Please go ahead.
Akhilesh B: Good afternoon. Sir, I had a few questions. First one, in our long -term contracts, what is considered as the benchmark price? Which is the benchmark price based on which the pricing is decided?
Sureshbabu Chigurupalli: In POSCO , it is around 86 cents.
Prem Khandelwal : No, he is asking about what is benchmark price.
Sureshbabu Chigurupalli: Benchmark is Tsingshan price we are considering.
Akhilesh B: And it gets fixed for the whole quarter, it's fixed for a quarter or how often it changes?
Sureshbabu Chigurupalli: No, this changes every month in Chinese price.
Akhilesh B: So, when you say that some Chinese prices came down to 75 cents etc. So, that is reflecting in this benchmark and in our realization already?
Sureshbabu Chigurupalli: Yes. Already in this quarter we have suffered because of the f

all in the prices.
Akhilesh B: Okay. And our spread on this benchmark with the customers are renegotiated every year or the spread is also fixed long term like 3-5 years, etc.
Sureshbabu Chigurupalli: No, we have quarterly negotiations of prices with South Korea n POSCO and others are based on the quantities decided for the year , but this price is based on the benchmark.
Akhilesh B: I got the benchmark part , but your spread on the benchmark whatever this plus and also this is a ex-box price or or freight also is fixed for the whole quarter or for the whole month?
Sureshbabu Chigurupalli: This is FOB prices .
Akhilesh B: FOB prices. So, if freight goes up or down, it's not affecting our profitability if freight is going

up or down?

Sureshbabu Chigurupalli: Yes.
Akhilesh B: And sir, today with our current production capacity, what would be our global production share of ferrochrome?
Sureshbabu Chigurupalli: You are asking at what level we are there?
Akhilesh B: No, in ferrochrome capacity today . So, what is our global production market share? That's what I want to know.
Sureshbabu Chigurupalli: So, this is around approximately 19 million of production.
Akhilesh B: Prem sir, your voice is cutting actually. Not clear.
Sandeep B. Narade : I think the global production is going to be faster.
Akhilesh B: Sir, your voice is not clear. I am not sure if it is clear to moderators or others. Prem sir's voice is not clear.
Moderator: Mr. Khandelwal, we can't hear you very clearly. Your voice is breaking.
Sureshbabu Chigurupalli : Sir, the global production you are asking, how much is the global production? It is around 19 million tons.
Akhilesh B: 19 million, s o we are around 3% of global production. Got it. And also want to wish Mr. Khandelwal all the best for his future. It was a great pleasure to interact with him on these calls and we will miss his presence. Thank you.
Moderator: Thank you. The next question is from Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Yes sir, you mentioned about FOB for us, our export part. That means the freight is not being part of line item and I missed that point. As you mentioned that freight costs have been higher and those costs have increased the other expenses. But you were just explaining about free on board also. So, if you could just explain what you were trying to convey?
Sureshbabu Chigurupalli: No, our prices are CIF based , so a freight impact will be there during this export of the material.
Saket Kapoor: Please come again, your voice is not clear. And you are not very much audible.
Sureshbabu Chigurupalli: Our prices are CIF based . So, the ocean freight rise in the prices will impact us. The change in the prices will impact our selling prices.

Saket Kapoor: Sir, in the management comments, Mr. Panda mentioned about margins. Further our margins will be bolstered by treasury operations. So, going ahead also sir, I think so quarter -on-quarter our treasury of the other income has remained flattened. How is the treasury book going to behave sir? Where have we invested the treasury money and also what is our cash balance and the CAPEX done for the 9 months?
Prem Khandelwal : Saunak, w ould you answer that?
Saunak Gupta: Yes. So, actually in this market also , we are having around Rs. 890 crores of total amount invested in various funds, bonds, and in some extent to the FD. And this is basically the surplus from the business which has come in. And even though the market was down, but still we have by switching in, switching out, the funds we have managed a good return. And if you see that quarter -on-quarter also , we have maintained it. And from there we are getting a good amount of interest and income from the returns of

switch in, switch out from the bonds. That actually is adding up to a PAT . So, that's an important point to be noted. And the most important point is that we are debt -free and having almost Rs. 900 crores of total invested amount.
Saket Kapoor: And sir on the CAPEX part sir, how much have we spent for the expanded capacity as of for the nine months and how much balance we will be spending for this year? If you could just give the full number ?
Saunak Gupta: So, as of now , we have invested about around Rs. 150 odd crores. And overall we expect that if I go with actual cash outlay, another Rs. 150 odd crores will be by end of this year, which we will be spending it out.
Saket Kapoor: Another Rs. 200 crore cash balance may go down from 890.
Saunak Gupta: Yes, that's right, it will go down by Rs. 200 crores from that balance that we have in the investment amount .
Saket Kapoor: Right sir. Thank you sir and all the best.
Saunak Gupta: Next year , the maximum amount of cash outl ay will happen for the Kalinganagar project.
Saket Kapoor: And next year sir, what will be the out lay, how much you will be spending?
Saunak Gupta: So, next year , we are expecting somewhere around Rs. 450 crores to Rs. 500 crores in the cash outlay.
Saket Kapoor: Okay sir, and if we take this 9 -month cash generation sir, how much have we generated for this 9 months? Net of taxes?

Saunak Gupta: So, for 9 months ended around Rs. 370 odd crores we have generated this.

Saket Kapoor: Thank you sir and all the best to the team.
Prem Khandelwal : Thank you, Saket.
Moderator: Thank you. Next question is from Divya Agarwal from Ficom F amily Office. Please go ahead.
Divya Agarwal: Hi sir, just want a clarification , what is the benchmark that we monitor for the long-term contract ? I was not able to clearly hear that. Can you explain that?
Sureshbabu Chigurupalli: We follow Tsingshan benchmark. So, that is monthly rollovers and for POSCO , every quarter, we have a benchmark.
Divya Agarwal: Sorry?
Sureshbabu Chigurupalli: For POSCO , every quarter we negotiate based on the benchmark of the Chinese Steel and also the existing market. So, right now, it is 75 cents in the Chinese benchmark. So, for the Chinese market, it is 75. For POSCO , it is around 84 cents.
Divya Agarwal: Okay , sir. Got it. Thanks.
Moderator: Thank you. Next question is from Shubham who is an individual investor. Please go ahead.
Shubham: Hello, sir am I audible properly?
Prem Khandelwal : Yes, Shubham.
Shubham: Sir, there are couple of questions. So, my first question is on the O&M cost. So, what is the overall O&M cost for our quarter?
Prem Khandelwal : I didn't get you. O&M cost for what?
Shubham : O&M cost for our smelter or whole IMFA level ? Total operations and maintenance costs?
Prem Khandelwal : No, we don't have such kind of breakup here. What kind of cost you are looking for? I mean, your fixed cost or...
Shubham: Sir basically our contractual manpower cost. Contractual manpower for running the plant.
Prem Khandelwal : Contractual? No, we don't have those kind of breakups.
Shubham: Okay, and sir, I wanted to understand the specific consumption of our electrode also because this is one of the key consumable for making the ferrochrome. Specific consumption of electrodepaste .

Prem Khandelwal : Suresh, do you have that number?
Sureshbabu Chigurupalli: Yes. It is around 14 kg to 16 kg.
Shubham: Okay. And sir, what is the specific consumption of furnace oil or LPG for producing the Briquette ? On an average also will help, sir.
Prem Khandelwal : So, these are to be asked separately by way of mail. I think these things are very minute numbers. We don't keep those numbers.
Shubham: Okay. Sure sir. Thank you.
Prem Khandelwal : Get in touch with us through e -mail for all these questions.
Shubham: Sure. Okay. Thank you.
Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to Mr. Abhishek Savant for closing comments.
Abhishek Savant: Thank you, Rayo. While Q3 FY 25 presented short -term headwinds, IMFA remains fundamentally strong with a resilient operational framework and a positive long-term demand outlook. As the global stainless steel market recovers, our strategic initiatives and cost -efficiency measures will drive sustained growth. We appreciate th e continued support of all our stakeholders and remain confident in delivering long-term value. On behalf of the Board of Directors and Management, we thank you all for yo ur participation in this call. Have a good day.
Prem Khandelwal : Thank you.
Moderator: Thank you very much. On behalf of Indian Metals and Ferro Alloys Limited and Veritas Reputation that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

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~tock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir I Madam, 29th May 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor / Analyst Call held on 23rd May, 2025 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2025 is attached herewith .
You are requested to take the same on record.
Thanking you
Yours faithfully
For DIAN METALS & FERRO ALLOYS LTD
(Smru 1 Ranjan Ray)
Comp ny Secretary & Compliance Officer
Membership No: F4001

"Indian Metals & Ferro Alloys Limited
Q4 FY25 Earnings Conference Call"
May 23, 2025

MANAGEMENT : MR. BIJAYANANDA MOHAPATRA – WHOLE TIME DIRECTOR AND CHIEF OPERATING OFFICER – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER– INDIAN METALS AND FERRO ALLOYS LIMITED
MR. BINOY AGARWALLA – HEAD POWER BUSINESS UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE – HEAD MINES BUSINESS UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SURESHBABU CHIGURUPALLI – HEAD FERROALLOYS BUSINESS UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. M. VENKATESH – HEAD SALES AND MARKETING FERROALLOYS BUSINESS UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '25 Indian Metals and Ferro Alloys Limited Earnings Conference Call arranged by Veritas Reputation. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you, and over to you, sir.

Aryan Rana: Thank you, Muskan. Good afternoon, everyone. On behalf of Indian Metals and Ferro Alloys Limited, I extend a warm welcome to all participants joining us for today's earnings call. We appreciate your continued interest and support. This session aims to provide deeper insights into our performance for Q4 and the full fiscal year ended March 31, 2025, as well as the strategic direction for the road ahead.

Following the opening remarks by our management, we will open the floor for Q&A session. And finally, keep your questions concise and relevant to allow broader participation. IMFA, India's leading fully integrated producer of ferroalloys has demonstrated resilience in Q4 FY '25 despite ongoing market challenges. The performance underscores the company's focus on operational excellence, disciplined execution and long -term value creation.

Our financial results and investor presentation are available on our website and have been filed with the stock exchanges for your reference. Before we begin, I would like to remind you that some of the statements made in today's discussion may be forward -looking in nature. These are based on the company's current expectations and are subject to various risks and uncertainties that could cause actual outcomes to differ materially.

Joining us today on today's call are and I welcome Mr. Bijayananda Mohapatra, Whole -Time Director and Chief Operating Officer; Mr. Saunak Gupta, Chief Financial Officer; Mr. Binoy Agarwalla, Head Power Business Unit; Mr. Sandeep B. Narade Head Mines Business Unit; Mr. Sureshbabu Chigurupalli Head, Ferroalloys Business Unit; Mr. M. Venkatesh, Head, Sales and Marketing, Ferro Alloys Business Unit.

With that, I would now like to hand over the call to Mr. Saunak Gupta, our Chief Financial Officer. Over to you, sir. Thank you.

Saunak Gupta: Thank you, Aryan and good afternoon, everyone. Thank you, everyone, for joining today's earnings call on Q4 FY '25 financial results, in my first earnings call briefing to you all as CFO of IMFA. Let me take you through the financial highlights for the fourth quarter and full year ended March 31, 2025.

At the macroeconomic level, Q4 FY '25 experienced uncertainty on trade policy -related developments, along with geopolitical situation impacting several segments of commodity

markets. Global ferrochrome market traversed through a phase of subdued global demand and weak pricing trend. Despite this, IMFA demonstrated resilience and marshalled its resources on cost optimization, operational efficiency improvement and leverage its fully integrated model.

The standalone and consolidated financial results have been already uploaded in our website for your perusal. As you would have seen in our results, despite headwinds our focus on efficiencies and disciplined capital allocation allowed us to deliver a positive free cash flow, retain a healthy financial position.

Some of the key business and strategic highlights of FY '25 are chrome ore raised crossed 7 lakh metric tons for the f

irst time for IMFA. Our work has commenced on the 96,000 metric ton per annum Greenfield ferrochrome expansion project in Kalinganagar. The orders & LOIs have been placed for civil and structural works, major furnace equipments and power transformers.

During the year, IMFA has signed a power purchase agreement with JSW Green Energy Group to acquire hybrid renewable power of 70 megawatt contracted demand. Further, we have entered into another binding term sheet with Ampin Energy Utility One Private Limited to acquire hybrid renewable energy of 40 megawatt contracted demand. This will enhance energy security and will substantially reduce our carbon footprint. IMFA has also received necessary statutory clearances for the 120 KLD ethanol project and has also placed all the major equipment orders. Boundary wall for the project has been also completed.

Further, during the year and especially in quarter 4, the Regional Director, Eastern Region has approved the scheme of amalgamation of the merger of Utkal Coal Limited with IMFA with an appointed date of 28 March 2025. Financial entries for merger as per IndAS have been passed in the financial books of IMFA in quarter 4 of FY '25.

While the macroeconomic environment remains uncertain, early signs of recovery in pricing, particularly in April onwards, gives us confidence in a more stable FY '26. Globally, the stainless steel production has grown by 7% in calendar year 2024 and capacity rationalization in markets like South Africa is expected to rebalance the supply -demand dynamics. In FY '26, we remain focused on cost optimization, operational efficiency and executing on our growth initiatives and to deliver the value to our stakehold ers.

With that, I will now open the floor to any questions that you all may have.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Thank you for the opportunity, Very good afternoon to the entire team. So, sir, my first question is, what is our EBITDA cost per metric ton for FY '20 -- sorry, for Q4 FY '25?

Saunak Gupta: Yes. So the EBITDA cost is INR76,980 for quarter 4 FY '25.

Aashav Patel: Okay. And sir, what is our met coke cost for Q4, the same quarter?

Saunak Gupta: For the ferrochrome cost per metric ton in it...

Aashav Patel: No, met coke?

Saunak Gupta: Yes, I'm saying that per metric ton cost of ferrochrome, the met coke component in that is about INR15,150.

Aashav Patel: Okay. So it is similar to that level. So why I'm asking this is because met coke prices have been continuously falling very much. So I just wanted to understand and gauge when do we accrue the benefit of falling met coke prices. So if INR15,000 per metric ton is the rate for Q4, how do you expect -- what was the opening inventory for this financial year of met coke per metric ton value?

Saunak Gupta: I'll put it to Suresh. Will you be able to give your inputs on that? Suresh? I think Suresh would have dropped out. So if you see in last year, our average met coke cost was INR18,881. From there, this year, we have come down to INR15,543. But we usually keep the stock of about 3 months because a major portion is imported. The flow down will take some more time, but we have already envisaged and seen a drop in the current year compared to last year's average.

Aashav Patel: Okay. So we should see further benefit in Q1 and Q2 of falling met coke prices?

Saunak Gupta: Yes. If we see that drop, we will definitely get something.

Aashav Patel: And sir, our ore raising is now highest ever. We are close to 7 lakh range. So

I just want to
understand how the inventory of chrome ore has improved over here over the last, say, 2 years. For example, earlier, we used to keep close to 2 lakhs ton of inventory versus what does it look like right now?

Saunak Gupta: Yes. So on that part, I will just request Sandeep, our Mines BU Head to put insight on that.

Aashav Patel: Sure.

Sandeep B Narade: So right now, we are having about more than 4 months of inventory of ore at our plant site, both the plant sites. And also at mine about 2.5 months inventory is with us ready to dispatch.

Aashav Patel: Okay. So earlier, what was this figure, say, a year back?

Sandeep B Narade: It was about in the plants about 3 months stock was there, at mines about 1 month stock was there.

Aashav Patel: Okay. So we have basically increased our inventory on books by close to 50%, right?

Sandeep B Narade: Yes.

Aashav Patel: Okay. And sir, equipment order has been completed for Kalinganagar expansion, equipment ordering?

Saunak Gupta: Yes. So major equipment ordering has been done for Kalinganagar project. And the point is that, we have planned to commission it mid of next year, the first furnace somewhere in June '26. So

that is on track. And on the earlier question you were having on the chrome ore, there is a 50% increase from last year, it's not 50%. That is around 20%, 25% increase from last year.

Basically, we are building it up for the Kalinganagar project, we will be requiring chrome ore. So as you know, we cannot immediately jack up our production at the time of commissioning, we have to build it up. Gradually, we are building it up for the chro me ore production.

Aashav Patel: Got it, sir. And sir, regarding the recent Merafe shutdown, what we have been hearing, I guess, close to 8 lakh metric ton has been brought down by Merafe in South Africa. So can you please throw some more light on the mine -- sorry, furnace closure in South Africa, how that has moved and what other players like Glencore was also earlier reviewing their business situation, but not sure whether they have closed down also or not? So can you please throw some light?

Saunak Gupta: Yes, I'll pass on to Venkatesh, our Sales and Marketing Head to add his insights on that.

M Venkatesh: Right. So Merafe announcement, Merafe and Glencore are partners, so they are partners. So Merafe's announcement was due to the market conditions, so the reduction in production. But Glencore also has announced they will start looking at more chrome units. So what they mean by that is because -- there are challenges in South Africa.

Electricity costs have gone up and the challenges with regards to the ferrochrome market per se. So they have reduced the production on a temporary basis. And when they say chrome units, I believe they would be looking to export maybe more of chrome ore out of South Africa.

Aashav Patel: Okay. But -- okay. So let me put it other way around. Given that China completely is dependent on the imported chrome ore. Right now, as we speak, still we are at an advantage of, say, close to 20,000 metric ton per ton in terms of cost of production compared to China because of our captive ore?

M Venkatesh: I don't have the exact cost of China. Yes, we have an advantage of having a captive mines. China has totally to depend on South African ore, primarily South African ore. So definitely, the cost of production as far as chrome ore, both would be higher. But as far as other raw material goes, they may have a slight advantage, more specifically to do with coke.

Aashav Patel: Okay. And sir, recently there was...

Moderator: Mr. Patel, I'm sorry to interrupt. I just request you to follow wit h the queue, please.

Aashav Patel: Sure.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, my question is on this forward -looking guidance, means what kind of ferrochrome production we -- trajectory means what kind of trajectory we expect for FY '26? And then once the 1 lakh ton Kalinganagar smelter starts, so what will be the ramp -up tonne for that? So for fiscal '27, how much we can expect from that new facility?

Saunak Gupta: So I'll just pass this out. Suresh, you were there?

Sureshbabu C: Yes, yes, I'm added just. See, in the first year, we are expected to start the production from the month of -- mid of the '26 -'27. That is around July, we are going to produce. In June, we are going to commission. So it will -- ramp -up will happen. So in the financial year, it will be around 50,000 to 60,000 production will be there.

Aditya Welekar: Okay. Understood. And as you said, there is 12 months of inventory already of chrome ore now on the line there. So for '26 -- fiscal '26, the new ore raising will not be materially higher, right, means given the inventory situation we have. Is that understanding right?

Sureshbabu C: Yes, yes. Connected with the new facilities, there will not be a problem.

Aditya Welekar: Understood. And any capex guidance for FY '26 and '27?

Saunak Gupta: So on the capex part, as we have mentioned earlier, that almost INR840 crores of our investment is in Kalinganagar project, which is scheduled -- the first furnace is scheduled to get completed in June '26 and the second one in September '26. Besides that, we are also under project completion of 120 KLD ethanol project, which is about INR150 crores, which is on course.

And on the underground mines, which is overall in a 5 -year tenure, it's about INR1,000 crores, we'll be spending, but a part of it will also come in FY '26. So overall, we expect in FY '26 around, INR800 crores to INR900 crores will be the outlay for all t hese three projects.

Aditya Welekar: Understood. I have few more questions. I will join back the queue.

Moderator: Thank you. The next question is from the line of Supriya Shah from Kotak Associate. Please go ahead.

Supriya Shah: There is a decrease in EBITDA by 44% when revenue has only decreased by 12% and cost has also decreased by INR1,000 per ton. So reason for the decrease in EBITDA?

Saunak Gupta: Not understood. This EBITDA 44% for which period you are comparing?

Supriya Shah: From Q3 '25?

Saunak Gupta: Q3, our EBITDA cost was about INR77,800 and now it is about INR76,980, almost -- it's just about INR800 -odd per metric ton reduction. So not significant. But for that, primarily the reduction is on the chrome ore raising cost to some extent and to some extent on your coke cost.

Supriya Shah: And what the Q4 specifics in terms of ore, coke and power?

Saunak Gupta: So our power cost is INR4.09 variable cost. But on the power, I will ask Binoy to just add his inputs on this.

Binoy Agarwalla: Yes. Saunak, you are correct, in Q4 FY '25, the variable cost of power is INR4.09. And compared to Q4 FY '24, which is INR0.28 less than the -- in this quarter, Q4 FY '25. It's mainly due to coal only. Coal prices come down due to transportation of coal by rail.

Supriya Shah: And for ore and coke?

Saunak Gupta: So on the chrome ore part, Sandeep, can you put some insights on that or your views on this?

Sandeep B Narade: Chrome ore cost in Q4 was a bit lower due to higher production in Q4. We have done more production than our budget.

Saunak Gupta: Yes. So chrome ore from Q3, there

was a reduction in this because of the higher production and certain cost optimization initiatives that we have taken. So for that, overall, the cost has gone down. And it was per ton of ferrochrome, it was about -- on a net basis, it was INR 17,400.

Supriya Shah: And what was the specific ore in terms of HCFC?

Saunak Gupta: Specific ore you are talking of?

Sureshbabu C: Specific ore you are talking? Specific ore is around 2.35 tons levels. It varies based upon the grade what we are making. It is 2.32 tons.

Supriya Shah: And what was the coke per ton price in coke -- specific coke per ton of HCFC?
Sureshbabu C: The coke price in this quarter is around INR31,000. Specific, you can consider it is 560 kg.
Supriya Shah: Thank you.
Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Sir, there was a little bit of confusion. So I would just like to reclarify the questions asked by the previous participant. So the cost of chrome ore per ton, I want to know, not per ton of ferrochrome, but 1 ton of chrome ore is how much cost?

Saunak Gupta: It's about quarter 4 was INR7,500, primarily what Sandeep has given the reasons because of that, it is INR7,500.

Manan Vandur: Okay. Okay. And we normally consume 2.5 tons, right?

Saunak Gupta: Yes. As Suresh saying 2.35 tons.

Sureshbabu C: Yes. 2.35 tons we have consumed in this quarter.

Manan Vandur: Okay. It's 2.35 tons. But is that also generally 2.35 tons or more than that?

Sureshbabu C: No, it varies depending upon the grade. So you can consider from 2.35 tons to 2.5 tons.

Manan Vandur: Okay. Understood. And sir, the next question would be on the average ferrochrome price for -- like we have long -term contracts and we have spot contracts also, right? So for the long -term contracts, could you please give us what is your ferrochrome price for those long-term contracts, please?

Sureshbabu C: Venkatesh?

M Venkatesh: Yes, we don't very specifically have anything regarding long-term contracts because most of the contracts are long -term. But what I can say is, the average price realization for prime would be around INR93,500.

Manan Vandur: Okay. Because last quarter, when I asked, it was around INR89,000 to INR90,000 per ton, which was -- which is like almost 60% of your total sales is long -term contracts. Hence, I just asked. And also this changes every month or 3 -month basis?

Saunak Gupta: I just wanted to add that you are saying INR89,000 to INR90,000 is the net realization, the total, whatever is the ferrochrome we sell, which this quarter is INR87,000, INR87,021. So there is a drop in the average realization.

Manan Vandur: Yes, correct. I understand. But the long -term prices, which you have with POSCO and other people you have with, those prices would be INR93,000 you said?

Saunak Gupta: See, these are basically a bit of strategic pricing. So what Venkatesh has said that INR93,000 is the overall long -term contract average, that's the prime cost we have. And on the totality basis, our average in this quarter, has come to INR87,021.

Manan Vandur: Understood. Just one second, sir. And sir, current ferrochrome prices because the average would be what? Because anyway, the quarter has almost ended. So what would be that?

Saunak Gupta: See, on that net realization value that I said and with the average forex, whatever is the dollar cost, it is about 76 cents. But we -- as I mentioned that we are seeing from April onwards some uptick in the price. But for the quarter, February, March was very low. So almost China was hovering around 75 cents. So, our average is around 76 cents on a net basis.

Manan Va

ndur: Correct. Understood, sir. I just want to know for this quarter, Q1 because 2 months have ended April has passed and even May has gone. So what would be the price as of this quarter I want to know?

Saunak Gupta: Normally, for forward -looking pricing, usually as you know that there is a certain restriction on the SEBI guidelines. So we have to stick to that. But the only thing I can say that we are seeing certain upsides in the overall market on the pricing side. And Venkatesh, what would be that percentage of upside around?

M Venkatesh: What we are seeing the prices currently is around INR1 lakh per ton.

Manan Vandur : On the prime basis?

M Venkatesh: Yes. On the total price, this is -- I'm not talking of in terms of the realization. I mean, the total price, what we're seeing today is around INR1 lakh per ton.

Manan Vandur: Okay, understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Dev Jani from Tata. Please go ahead.

Dev Jani: Hi, everyone. The status of the Sukinda underground plant?

Saunak Gupta: Yes. So, Sandeep, you can give your insight on that.

Sandeep B Narade: Can you please repeat once?

Saunak Gupta: So she is asking for the Sukinda underground mines update.

Sandeep B Narade: Yes. So for Sukinda mines expansion plan, we have already given the major contracts. And all the works are in progress for the decline for the ventilation shafts and for the main shaft and so on. So that is in line as per our plan.

Dev Jani: Okay. And my second question is, what is the ratio of HCFC?

Saunak Gupta: Pardon, we could not hear you. What is the ratio of?

Dev Jani: Sir, I just wanted to ask what type of selective grades do we use for production of HCFC?

Sureshbabu C: See, it is all based upon the market requirements. So based on the market requirement, the grade changes.

Dev Jani: So is this indigenous or do we export?

Sureshbabu C: No, no, it is indigenous from our mines only.

Dev Jani: Okay. Can I have a little bit of knowledge on what was the stripping ratio for quarter 4?

Saunak Gupta: We cannot hear you once more, can you please repeat?

Dev Jani: What was the stripping ratio in quarter 4 in terms of mining?

Saunak Gupta: Sandeep, you can add on this.

Sandeep B Narade: So for open cast, the stripping ratio is about 1:3.5.

Dev Jani: What was the Cr:Fe ratio, which was last told in the communication was specifically...

Sandeep B Narade: No. You are asking the stripping ratio that I have told. Now you're talking about CR:FE ratio that is different.

Dev Jani: That is 3.2 , right, currently?

Sandeep B Narade: Sureshbabu can tell about that, Cr:Fe.

Sureshbabu C: Cr:Fe ratio also varies. It moves from 2.5 to 3.5.

Dev Jani: Okay. And so this all totally added up to this time also the peripheral rate went above 60 or it was the realization was low in the market below?

Sureshbabu C: No. We make 60 only. Our grade will be 60 plus. So based on 60, the blending we will do accordingly.

Dev Jani: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Madhur Chaturvedi from MAIQ Capital. Please go ahead.

Madhur Chaturvedi: Congratulations on putting up a formidable result even in a challenging macro environment. And congratulations on the ceremony for the installation of the Kalinganagar plant also yesterday.
Sir, just wanted to get some more -- just to clarify, what is the capex numbers because in previous calls, it was INR650 crores for the 1 lakh ferrochrome expansion. Now in this press release, it was INR900 cr

ores.

So just wanted to get a clarity on -- if we can just do in terms of ferrochrome capacity, what would be the capex for the mining capacity, what would be the capex? And just sort of the time line of when that would be incurred. If we could just get that more granular, that would be very helpful?

Saunak Gupta: Yes, first of all, thank you for your good words on the performance of the company. And yes, yesterday, we had the opening ceremony of our Kalinganagar project. So on the capex side, on the Kalinganagar project, the total amount that I said was at INR840 crores.

And if you add up the capitalizable expenses that will be spent at the time of trial run, it will go up to somewhere around INR900 crores. So that is the overall capex, which obviously will be spent out by next year, September, October by the time when we go for the commissioning of both the furnaces. So June will be the first one and September '26 wil l be the second one.

Madhur Chaturvedi: And this includes working capital or this is purely capex?

Saunak Gupta: This is purely capex. Working capital will be separate. The capex outlay on the mines outlay, we have a plan approximately INR1,000 crores for increasing the capacity, but that will be spent out in about 5 to 6 years from now. So it will be spent -- majorly in the initial 3 years. The major amount will be spent and then it will taper down by FY '31 end by the time we reach the capacity of 1.2 million tons of raising.

Madhur Chaturvedi: Got it. Perfect. Sir, and just in terms of the furnaces now that you mentioned it, so what -- who is our technology partner, what technology are we going with? Are we going with another technology like Outokumpu or what is the technology we are targeting?

And how would that efficiency of power and chrome ore be in the new plant versus the old plant? Will we still expect the power to be around 4,000 units per ton and the conversion to be

around 2.35 or are we going with a newer technology where we can expect those numbers to be more efficient?

Saunak Gupta: So I'll request Sureshbabu to give more input.

Sureshbabu C: Yes. This is a closed furnace. Both furnace will be closed furnace. So you know that smelting is an energy intensive. And the technology -- yes, so the off-gases we are using for the power plant. So the specific power will be of the same range because of our material what we are using now.

Madhur Chaturvedi: Got it. Perfect, sir. Perfect. And sir, just one last question from my end. This is more about the mining. We are -- sir, with the -- again, mining, are we managing to extract more than our 6 lakh metric ton capacity? Is that how we're able to sort of increase our chrome ore inventory in anticipation of the power coming online just from an operational point of view?

Just trying to understand that if we -- given the chrome conversion, most of our mining capacity goes into our production. Just what you think will be the maximum inventory we'll be able to store in anticipation of the commissioning Q2 next year?

Sandeep B Narade: Okay. So inventory will be just like what is right now, we are having inventory -- you're talking for the Q2 of this year?

Madhur Chaturvedi: So just that we mentioned that we are sort of stockpiling inventory in anticipation of the commissioning of the new production line. Just how much we'll be able to do that given that most of our chrome does go into our ferrochrome production? So how much w e'll be able to extract as a sort of buffer inventory so that we can start production at Kalinganagar once that line is ready?

Sandeep B Narade: So right now, just I said before, we are having the inventory of more than 4 months at our both plant locations an

d about 2.5 months at mines. So that is...

Madhur Chaturvedi: And that is the number we'll be comfortable with, sir, going ahead into next year or we can ramp that up or...

Sandeep B Narade: Yes. Obviously, it will be quite comfortable right now also it is. And we are increasing our production. So just like in the last FY, we have done 702,000. So this lakh, we have the plan of 8.25 lakh. So we'll be keep on increasing the ore production from the mines.

Madhur Chaturvedi: Got it. Perfect. Amazing sir. I will rejoin the queue and thank you for your time and congratulations.

Moderator: Thank you. The next question is from the line of Pranav Jain from Ageless Capital Finance. Please go ahead.

Pranav Jain: Congratulations on the opening ceremony for the new plant. I just had a few questions. I just want to understand the power requirement for the new plants and the details surrounding it. How much are we going to get from where are we going to get? Could you dwell on it a little more?

Saunak Gupta: So I will request our Chief Operating Officer, Mr. Bijayananda Mohapatra to add on that.

Bijayananda Mohapatra: So we'll go for this Kalinganagar project with the help of renewable energy, hybrid energy that we have tied with JSW with 70 megawatt and with Ampin with 40 megawatt. So this will be help through the new facility and both are going to be commissioned in June '26. So it is...

Pranav Jain: I was saying the 70 megawatt and 40 megawatt are these the total capacity? Or is this what we'll be requiring?

Bijayananda Mohapatra: No. Our requirement for Kalinganagar, it is approximately 60 megawatt, okay? But it is a hybrid, it will not give every time that 70 megawatt. So the power will be utilized in our existing operation area, Choudwar and Therubali. So that will also get that obligation, renewable energy obligation. So that will help, and it will also help our CBAM factor.

Pranav Jain: Got it, sir. And sir, next -- so sir, as you can see, ferrochrome prices, they bottomed out in Jan and now they are recovering as said by the management as well. When can we expect the full benefit of these prices in our financials? And also, can you help me understand the lag in price realization?

Saunak Gupta: So on this price realization part, I would say that lag period is about 1.5 to 2 months for us to get the benefit out of it. But on the future outlook, I will just request Venkatesh just to give an overall viewpoint on the ferrochrome market price.

M Venkatesh: Yes. So the challenges continue to remain. There has been an improvement in prices, but challenges continue to remain. The challenges like all of us know in terms of tariffs and ongoing conflicts. But there are small signs of the market improving. When we talk of China, they have taken -- they have introduced small stimulus measures.

They have reduced the reserve requirement ratio. The banks have reduced the reserve requirement ratio by 50 basis points. So they have let out -- banks can lend up to RMB 1 trillion more. So that's like a small stimulus measure there. They've also reduced the lending rates by 10 basis points. So these all will help in the domestic demand or to shore up that domestic demand.

What we have seen with regards to tariffs also, President Trump has kind of toned down a bit. So now China and U.S. have been talking and there has been a tariff reduction and the talks are continuing. We are also seeing now a direct conversation between Russia and Ukraine. So, after the war, there is a lot of rebuild which has to happen. So going ahead, these are small signs of positivity. And if any of that clicks, then I'm sure the market is going to rebound.

Pranav Jain: Okay

. Got it, sir. Just a last question on the technical side. Sir, how much coal do we require per ton of ferrochrome and at what cost do we acquire it?

Saunak Gupta: So, Binoy, will you be taking that coal part?

Binoy Agarwalla: No, met coke.

Sureshbabu C: Yes. So for making a ferrochrome, it is around 560 kg coke is required and the cost is around INR31,000.

Pranav Jain: Okay, sir. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from MoneyOre. Please go ahead.

Rajesh Agarwal: Sir, my question is, is there any further possibility of cost improving overall production cost?

Saunak Gupta: As I mentioned in my initial note that we are focused on improving operational efficiencies, as well as to get out more cost benefits in the future. So that's a continuous process. But it is, again, to some extent, also dependent upon how the input cost market moves around. For us, the key one would be the met coke, as well as coal and the power cost.

There is a dependency on the market. But operational efficiencies, is a continuous process. We keep on having internal projects to maximize on the cost of optimizing?

Rajesh Agarwal: What is the possibility, INR1,000 per ton, INR2,000 per ton over 2, 3 years?

Saunak Gupta: No, it is very difficult to predict that out currently because it's a continuous process. But as I said, if you see that this quarter 4, we are at INR76,980 of EBITDA cost vis-a-vis INR82,836 of last year. So it's a mixture of both drop in the input cost, market price, as well as our cost efficiencies initiatives that we have taken.

Rajesh Agarwal: Sir, my second question is the stainless steel market is very good in India. And simultaneously, Jindal Stainless was saying after the tariff, China has become a little costlier and India, the export also will increase. So why -- if the chrome is the main -- ferrochrome is the major raw material for stainless steel, why the realization in the price has dropped and why there's not possibility of improvement if the stainless steel industry grows up by 10%?

Saunak Gupta: So, Venkatesh, you will take the call, then I will just add on to that.

M Venkatesh: Okay. Stainless steel market is growing in India. There are two parts, I'll answer it. While the market is growing, there is a weakness also in the demand of Indian stainless steel. Yes, Jindal is increasing, but there are other producers who are really struggling. And when you -- and that has to move or mostly moves in line of what happens internationally.

It's not that India can do too well and others don't do well. It's almost on similar lines. So stainless steel market in India, yes, the growth is happening, but demand continues to be weak.

Rajesh Agarwal: And sir, overall, the market improves stainless steel, including India and exports, there's a possibility of further improvement in our realization of ferrochrome? I'm talking about structurally. I'm not talking about quarter -to-quarter, I'm talking about structurally?

M Venkatesh: Yes. So we are looking at two things here. Number one, when we look at the prices, they are almost -- obviously, they can't be the same in all the markets, there would be a difference, but

they are at similar levels in different markets. The second thing is, going ahead, what we see, if you are talking of the structural.

But going ahead, what we see, we would see a big jump happening in stainless steel production in India. So going ahead, for us also, the domestic market will become a focus.

Rajesh Agarwal: Okay. So realization is better in domestic or export?

M Venkatesh

: Right now, both the markets are similar. Like I said, INR1 lakh a ton, it's similar in both the markets.

Rajesh Agarwal: Both the markets. Okay. Then if we -- will we enter into a long-term contract or no?

Moderator: Sir I am sorry to interrupt I just request you to...

Rajesh Agarwal: Last question, ma'am. Just last question. Sir, if we get a better rate in the spot prices, do we -- will still sell in long -term contracts?

M Venkatesh: See, long -term contracts has the own benefits. When the word long -term means you don't look at one transaction or a month. You look at a horizon. So -- and your material is assured to be sold. In a spot, you never know what happens.

Rajesh Agarwal: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Vineet Thakur from Plus 9 One. Please go ahead.

Vineet Thakur: Congratulations on the new plant opening -- the plant's work. I just had a question with the new -- the National Steel Policy of 300 million ton of FY 2030, what would be the ferrochrome demand going ahead? Would it be increasing or will it be neutral to it?

Saunak Gupta: Suresh, if you can...

Sureshbabu C: Venkatesh has something.

M Venkatesh: Yes. So if I can get your question right, that was pertaining to steel, which is carbon steel, not stainless steel. Our ferrochrome goes into the making of stainless steel. So the policy, what you said was of 300 million tons is of crude steel -- carbon steel. Stainless steel is also going to grow. Like I said, I was speaking a little bit earlier, stainless steel is going to grow. And we are there at the right time with our expansions happening. So, obviously, we would be catering more to the domestic market, like I said earlier.

Vineet Thakur: And sir, could you give a guidance on what would be the production numbers for next year?

Saunak Gupta: So usually, we do not give more than two quarters, whatever is the guidance. Anyway, on the H1, Suresh, you can give some guidance on what we expect on the production line.

Sureshbabu C: The production is similar to what we have -- for the next half year, it will be around 130,000, two quarters.

Vineet Thakur: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Aashav Patel from Molecule Ventures. Please go ahead.

Aashav Patel: Sir, my question is, I have been following the company for past many years. Earlier, we were guiding for a furnace capex of only INR500 crores. But now we are guiding for INR900 crores. So that is effectively 80% higher furnace capex. So what has changed?

Saunak Gupta: So there are two furnaces in our Kalinganagar project. So whatever we were seeing INR900 crores is of the two furnaces overall. But yes, with time, the cost escalations will happen, and there will be a situation where we have to manage based on the -- whatever is the cost of it. But it is the 2 furnace, not a single furnace that...

Aashav Patel: So two furnace, what capacity we are considering two furnace?

Saunak Gupta: It is -- what we said is that 96,000 metric ton annual capacity, it will add up.

Aashav Patel: So capacity is earlier also, we were expecting only 1 lakh capacity. So 80% cost inflation, how can it happen in 1 year?

Saunak Gupta: No, actually, as far as what we have mentioned is that, the cost in last year also, was around INR700 -plus crores what we have estimated. Now the cost has increased as we are to put up the best-in-class equipments over there. So keeping that into the mind, whatever is the other capitalizable cost, it is INR900 crores. In the base level, it is around INR840 crores.

Aashav Patel: Okay. I'm still not satisfied with the answer. But moving on, the secon

d question is, so recently,
there has been an ADD investigation on the met coke, the specific grade which we rely on in terms of imports for fulfilling our requirement. So what is your view on that antidumping duty investigation? And how does it impact us?

Saunak Gupta: Suresh, you can add on that?

Sureshbabu C: Yes. See, for antidumping, what the ferroalloy is using, that is excluded. So we have actually required the ultra-low phos of 0.030, okay? So whatever the appeal went to the DGTR, this ultra-low phos is excluded from the antidumping norms.

Aashav Patel: Okay. So we don't see ourselves being impacted from the ADD even if it is imposed?

Sureshbabu C: Yes.

Aashav Patel: Got it. Okay. That’s all from me.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, firstly, if I could just sum it up, it was the lower realization for ferrochrome per ton to INR84,000 that led to this halving of our profit on a Q-on-Q basis. And now the prices trend are again moving above INR1 lakh per ton. This is what the sum and substance of what the price action and the real reason for the lowering of profit Q -on-Q basis if we eliminate that part?

Saunak Gupta: Yes. So, Saket ji, thank you for your good words on the business performance. On the realization part, yes, the net realization is about INR87,000 in quarter 4. So there is a reduction in that compared to the previous years. But what -- INR1 lakh per ton, which was mentioned by Venkatesh earlier, was on the prime basis.

So INR87,000 is our total average cost that we give on net realization basis. So on that, we are seeing improvements, but INR1 lakh versus INR87,000 is not comparable. It will be much lower than that. So there will be somewhere -- if you go by the comparable level, it will be somewhere around INR92,000 to INR93,000.

Saket Kapoor: Okay. And sir, what was the number for the December quarter, the average realization per ton?

Saunak Gupta: So for December quarter, it was INR96,943 net realization value. And the quarter 4 of last year was INR101,771.

Saket Kapoor: Okay. No, sir, INR96,940 was the average realization per ton for the December quarter?

Saunak Gupta: Net realization.

Saket Kapoor: Net realization. This has gone down to INR87,000 for March quarter?

Saunak Gupta: Yes. And that's why the margins have gone down. But to a major extent, we -- through operating efficiency and cost optimization, we have actually able to manage or get a better profitability.

Saket Kapoor: And other than that, sir, we are -- we will be spending around INR800 crores for this financial year, that is FY '25 -'26. This is what the capex guidance is?

Saunak Gupta: Yes. For the three projects, approximately our spending would be in the range of INR800 crores for this financial year, approximately.

Saket Kapoor: Okay. And how much have we spent, sir, for the first 45 days? Are we drawn or this will be H2? The money will be drawn?

Saunak Gupta: Saket ji, so on the capex, we are managing through our own internal accruals. So it has started, approximately, we would have spent approximately INR100 -odd crores. But a major spend will come in the H2 of this current financial year.

Saket Kapoor: Okay. And what is our closing cash balance as on 31st March?

Saunak Gupta: You are talking of the total, including the...

Saket Kapoor: Net cash. No, you give me the net cash number after the short -term borrowings?

Saunak Gupta: If you see our overall cash position was about INR906 crores. This is excluding any securit

y

deposit that we have kept. So INR906 crores we are having. And our working capital borrowings was INR372 crores. So it is about INR535 crores approximately was the net cash balance.

Saket Kapoor: Okay. And these are all invested into the deposit and the short -term instruments. I will join the queue. Thank you, sir. I will join the queue. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Yes. First of all, congratulations to all of you for the second renewable energy agreement also of 40 megawatts. First was 70 megawatts and now second is 40 megawatts, 70 megawatts plus 40 megawatts, 110 megawatts renewable energy. Now, first question is about this chrome ore cost, which somebody said which is INR7,500 per ton of chrome ore. So is it inclusive of royalty and taxes or without royalty and taxes?

Saunak Gupta: So INR7,500 ex mine, so basically without the royalty.

Joe Shah: Without royalty. Okay. Now after this Kalinganagar project, what is our smelting plan, expansion plan? Because after 5 years, we are looking for the ferrochrome production of about 5 lakh tons, right? So what is the next smelter expansion plan?

Saunak Gupta: Yes. So in the Phase 1, as we have mentioned earlier, we are adding approximately 1 lakh metric ton. And once that is commissioned next year by September '26, we will be also having the Phase 2 plan of expansion. Currently, it is Phase 1, having 1 lakh metric ton. We are open to expansion of capacity further.

Joe Shah: Okay. Now, looking at this renewable energy capacity of 110 megawatts, which we have contracted. Now I understand from our last con call also that our requirement in power is 25% of the renewable -- in total energy consumption, 25% would be the renewable e nergy. So we have some 200 megawatts of thermal capacity.

So we'll be able -- renewable energy will be able to give us more room to use our captive power, thermal power, right? So still when we look at the 110 megawatts of renewable energy, it means we can consume -- we can have capacity -- total consumption of about 440 megawatts. So it is going on the higher side. Why is it going on the higher side?

Saunak Gupta: Requesting Mr. Mohapatra to respond to that.

Bijayananda Mohapatra: Actually, we have taken 110 megawatts with two, three aspects. One is the current requirement is another 60 megawatt for this Kalinganagar project Phase 1. Phase 2 in this same land, we have a plan for putting up another 33 MVA. So that will require another 30 megawatt. And to say now the CBAM, so we'll make some renewable energy in our existing operational area like Choudwar and Therubali.

So what to say that with June '26, so we'll get around 25% subsidy in transmission -- interstate transmission charges. So that will also give a long-term profit to us. So keeping all these things in mind, we have taken this.

Joe Shah: Okay. Thank you. That’s all. Thank you very much.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Research. Please go ahead. As there is no response from the participant, we'll move to the next. The next question is from the line of Anshika from Jain Associate. Please go ahead.

Anshika: First of all congratulations for this amazing result. I wanted to ask what would be the potential Q2 numbers in terms of production, sales and EBITDA cost?

Saunak Gupta: See, the forward -looking thing, as you know, there are certain restrictions on SEBI guidelines. We won't be able to give those exact values. But one thing we can say as already Sureshbabu has mentioned that the production will be in the range of around 65,000 tonnes. And you know that whatever is o

ur production based on it, we also sell it off.

Price realization will depend how the market behaves, but we have said we are seeing some sort of upside from the low price what we saw in quarter 4. That's the maximum what we can say as of now.

Anshika: Okay. Secondly, can I have a little knowledge about what is the current sales mix and how we are seeing it for the next quarter as well in terms of LTC and spot and as well as domestic and export?

Saunak Gupta: Yes, Suresh, you can...

Sureshbabu C: Venkatesh, can you deal with it?

M Venkatesh: Yes. Could you just repeat your question, ma'am?

Sureshbabu C: She's asking about mix.

Anshika: Sales mix in terms of spot, LTCs and also in terms of domestic and export. In terms of percentage, it will be okay.

M Venkatesh: Yes. So when we look at export to domestic, it will be in the similar range like what we have been doing roughly about 90 -10, 90% in export, 10% in domestic. That would be somewhat those numbers, 90% to 95% in exports and like 5% to 10% in domestic. LTC to spot, LTC would constitute about 80% of our sales.

Anshika: And most of it is in with POSCO or some other customers as well, if any big customers, they are also having LTC apart from POSCO?

M Venkatesh: Yes, we are having LTC with many customers apart from POSCO. Yes, they are big customers. That's all I can say.

Moderator: Yes, ma'am. Does that answered your question?

Anshika: Yes. Just a last question, if I can ask a follow -up. What is currently we are importing Colombian coke or it was different in the mix of coke from the international market?

Moderator: Can you just repeat your question again?

Anshika: Existing coke is from still Colombian market or are we trying to explore some different countries as well?

Sureshbabu C: Most of the coke is from Colombia only. And some part we are also exporting from other sources.

Anshika: Sir, any ratio to that or -- and we mostly use ULP coke or another...

Sureshbabu C: We mostly use ULP coke. The ratios are dependent upon the market product requirements.
Anshika: And as I can recall, the total cash generation for the whole year has been close to INR100 crores?
Saunak Gupta: Cash generation in the sense?
Anshika: Any of the -- in terms of the operational business performance, what was the IMFA's total cash generation in terms of what was the outflows for operation and net of the inflows?

Saunak Gupta: So as we said that our PAT is INR378 crores. And on the operating and as well as the investing activities if we add up, the total free cash flow generated was INR430 crores. So that is the overall -- this is before payout of the dividend.

Anshika: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Thank you for the follow up. Sir, my question was that I couldn't understand what is prime rate and that -- could you explain what is that prime rate, what you said around INR93,000 something?

Saunak Gupta: Yes. So the prime rate is basically the gross rate. And then on that, whatever are the sales realizations, those things on the selling cost and selling expenses, transportation expenses, if you reduce that out, it comes to about INR87,000. So we gave you the net sales realization rate, INR87,000.

Manan Vandur: So what is the percentage of these costs usually? So like could you give an example, like, let's say, INR1 lakh is the prime rate, gross rate. Then what would be the rest? How would you do it?

Saunak Gupta: It will be varying from around -- it also depends on the ocean freight cost and all other realisation . So it varies around INR6,000, betwee

n INR5,500 to INR6,500.

Manan Vandur: Okay. So that means the prime rate would be more and then the net rate would be less that way?

Saunak Gupta: Yes.

Manan Vandur: Okay. INR5,000 gap. And sir, so what you said, the long-term contracts of INR93,000, which is there, so that is prime, those long -term contracts?

Saunak Gupta: Yes, that's the average prime cost.

Manan Vandur: Okay. That's the average prime cost. Okay. Understood. And sir, for example, let's say, I just wanted an example. So let's say, today, ferrochrome is INR1 lakh as on today's date. So in our realization, how much time will it take for that INR1 lakh to come ? How many months, for example?

Saunak Gupta: So as I said, it takes about approximately 1.5 months lag period is there, 1.5 months to 2 months to get that full value of it.

Manan Vandur: Okay, understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Akhilesh B an Individual Investor. Please go ahead.

Akhilesh B: Thanks for the opportunity. Am I audible?

Saunak Gupta: Yes.

Akhilesh B: I had a few questions. So production next year can be 3.1 lakh to 3.2 lakh tons of ferrochrome. And in FY '28, we can do 3.6 lakh completely?

Sureshbabu C: Yes. You are right.

Akhilesh B: Okay. And have we entered into discussions for long-term contract of this expanded capacity or it's already tied up? We can have no problem in placing this quantity in the market?

Sureshbabu C: Venkatesh, can you?

M Venkatesh: I think you mentioned next year, I think so you were mentioning the production will go up. That's FY '26, you are talking of or...

Akhilesh B: No, '27. '27 3.1 lakh to 3.2 lakh tons and '28 to 3.6 lakh tons, whether those can be met by us?

M Venkatesh: I will answer. So we -- like I was mentioning a little while earlier, the domestic market is growing. So there is a huge potential in the domestic market. Added to that, our existing customers -- some of them are also expanding. Their expansions are also coming up. And some of them are -- they just have -- they take a very small quantity from us as compared to the total requirement.

So there is a scope there also. So we have the option of expanding with existing customers. But primarily, at this stage, we are trying to increase our presence in the domestic market.

Akhilesh B: But is the realization better domestically compared to these long -term contracts or why are we going to change the mix between long -term and spot in that way?

M Venkatesh: Yes. See, like I was again answering that, you can't have a big gap between all these prices. There may be a little lag or a lead, but the prices overall over a period of time would be at similar levels, whether it's a long-term or when you look at spot. In long -term, you have that certainty.

In spot, you don't have the certainty. So I don't see price is going to play a role for us to decide. We would rather look at the requirement. And since the domestic requirement will go up, it would be better for us to cater in the domestic market. And if need be, like I said, we have an option to also increase our exports.

Akhilesh B: And sir, second question is on power cost. So this new facility, we have tied up power, will the effective cost be lesser, higher or the same as our current power cost?

Saunak Gupta: I think Binoy can just add to that.

Binoy Agarwalla: For Kalinganagar, actually, we have tied up with hybrid renewable energy. And that power cost will be at par with our present generation cost. It won't be that high.

Akhilesh B: Even after accounting for any subsidies, etc. it's not cheaper, it'

s at par.

Binoy Agarwalla: It will be at par. It's not that cheap because again, there will be transmission charges, enhancement or ED, something like that is there at the landed cost. So it will be at par with power generation cost at present.

Akhilesh B: And sir, one last question on this figure of INR800 crores, INR900 crores on the capex. So if you could spend some more time commenting on how the figure increased, I think it will create a lot of concerns because earlier figure was around INR600 crores, INR500 crores. So if you could spend some more time explaining how it has increased as well?

Saunak Gupta: So, Suresh, you want to add, then I will just further add on that.

Sureshbabu C: No, no, you can talk about that.

Saunak Gupta: So what I was just saying earlier, as I said that we are actually putting in the best -in-class plant over there. We are looking into all the opportunities. It has increased because last year, initially, we had said it will be around INR700 crores from there. It has increased on the base level,to INR 840 crores.

As well as there is an escalation of the various costs, which has happened because this INR700 crores we had mentioned somewhere around 2.5 to 3 years back. So that has gradually, had escalation of cost, plus whatever is the quality of the equipments and all what we have done, that has resulted into increasing to INR840 crores.

On that, based on whatever the current accounting standard, we can also capitalize whatever the cost, which we will be spending for commissioning and trial run. It adds up to about INR60 -odd crores. In all total, the full capitalizable value we are taking at INR900 crores.

Akhilesh B: And this is the final value now. There are no escalations in this number?

Saunak Gupta: So, this is the final number on this.

Akhilesh B: And this best -in-class machinery, so will it -- will this plant have better efficiency than our existing plant? Will we have more -- will the ratios improve in this plant compared to the prior one?

Saunak Gupta: So basically, the visibility of the operations will improve. It is more of the digitization we are doing. So those will happen to a major extent. And efficiency, we expect there should be a better improvement from the current levels. We are hopeful on that.

Akhilesh B: Okay. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Joe Shah from 7seas. Please go ahead.

Joe Shah: Gentlemen, I understand that for Q4, average realization was INR87,000 about per metric ton of ferrochrome. Now for Q1, we are expecting some INR92,000 to INR93,000 per metric ton realization -- average realization. Can you confirm my understanding?

Saunak Gupta: So Mr. Shah, we are seeing some upside. But as you know, there are certain lag period for getting this value in our books. So, obviously, we are having that our -- overall, we are expecting that Q1, our realization will improve. But exactly quantifying at this stage is slightly difficult.

As you know, the market still is uncertain. So we can't predict what it will be at the end of 30th June, considering the overall uncertainty in the market. But yes, our overall -- currently, at the current date, we have a feeling that, yes, it should be better than what we had experienced in quarter 4.

Joe Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.

Manan Vandur: Yes. Thank you so much for giving another opportunity. Sir, we have 110 megawatt renewable energy contract. So would you please give us the details of that? So like per unit, how much price have we contracted it and for how many years is

the contract?

Binoy Agarwalla: Actually, 110 megawatts, we have signed 70 megawatt of contracted capacity with hybrid mechanism with JSW. Fine? And we have signed binding terms with Ampin 40 megawatt. Club up together is 110 megawatts. And both the agreement will be for 25 years, and they will be supplying power by June '26.

Manan Vandur: Okay. And what would be like the agreement price of that, 1 unit price?

Binoy Agarwalla: One unit price of JSW is tariff at injection point is INR3.84 and with Ampin is INR3.75.

Manan Vandur: Okay. So that means this is lesser than our current INR4.09. So this will be helpful for us. Is that understanding correct?

Binoy Agarwalla: It's a generation injection point and your landed cost will be a little bit higher, right? But our variable cost is INR4.09. It will be at par with that only.

Saunak Gupta: Okay. Understood. And these are 25 years contract, PPA contract.

Binoy Agarwalla: That's we already told, 25 years.

Manan Vandur: Correct. Okay. And sir, our long -term contracts, they are changed -- their contract prices are changed every 3 months or 1 month or something like that is there, like renewing of prices is something like that happening?

Binoy Agarwalla: For this contract of 110 renewal energy?

Manan Vandur: No, sorry, sir, sorry. About...

Saunak Gupta: Venkatesh, you may add or respond to the question.

M Venkatesh: Yes. There are contracts which have a quarterly price. And there are also long -term contracts, which is based -- which is a monthly price based on certain indexes. So both the contracts are there in place.

Manan Vandur: Okay, quarterly and monthly. So -- and how is this determined? So these prices, how would they be determined?

M Venkatesh: This is linked. If you look at the quarterly contracts, they are linked to what we call it as EBM. That's the European benchmark price now declared by Samancor. So because you can't have a long-term contract without any linkage to an index. You just can't have a quantity without a price. It has to be linked. Similarly, we have certain monthly contracts, which is linked to certain indexes in China.

Manan Vandur: So when you said quarterly sir, BBM and the monthly one is which index?

M Venkatesh: EBM, European benchmark.

Manan Vandur: Okay. EBM. And the monthly one is linked to what, sir?

M Venkatesh: It's linked to the Chinese index price.

Manan Vandur: Okay. Understood. And if I wanted to understand like any quarter's price, so how is this linkage actually done? Like is that a percentage form or is it directly that same amount? How is that done?

M Venkatesh: That is a part of the negotiation. Just to give you a small example, the EBM went up by this quarter, that is quarter 1, from quarter 4 to quarter 1, there was a change of $0.05. But if you look at it as that's the $0.05 is an absolute number. But in terms of percentage, it's 3.7%. So based on these numbers, we negotiate the price.

Manan Vandur: Okay. So this was almost a 3.7% rise. So for example, let's say, in Q4, our realization was INR90,000, for example. And so, in Q1, it would be almost 3.74% higher. Is that understanding correct?

M Venkatesh: It would be -- I can't tell it will be exactly the same. It would be at similar level.

Manan Vandur: Correct. Okay. Understood. Thank you so much.

Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr.

Abhishek Savant from Veritas Reputation for closing comments. Over to you, sir.

Abhishek Savant: Thank you to everyone who joined us today and participated in the discussion. We appre

ciate
your questions and continued interest in IMFA. As always, we remain committed to the transparent communication and delivering long-term value to our shareholders. On behalf of the Board of Directors and management, we thank you all for your participation in this call. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you again in our future updates. Have a good afternoon and stay safe. Thank you.

Saunak Gupta: Thank you.

Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2025

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~tock Symbol & Series : IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir I Madam, 29th May 2025
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, the transcript of the audio
call recording of the Company's Investor / Analyst Call held on 23rd
May, 2025 on the Audited Standalone and Consolidated Financial
Results of the Company for the quarter and year ended 31st March,
2025 is attached herewith .
You are requested to take the same on record.
Thanking you
Yours faithfully
For DIAN METALS & FERRO ALLOYS LTD
(Smru 1 Ranjan Ray)
Comp ny Secretary & Compliance Officer
Membership No: F4001

“Indian Metals & Ferro Alloys Limited
Q4 FY25 Earnings Conference Call ”
May 23, 202 5

MANAGEMENT : MR. BIJAYANANDA MOHAPATRA – WHOLE TIME
DIRECTOR AND CHIEF OPERATING OFFICER – INDIAN
METALS AND FERRO ALLOYS LIMITED
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER–
INDIAN METALS AND FERRO ALLOYS LIMITED
MR. BINOY AGARWALLA – HEAD POWER BUSINESS
UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SANDEEP B. NARADE – HEAD MINES BUSINESS
UNIT – INDIAN METALS AND FERRO ALLOYS LIMITED
MR. SURESHBABU CHIGURUPALLI – HEAD
FERROALLOYS BUSINESS UNIT – INDIAN METALS AND
FERRO ALLOYS LIMITED

MR. M. VENKATESH – HEAD SALES AND MARKETING
FERROALLOYS BUSINESS UNIT – INDIAN METALS AND
FERRO ALLOYS LIMITED

MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '25 Indian Metals and Ferro Alloys Limited Earnings Conference Call arranged by Veritas Reputation. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you, and over to you, sir.

Aryan Rana: Thank you, Muskan. Good afternoon, everyone. On behalf of Indian Metals and Ferro Alloys Limited, I extend a warm welcome to all participants joining us for today's earnings call. We appreciate your continued interest and support. This session aims to prov ide deeper insights into our performance for Q4 and the full fiscal year ended March 31, 2025, as well as the strategic direction for the ro ad ahead.

Following the opening remarks by our management, we will open the floor for Q&A session. And finally, keep your questions concise and relevant to allow broader participation. IMFA, India's leading fully integrated producer of ferroalloys has demonstrated resilience in Q4 FY '25 despite ongoing market challenges. The performance underscores the company's focus on operational excellence, disciplined execution and long -term value creation.

Our financial results and investor presentation are available on our website and have been filed with the stock exchanges for your reference. Before we begin, I would like to remind you that some of the statements made in today's discussion may be forward -looking in nature. These are based on the company's current expectations and are subject to various risks and uncertainties that could cause a ctual outcomes to differ materially.

Joining us today on today's call are and I welcome Mr. Bijayananda Mohapatra , Whole -Time Director and Chief Operating Officer; Mr. Saunak Gupta , Chief Financial Officer; Mr. Binoy Agarwalla , Head Power Business Unit; Mr. Sandeep B. Narade Head Mines Business Unit; Mr. Sureshbabu Chigurupalli Head, Ferro alloys Business Unit; Mr. M. Venkatesh, Head, Sales and Marketing, Ferro Alloys Business Unit.

With that, I would now like to hand over the call to Mr. Saunak Gupta, our Chief Financial Officer. Over to you, sir. Thank you.

Saunak Gupta: Thank you, Aryan and good afternoon, everyone. Thank you, everyone, for joining today's earnings call on Q4 FY '25 financial results , in my first earnings call briefing to you all as CFO of IMFA. Let me take you through the financial highlights for the fourth quarter and full year ended March 31, 2025.

At the macroeconomic level, Q4 FY '25 experienced uncertainty on trade policy -related developments, along with geopolitical situation impacting several segments of commodity

markets. Global ferrochrome market traversed through a phase of subdued global demand and weak pricing trend. Despite this, IMFA demonstrated resilience and marshalled its resources on cost optimization, operational efficiency improvement and leverage its fully integrated model.

The stand alone and consolidated financial results have been already uploaded in our website for your perusal . As you would have seen in our results, despite headwinds our focus on efficiencies and disciplined capital allocation allowed us to deliver a positive free cash flow, retain a healthy financial position.

Some of the key business and strategic highlights of FY '25 are chrome ore raised crossed 7 lakh metric tons for the first time for IMFA. Our work has commenced on the 96,000 metric ton per annum G reenfield ferrochrome expans

ion project in Kalinganagar. The orders & LOIs have been
placed for civil and structural works, major furnace equipments and power transformers.
During the year, IMFA has signed a power purchase agreement with JSW Green Energy Group
to acquire hybrid renewable power of 70 megawatt contracted demand. Further, we have entered
into another binding term sheet with Ampin Energy Utility One Private Limited to acquire
hybrid renewable energy of 40 megawatt contra cted demand. This will enhance energy security
and will substantially reduce our carbon footprint. IMFA has also received necessary statutory
clearances for the 120 KLD ethanol project and has also placed all the major equipment orders.
Boundary wall for t he project has been also completed.
Further, during the year and especially in quarter 4, the Regional Director, Eastern Region has
approved the scheme of amalgamation of the merger of Utkal Coal Limited with IMFA with an
appointed date of 28 March 2025. Financia l entries for merger as per Ind AS have been passed
in the financial books of IMFA in quarter 4 of FY '25.
While the macroeconomic environment remains uncertain, early signs of recovery in pricing,
particularly in April onwards, gives us confidence in a more stable FY '26. Globally, the stainless
steel production has grown by 7% in calendar year 2024 and capaci ty rationalization in markets
like South Africa is expected to rebalance the supply -demand dynamics. In FY '26, we remain
focused on cost optimization, operational efficiency and executing on our growth initiatives and
to deliver the value to our stakehold ers.
With that, I will now open the floor to any questions that you all may have.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.
Aashav Patel: Thank you for the opportunity, Very good afternoon to the entire team. S o, sir, my first question
is, what is our EBITDA cost per metric ton for FY '20 -- sorry, for Q4 FY '25?
Saunak Gupta: Yes. So the EBITDA cost is INR76,980 for quarter 4 FY '25.
Aashav Patel: Okay. And sir, what is our met coke cost for Q4, the same quarter?
Saunak Gupta: For the ferrochrome cost per metric ton in it...

Aashav Patel: No, met coke?
Saunak Gupta: Yes, I'm saying that per metric ton cost of ferrochrome, the met coke component in that is about
INR15,150.
Aashav Patel: Okay. So it is similar to that level. So why I'm asking this is because met coke prices have been
continuously falling very much. So I just wanted to understand and gauge when do we accrue
the benefit of falling met coke prices. So if INR15,000 per metric ton is the rate for Q4, how do
you expect -- what was the opening inventory for this financial year of met coke per metric ton
value?
Saunak Gupta: I'll just put it to Suresh. Will you be able to give your inputs on that? Suresh? I think Suresh
would have dropped out. So if you see for this -- last year, our average met coke cost was
INR18,881. From there, this year, we have come down to INR15,543. But we usually keep the
stock of about 3 months because a major portion is imported. The flow down will take some
more time, but we have already envisaged and seen a drop in the current year compared to last
year's average.
Aashav Patel: Okay. So we should see further benefit in Q1 and Q2 of falling met coke prices?
Saunak Gupta: Yes. If we see that drop, we will definitely get something.
Aashav Patel: And sir, our ore raising is now highest ever. We are close to 7 lakh range. So I just want to
understand how the inventory of chrome ore has improved over here over the last, say, 2 years.
For example, earlier, we used to keep close to 2 lakhs ton of inventory versus what does it look
like right now?
Saunak Gupta: Yes. So on tha

t part, I will just request Sandeep, our Mines BU Head to put insight on that.
Aashav Patel: Sure.
Sandeep B Narade: So right now, we are having about more than 4 months of inventory of ore at our plant site, both
the plant sites. And also at mine about 2.5 months inventory is with us ready to dispatch.
Aashav Patel: Okay. So earlier, what was this figure, say, a year back?
Sandeep B Narade: It was about in the plants about 3 months stock was there, at mines about 1 month stock was
there.
Aashav Patel: Okay. So we have basically increased our inventory on books by close to 50%, right?
Sandeep B Narade: Yes.
Aashav Patel: Okay. And sir, equipment order has been completed for Kalinganagar expansion, equipment
ordering?
Saunak Gupta: Yes. So major equipment ordering has been done for Kalinganagar project. And the point is that,
we have planned to commission it mid of next year, the first furnace somewhere in June '26. So

that is on track. And on the earlier question you were having on the chrome ore, there is a 50% increase from last year, it's not 50%. That is around 20%, 25% increase from last year. Basically, we are building it up for the Kalinganagar project, we will be requiring chrome ore. So as you know, we cannot immediately jack up our production at the time of commissioning, we have to build it up. Gradually, we are building it up for the chrome ore production.

Aashav Patel: Got it, sir. And sir, regarding the recent Merafe shutdown, what we have been hearing, I guess, close to 8 lakh metric ton has been brought down by Merafe in South Africa. So can you please throw some more light on the mine -- sorry, furnace closure in South Africa, how that has moved and what other players like Glencore was also earlier reviewing their business situation, bu t not sure whether they have closed down also or not? So can you please throw some light?

Saunak Gupta: Yes, I'll pass on to Venkatesh, our Sales and Marketing Head to add his insights on that.

M Venkatesh: Right. So Merafe announcement, Merafe and Glencore are partners, so they are partners. So Merafe's announcement was due to the market conditions, so the reduction in production. But Glencore also has announced they will start looking at more chrome units. So what they mean by that is because -- there are challenges in South Africa.

Electricity costs have gone up and the challenges with regards to the ferrochrome market per se. So they have reduced the production on a temporary basis. And when they say chrome units, I believe they would be looking to export maybe more of chrome ore ou t of South Africa.

Aashav Patel: Okay. But -- okay. So let me put it other way around. Given that China completely is dependent on the imported chrome ore. Right now, as we speak, still we are at an advantage of, say, close to 20,000 metric ton per ton in terms of cost of production compared to China because of our captive ore ?

M Venkatesh: I don't have the exact cost of China. Yes, we have an advantage of having a captive mines. China has totally to depend on South African ore, primarily South African ore. So definitely, the cost of production as far as chrome ore, both would be higher. But as far as other raw material goes, they may have a slight advantage, more specifically to do with coke.

Aashav Patel: Okay. And sir, recently there was ...

Moderator: Mr. Patel, I'm sorry to interrupt. I just request you to follow with the queue, please.

Aashav Patel: Sure.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, my question is on this forward -looking guidance, means what kind of ferrochrome production we -- trajectory means what kind of trajectory we expect for FY '26? And then once the 1 lakh ton Kalinganagar smelter starts, so what will be the ramp -

up tonne for that? So for fiscal '27, how much we can expect from that new facility?

Saunak Gupta: So I'll just pass this out. Suresh, you were there?

Sureshb abu C: Yes, yes, I'm added just. See, in the first year, we are expected to start the production from the month of -- mid of the '26-'27. That is around July, we are going to produce. In June, we are going to commission. So it will -- ramp-up will happen. So in the financial year, it will be around 50,000 to 60,000 production will be there.

Aditya Welekar: Okay. Understood. And as you said, there is 12 months of inventory already of chrome ore now on the line there. So for '26 -- fiscal '26, the new ore raising will not be materially higher, right, means given the inventory situation we have. Is that understanding right?

Sureshb abu C: Yes, yes. Connected with the new facilities, there will not be a problem.

Aditya Welekar: Understood. And any capex guidance for FY '26 and '27?

Saunak Gupta: So on the capex part, as we have mentioned earlier, that almost INR840 crores of our investment is in Kalinganagar project, which is scheduled -- the first furnace is scheduled to get completed in June '26 and the second one in September '26. Besides that, we are also under project completion of 120 KLD ethanol project, w hich is about INR150 crores, which is on course. And on the underground mines, which is overall in a 5 -year tenure, it's about INR1,000 crores, we'll be spending, but a part of it will also come in FY '26. So overall, we expect in FY '26 around , INR800 crores to INR900 crores will be the outlay for all these three projects.

Aditya Welekar : Understood. I have few more questions. I will join back the queue.

Moderator: Thank you. T he next question is from the line of Supriya Shah from Kotak Associate . Please go ahead.

Supriya Shah : There is a decrease in EBITDA by 44% when revenue has only decreased by 12% and cost has

also decreased by INR1,000 per ton. So reason for the decrease in EBITDA?
Saunak Gupta: Not understood. This EBITDA 44% for which period you are comparing?
Supriya Shah : From Q3 '25?
Saunak Gupta: Q3, our EBITDA cost was about INR77,800 and now it is about INR76,980, almost -- it's just about INR800-odd per metric ton reduction. So not significant. But for that, primarily the reduction is on the chrome ore r aising cost to some extent and to some extent on your coke cost.
Supriya Shah : And what the Q4 specifics in terms of ore, coke and power?
Saunak Gupta: So our power cost is INR4.09 variable cost. But on the power, I will ask Binoy to just add his inputs on this.
Binoy Agarwalla: Yes. Saunak, you are correct, in Q4 FY '25, the variable cost of power is INR4.09. And compared to Q4 FY '24, which is INR0.28 less than the -- in this quarter, Q4 FY '25. It's mainly due to coal only. Coal prices come down due to transportation of coal by rail.

Supriya Shah : And for ore and coke?
Saunak Gupta: So on the chrome ore part, Sandeep, can you put some insights on that or your views on this?
Sandeep B Narade: Chrome ore cost in Q4 was a bit lower due to higher production in Q4. We have done more production than our budget.
Saunak Gupta: Yes. So chrome ore from Q3, there was a reduction in this because of the higher production and certain cost optimization initiatives that we have taken. So for that, overall, the cost has gone down. And it was per ton of ferrochrome, it was about -- on a net basis, it was INR 7,400.
Supriya Shah : And what was the specific ore in terms of HCFC?
Saunak Gupta: Specific ore you are talking of?
Sureshb abu C: Specific ore you are talking? Specific ore is around 2.35 tons levels. It varies based upon the grade what we are making. It is 2.32 tons.
Supriya Shah : And what was the coke per ton price in coke

-- specific coke per ton of HCFC?
Sureshb abu C: The coke price in this quarter is around INR31,000. Specific, you can consider it is 560 kg.
Supriya Shah : Thank you.
Moderator: Thank you. The next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.
Manan Vandur: Sir, there was a little bit of confusion. So I would just like to reclarify the questions asked by the previous participant. So the cost of chrome ore per ton, I want to know, not per ton of ferrochrome, but 1 ton of chrome ore is how much cost?
Saunak Gupta: It's about quarter 4 was INR7,500, primarily what Sandeep has given the reasons because of that, it is INR7,500.
Manan Vandur: Okay. Okay. And we normally consume 2.5 tons, right?
Saunak Gupta: Yes. As Suresh saying 2.35 tons.
Sureshbabu C : Yes. 2.35 tons we have consumed in this quarter.
Manan Vandur: Okay. It's 2.35 tons. But is that also generally 2.35 tons or more than that?
Sureshb abu C: No, it varies depending upon the grade. So you can consider from 2.35 tons to 2.5 tons.
Manan Vandur: Okay. Understood. And sir, the next question would be on the average ferrochrome price for -- like we have long -term contracts and we have spot contracts also, right? So for the long -term contracts, could you please give us what is your ferrochrome price for tho se long -term contracts, please?

Sureshb abu C: Venkatesh?
M Venkatesh: Yes, we don't very specifically have anything regarding long -term contracts because most of the contracts are long -term. But what I can say is, the average price realization for prime would be around INR93,500.
Manan Vandur: Okay. Because last quarter, when I asked, it was around INR89,000 to INR90,000 per ton, which was -- which is like almost 60% of your total sales is long -term contracts. Hence, I just asked. And also this changes every month or 3 -month basis?
Saunak Gupta: I just wanted to add that you are saying INR89,000 to INR90,000 is the net realization, the total, whatever is the ferrochrome we sell, which this quarter is INR87,000, INR87,021. So there is a drop in the average realization.
Manan Vandur: Yes, correct. I understand. But the long -term prices, which you have with POSCO and other people you have with, those prices would be INR93,000 you said?
Saunak Gupta: See, these are basically a bit of strategic pricing. So what Venkatesh has said that INR93,000 is the overall long -term contract average, that's the prime cost we have. And on the totality basis, our average in this quarter, has come to INR87,021 .
Manan Vandur: Understood. Just one second, sir. And sir, current ferrochrome prices because the average would be what? Because anyway, the quarter has almost ended. So what would be that?

Saunak Gupta: See, on that net realization value that I said and with the average forex, whatever is the dollar cost, it is about 76 cents . But we -- as I mentioned that we are seeing from April onwards some uptick in the price. But for the quarter, February, March was very low. So almost China was hovering around 75 cents. So, our average is around 76 cents on a net basis.
Manan Vandur: Correct. Understood, sir. I just want to know for this quarter, Q1 because 2 months have ended April has passed and even May has gone. So what would be the price as of this quarter I want to know?
Saunak Gupta: Normally, for forward -looking pricing, usually as you know that there is a certain restriction on the SEBI guidelines. So we have to stick to that. But the only thing I can say that we are seeing certain upsides in the overall market on the pricing side. A nd Venkatesh, what would be that percentage of upside around?
M Venkatesh: What we are seeing the prices currently is around INR1 lakh per ton.
Saunak Gupta: On the prime basis?
M Venkatesh: Yes. On the total price, this is -- I'm not talking

of in terms of the realization. I mean, the total price, what we're seeing to day is around INR1 lakh per ton.
Manan Vandur : Okay, understood. Thank you, sir.

Moderator: Thank you. Th e next question is from the line of Dev Jani from Tata. Please go ahead.
Dev Jani : Hi, everyone. The s tatus of the Sukinda underground plant?
Saunak Gupta: Yes. So, Sandeep, you can give your insight on that.
Sandeep B Narade: Can you please repeat once?
Saunak Gupta: So she is asking for the Sukinda underground mines update.
Sandeep B Narade: Yes. So for Sukinda mines expansion plan, we have already given the major contracts. And all the works are in progress for the decline for the ventilation shafts and for the main shaft and so on. So that is in line as per our plan.
Dev Jani : Okay. And my second question is, what is the ratio of HCFC?
Saunak Gupta: Pardon, we could not hear you. What is the ratio of?
Dev Jani : Sir, I just wanted to ask what type of selective grades do we use for production of HCFC?
Sureshb abu C: See, it is all based upon the market requirements. So based on the market requirement, the grade changes.
Dev Jani : So is this indigenous or do we export?
Sureshb abu C: No, no, it is indigenous from our mines only.
Dev Jani : Okay. Can I have a little bit of knowledge on what was the stripping ratio for quarter 4?
Saunak Gupta: We can not hear you once more, can you please repeat?
Dev Jani : What was the stripping ratio in quarter 4 in terms of mining?
Saunak Gupta: Sandeep, you can add on this.
Sandeep B Narade: So for open cast, the stripping ratio is about 1:3.5.
Dev Jani : What was the C r:Fe ratio, which was last told in the communication was specifically...
Sandeep B Narade: No. You are asking the stripping ratio that I have told. Now you're talking about CR :FE ratio that is different.
Dev Jani : That is 3.2 , right, currently?
Sandeep B Narade: Sureshb abu can tell about that, C r:Fe.
Sureshb abu C: Cr:Fe ratio also varies. It moves from 2.5 to 3.5.

Dev Jani : Okay. And so this all totally added up to this time also the peripheral rate went above 60 or it was the realization was low in the market below?
Sureshb abu C: No. We make 60 only. Our grade will be 60 plus. So based on 60, the blending we will do accordingly.
Dev Jani : Okay. Thank you.
Moderator: Thank you. Th e next question is from the line of Madhur Chaturvedi from MAIQ Capital. Please go ahead.
Madhur Chaturvedi: Congratulations on putting up a formidable result even in a challenging macro environment. And congratulations on the ceremony for the installation of the Kalinganagar plant also yesterday.
Sir, just wanted to get some more -- just to clarify, what is the capex numbers because in previous calls, it was INR650 crores for the 1 lakh ferrochrome expansion. Now in this press release, it was INR900 crores.
So just wanted to get a clarity on -- if we can just do in terms of ferrochrome capacity, what would be the capex for the mining capacity, what would be the capex? And just sort of the time line of when that would be incurred. If we could just get that more granular, that would be very helpful ?
Saunak Gupta: Yes. So as we had mentioned last quarter also and this quarter -- first of all, thank you for your

good words on the performance of the company. And yes, yesterday, we had the opening ceremony of our Kalinganagar project. So on the capex side, on the Kalinganagar project, the total amount that I said was at INR840 crores.
And if you add up the capitalizable expenses that will be spent at the time of trial run, it will go up to somewhere around INR900 crores. So that is the overall capex, which obviously will be spent out by next year, September, October by the time when we go for the commissioning of both

the furnaces. So June will be the first one and September '26 will be the second one.
Madhur Chaturvedi: And this includes workin g capital or this is purely cape x?
Saunak Gupta: This is purely capex. Working capital will be separate. The capex outlay on the mines outlay, we have a plan approximately INR1,000 crores for increasing the capacity, but that will be spent out in about 5 to 6 years from now. So it will be spent -- majorly in the initial 3 years . The major amount will come and then it will taper down by FY '31 end by the time we reach the capacity of 1.2 million tons of raising.
Madhur Chaturvedi: Got it. Perfect. Sir, and just in terms of the furnaces now that you mentioned it, so what -- who is our technology partner, what technology are we going with? Are we going with ano ther technology like Outokumpu or what is the technology we are targeting?
And how would that efficiency of power and chrome ore be in the new plant versus the old plant? Will we still expect the power to be around 4,000 units per ton and th e conversion to be

around 2.35 o r are we going with a newer technology where we can expect those numbers to be more efficient?
Saunak Gupta: So I'll re quest Sureshb abu to give more input.
Sureshb abu C: Yes. This is a closed furnace. Both furnace will be closed furnace. So you know that smelting is an energy intensive. And the technology -- yes, so the off -gases we are using for the power plant.
So the specific power will be of the same range because of o ur material what we are using now.
Madhur Chaturvedi: Got it. Perfect, sir. Perfect. And sir, just one last question from my end. This is more about the mining. We are -- sir, with the -- again, mining, are we managing to extract more than our 6 lakh metric ton capacity? Is that how we're able to sort of increase our chrome ore inventory in anticipation of the power coming online just from an operational point of view?
Just trying to understand that if we -- given the chrome conversion, most of our mining capacity goes into our production. Just what you think will be the maximum inventory we'll be able to store in anticipation of the commissioning Q2 next year?
Sandeep B Narade: Okay. So inventory will be just like what is right now, we are having inventory -- you're talking for the Q2 of this year?
Madhur Chaturvedi: So just that we mentioned that we are sort of stockpiling inventory in anticipation of the commissioning of the new production line. Just how much we'll be able to do that given that most of our chrome does go into our ferrochrome production? So how much w e'll be able to extract as a sort of buffer inventory so that we can start production at Kalinganagar once that line is ready?
Sandeep B Narade: So right now, just I said before, we are having the inventory of more than 4 months at our both plant locations and about 2.5 months at mines. So that is...
Madhur Chaturvedi: And that is the number we'll be comfortable with, sir, going ahead into next year or we can ramp that up or...
Sandeep B Narade: Yes. Obviously, it will be quite comfortable right now also it is. And we are increasing our production. So just like in the last FY, we have done 702,000. So this lakh, we have the plan of 8.25 lakh. So we'll be keep on increasing the o re production from the mines.
Madhur Chaturvedi : Got it. Perfect. Amazing sir. I will rejoin the queue and thank you for your time and congratulations.
Moderator: Thank you. Th e nex t question is from the line of Pranav Ja in from Ageless Capital Finance . Please go ahead.
Pranav Jain: Congratulations on the opening ceremony for the new plant. I just had a few questions. I just want to understand the power requirement for the new plants and the details surrounding it. How much are we going to get from where are we going to get? Could you dwell on it a little m

ore?

Saunak Gupta: So I will request our Chief Operating Officer, Mr. Bijayananda Mohapatra to add on that.
Bijayananda Mohapatra: So we'll go for this Kalinganagar project with the help of renewable energy, hybrid energy that we have tied with JSW with 70 megawatt and with Ampin with 40 megawatt. So this will be help through the new facility and both are going to be commissioned in June '26. So it is...
Pranav Jain: I was saying the 70 megawatt and 40 megawatt are these the total capacity? Or is this what we'll

be requiring?
Bijayananda Mohapatra: No. Our requirement for Kalinganagar, it is approximately 60 megawatt, okay? But it is a hybrid, it will not give every time that 70 megawatt. So the power will be utilized in our existing operation area, Ch oudwar and Therubali. So that will also get that obligation, renewable energy obligation. So that will help, and it will also help our CBAM factor.
Pranav Jain: Got it, sir. And sir, next -- so sir, as you can see, ferrochrome prices, they bottomed out in Jan and now they are recovering as said by the management as well. When can we expect the full benefit of these prices in our financials? And also, can you help me understand the lag in price realization?
Saunak Gupta: So on this price realization part, I would say that lag period is about 1.5 to 2 months for us to get the benefit out of it. But on the future outlook, I will just request Venkatesh just to give an overall viewpoint on the ferrochrome market price.
M Venkatesh: Yes. So the challenges continue to remain. There has been an improvement in prices, but challenges continue to remain. The challenges like all of us know in terms of tariffs and ongoing conflicts. But there are small signs of the market improving. When we talk of China, they have taken -- they have introduced small stimulus measures.
They have reduced the reserve requirement ratio. The banks have reduced the reserve requirement ratio by 50 basis points. So they have let out -- banks can lend up to RMB 1 trillion more. So that's like a small stimulus measure there. They've also reduced the lending rates by 10 basis points. So these all will help in the domestic demand or to shore up that domestic demand.
What we have seen with regards to tariffs also, President Trump has kind of toned down a bit.
So now China and U.S. have been talking and there has been a tariff reduction and the talks are continuing. We are also seeing now a direct conversation between R ussia and Ukraine. So, after the war, there is a lot of rebuild which has to happen. So going ahead, these are small signs of positivity. And if any of that clicks, then I'm sure the market is going to rebound.
Pranav Jain: Okay. Got it, sir. Just a last question on the technical side. Sir, how much coal do we require per ton of ferrochrome a nd at what cost do we acquire it?
Saunak Gupta: So, Binoy, will you be taking that coal part?
Binoy Agarwalla: No, met coke.

Sureshb abu C: Yes. So for making a ferrochrome, it is around 560 kg coke is required and the cost is around INR31,000.
Pranav Jain: Okay, sir. Thanks a lot and all the best.
Moderator: Thank you. Th e next question is from the line of Rajesh Agarwal from Money Ore. Please go ahead.
Rajesh Agarwal: Sir, my question is, is there any further possibility of cost improving overall production cost?
Saunak Gupta: So we are -- as I mentioned in my initial note that we are focused on improving operational efficiencies, as well as to get out more cost benefits in the future. So that's a continuous process.
But it is, again, to some extent, also dependent upon how the input cost market moves around.
For us, the key one would be the met coke, as well as coal a nd the power cost.
There is a dependency on the market. But operational effic

iencies, is a continuous process. We keep on having internal projects to max imize on the cost of optimizing?
Rajesh Agarwal: What is the possibility, INR1,000 per ton, INR2,000 per ton over 2, 3 years?
Saunak Gupta: No, it is very difficult to predict that out currently because it's a continuous process. But as I said, if you see that this quarter 4, we are at INR76,980 of EBITDA cost vis -a-vis INR82,836 of last year. So it's a mixture of both drop in the input cost, market price, as well as your cost efficiencies initiatives that we have taken.
Rajesh Agarwal: Sir, my second question is the stainless steel market is very good in India. And simultaneously, Jindal Stainless was saying after the tariff, China has become a little costlier and India, the export also will increase. So why -- if the chrome is the main -- ferrochrome is the major raw material for stainless steel, why the realization in the price has dropped and why there's not possibility of improvement if the stainless steel industry grows up by 10%?
Saunak Gupta: So, Venkatesh, you will take the call, then I will just add on to that.
M Venkatesh: Okay. Stainless steel market is growing in India. There are two parts, I'll answer it. While the market is growing, there is a weakness also in the demand of Indian stainless steel. Yes, Jindal is increasing, but there are other producers who are really struggling. And when you -- and that has to move or mostly moves in line of what happens internationally.
It's not that India can do too well and others don't do well. It's almost on similar lines. So stainless steel market in India, yes, the growth is happening, but demand continues to be weak.
Rajesh Agarwal: And sir, overall, the market improves stainless steel, including India and exports, there's a possibility of further improvement in our realization of ferrochrome? I'm talking about structurally. I'm not talking about quarter -to-quarter, I'm talking about structura lly?
M Venkatesh: Yes. So we are looking at two things here. Number one, when we look at the prices, they are

almost -- obviously, they can't be the same in all the markets, there would be a difference, but

they are at similar levels in different markets. The second thing is, going ahead, what we see, if you are talking of the structural.
But going ahead, what we see, we would see a big jump happening in stainless steel production in India. So going ahead, for us also, the domestic market will become a focus.
Rajesh Agarwal: Okay. So realization is better in domestic or export?
M Venkatesh: Right now, both the markets are similar. Like I said, INR1 lakh a ton, it's similar in both the markets.
Rajesh Agarwal: Both the markets. Okay. Then if we -- will we enter into a long -term contract or no?
Moderator: Sir I am s orry to interrupt I just request you to ...
Rajesh Agarwal: Last question, ma'am. Just last question. Sir, if we get a better rate in the spot prices, do we -- will still sell in long -term contracts?
M Venkatesh: See, long -term contracts has the own benefits. When the word long -term means you don't look at one transaction or a month. You look at a horizon. So -- and your material is assured to be sold. In a spot, you never know what happens.
Rajesh Agarwal: Okay. Thank you, sir.
Moderator: Thank you. Th e next question is from the line of Vineet Thakur from Plus 9 One . Please go ahead.
Vineet Thakur : Congratulations on the new plant opening -- the plant's work. I just had a question with the new -- the National Steel Policy of 300 million ton of FY 2030, what would be the ferrochrome demand going ahead? Would it be increasing o r will it be neutral to it?
Saunak Gupta: Suresh, if you can...
Sureshb abu C: Venkatesh has something.
M Venkatesh: Yes. So if I can get your question right, that was pertaining to steel, which is ca

rbon steel, not
stainless steel. Our ferrochrome goes into the making of stainless steel. So the policy, what you said was of 300 million tons is of crude steel -- carbon steel. Stainless steel is also going to grow. Like I said, I was speaking a little bit earlier, stainless steel is going to grow. And we are there at the right time with our expansions happening. So, obviously, we would be cate ring more to the domestic marke t, like I said earlier.
Vineet Thakur : And sir, could you give a guidance on what would be the production numbers for next year?
Saunak Gupta: So usually, we do not give more than two quarters, whatever is the guidance. Anyway, on the H1, Suresh, you can give some guidance on what we expect on the production line.

Sureshb abu C: The production is similar to what we have -- for the next half ye ar, it will be around 130,000, two quarters.
Vineet Thakur : Okay, sir. Thank you so much.
Moderator: Thank you. Th e next question is from the line of Aashav Patel from Molecule Ventures. Please go ahead.
Aashav Patel: Sir, my question is, I have been following the company for past many years. Earlier, we were guiding for a furnace capex of only INR500 crores. But now we are guiding for INR900 crores.
So that is effectively 80% higher furnace capex. So what has changed?
Saunak Gupta: So there are two furnaces in our Kalinganagar project. So whatever we were seeing INR900 crores is of the two furnaces overall. But yes, with time, the cost escalations will happen, and there will be a situation where we have to manage based on the -- whatever is the cost of it. But it is the 2 furnace, not a single furnace that...
Aashav Patel: So two furnace, wh at capacity we are considering two furnace?
Saunak Gupta: It is -- what we said is that 96,000 metric ton annual capacity, it will add up.
Aashav Patel: So capacity is earlier also, we were expecting only 1 lakh capacity. So 80% cost inflation, how can it happen in 1 year?
Saunak Gupta: No. Actually, as far as what we have mentioned is that, the cost was -- last year also, it was somewhere around INR700-plus crores what we have estimated. Now the cost has increased as we are to put up the best -in-class in all the equipments over there. So keeping that into the mind, including whatever is the other capitalizable cost, it is INR900 crores. In the base level, it is around INR840 crores.

Aashav Patel: Okay. I'm still not satisfied with the answer. But moving on, the second question is, so recently, there has been an ADD investigation on the met coke, the specific grade which we rely on in terms of imports for fulfilling our requirement. So what is your view on that antidumping duty investigation? And how does it impact us?
Saunak Gupta: Suresh, you can add on that?
Sureshb abu C: Yes. See, for antidumping, what the ferroalloy is using, that is excluded. So we have actually required the ultra -low phos of 0.030, okay? So whatever the appeal went to the DGTR, this ultra - low phos is excluded from the antidumping norms.
Aashav Patel: Okay. So we don't see ourselves being impacted from the ADD even if it is imposed?
Sureshb abu C: Yes.
Aashav Patel: Got it. Okay. That’s all from me.

Moderator: Thank you. T he next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.
Saket Kapoor: Sir, firstly, if I could just sum it up, it was the lower realization for ferrochrome per ton to INR84,000 that led to this halving of our profit on a Q -on-Q basis. And now the prices trend are again moving above INR1 lakh per ton. This is what the sum and substance of what the price action and the real reason for the lowering of profit Q -on-Q basis if we eliminate that part?
Saunak Gupta: Yes. So, Saket ji, thank you for your good words on the business performance. On the realization part, yes, the net realization is about INR87,000 in quarter 4. So there is a reduction in that compared to the previous years. But what -- INR1 lakh per ton, which was mentioned by Venkatesh earlier, was on the prime basis.
So INR87,000 is our total average cost that we give on net realization basis. So on that, we are seeing improvements, but INR1 lakh versus INR87,000 is not comparable. It will be much lower than that. So there will be somewhere -- if you go by the comparable level, it will be somewhere around INR92,000 to INR93,000.
Saket Kapoor: Okay. And sir, what was the number for the December quarter, the average realization per ton?
Saunak Gupta: So for December quarter, it was INR96,943 net realization value. And the quarter 4 of last year was INR101,771.
Saket Kapoor: Okay. No, sir, INR96,940 was the average realization per ton for the December quarter?
Saunak Gupta: Net realization.
Saket Kapoor: Net realization. This has gone down to INR87,000 for March quarter ?
Saunak Gupta: Yes. And that's why the margins have gone down. But to a major extent, we -- through operating efficiency and cost optimization, we have actually able to manage or get a better profitability.
Saket Kapoor: And other than that, sir, we are -- we will be spending around INR800 crores for this financial year, that i s FY '25 -'26. This is what the c apex guidance is?
Saunak Gupta: Yes. For the three projects, approximately our spending would be in the range of INR800 crores for this financial year, approximately.
Saket Kapoor: Okay. And how much have we spent, sir, for the first 45 days? Are we drawn or this will be H2? The money will be drawn ?
Saunak Gupta: Saket ji, so on the capex, we are managing through our own internal accruals. So it has started, approximately, we would have spent approximately INR100-odd crores. But a major spend will come in the H2 of this current financial year.
Saket Kapoor: Okay. And what is our closing cash balance as on 31st March?
Saunak Gupta: You are talking of the total, including the...

Saket Kapoor: Net cash. No, you give me the net cash number after the short -term borrowing s?
Saunak Gupta: So if you see our overall cash position was about INR906 crores. This is excluding any security deposit that we have kept. So INR906 crores we are having. And our working capital borrowings was INR372 crores. So it is about INR535 crores approximately was the net cash balance .
Saket Kapoor: Okay. And these are all invested into the deposit and the shor t-term instruments. I will join the queue. Thank you, sir. I will join the queue. Thank you and all the best, sir.
Moderator: Thank you. Th e next question is from the line of Joe Shah from 7seas . Please go ahead.
Joe Shah: Yes. First of all, congratulations to all of you for the second renewable energy agreement also of 40 megawatts. First was 70 megawatts and now second is 40 megawatts, 70 megawatts plus

40 megawatts, 110 megawatts renewable energy. Now, first question is about this chrome ore cost, which somebody said which is INR7,500 per ton of chrome ore. So is it inclusive of royalty and taxes or without royalty and taxes?
Saunak Gupta: So INR7,500 ex mine, so basically without the royalty.
Joe Shah: Without royalty. Okay. Now after this Kalinganagar project, what is our smelting plan, expansion plan? Because after 5 years, we are looking for the ferrochrome production of about 5 lakh tons, right? So what is the next smelter expansion plan?
Saunak Gupta: Yes. So in the Phase 1, as we have mentioned earlier, we are adding approximately 1 lakh metric ton. And once that is commissioned out next year by September '26, we will be also having the Phase 2 plan of expansion. So there is already -- we are working on that. So currently, it is Phase 1,

we are having 1 lakh metric ton. But there is -- we are open to expansion of the capacity.
Joe Shah: Okay. Now, looking at this renewable energy capacity of 110 megawatts, which we have contracted. Now I understand from our last con call also that our requirement in power is 25% of the renewable -- in total energy consumption, 25% would be the renewable energy. So we have some 200 megawatts of thermal capacity.
So we'll be able -- renewable energy will be able to give us more room to use our captive power, thermal power, right? So still when we look at the 110 megawatts of renewable energy, it means we can consume -- we can have capacity -- total consumption of a bout 440 megawatts. So it is going on the higher side. Why is it going on the higher side?
Saunak Gupta: Requesting Mr. Mohapatra to respond to that.
Bijayananda Mohapatra: Actually, we have taken 110 megawatts with two , three aspects. One is the current requirement is another 60 megawatt for this Kalinganagar project Phase 1. Phase 2 in this same land, we have a plan for putting up another 33 MVA . So that will require another 30 megawatt. And to say now the CBAM, so we'll make some renewable energy in our existing operational area like Choudwar and Therubali.

So what to say that with June '26, so we'll get around 25% subsidy in transmission -- interstate transmission charges. So that will also give a long -term profit to us. So keeping all these things in mind, we have taken this.
Joe Shah : Okay. Thank you. That’s all. Thank you very much.
Moderator: Thank you. Th e next q uestion is from the line of Aman Madrecha from Augmenta Research. Please go ahead. As there is no response from the participant, we'll move to the next. The next question is from the line of Anshika from Jain Associate. Please go ahead.
Anshika : First of all congratulations for this amazing result. I wanted to ask what would be the potential Q2 numbers in terms of production, sales and EBITDA cost?
Saunak Gupta: See, the forward -looking thing, as you know, there are certain restrictions on SEBI guidelines. We won't be able to give those exact values. But one thing we can say as already Sureshb abu has mentioned that the production will be in the range of around 65,000 tonnes . And you know that whatever is our production based on it, we also sell it off.
Price realization will depend how the market behaves, but we have said we are seeing some sort of upside from the low price what we saw in quarter 4 . That's the maximum what we can say as of now.
Anshika : Okay. Secondly, can I have a little knowledge about what is the current sales mix and how we are seeing it for the next quarter as well in terms of LTC and spot and as well as domestic and export?
Saunak Gupta: Yes, Suresh, you can...
Sureshb abu C: Venkatesh, can you deal with it?
M Venkatesh: Yes. Could you just repeat your question, ma'am?
Sureshb abu C: She's asking about mix.
Anshika : Sales mix in terms of spot, LTCs and also in terms of domestic and export. In terms of percentage, it will be okay.
M Venkatesh: Yes. So when we look at export to domestic, it will be in the similar range like what we have been doing roughly about 90 -10, 90% in export, 10% in domestic. That would be somewhat those numbers, 90% to 95% in exports and like 5% to 10% in domestic. LTC to spot, LTC would constitute about 80% of our sales.
Anshika : And most of it is in with POSCO or some other customers as well, if any big customers, they are also having LTC apart from POSCO?
M Venkatesh: Yes, we are having LTC with many customers apart from POSCO. Yes, they are big customers. That's all I can say.

Moderator: Yes, ma'am. Does that answered your question?
Anshika : Yes. Just a last question, if I can ask a follow

-up. What is currently we are importing Colombian
coke or it was different in the mix of coke from the international market?
Moderator: Can you just repeat your question again?
Anshika : Existing coke is from still Colombian market o r are we trying to explore some different countries as well?
Sureshb abu C: Most of the coke is from Colombia only. And some part we are also exporting from other sources.
Anshika : Sir, any ratio to that or -- and we mostly use ULP coke or another...
Sureshb abu C: We mostly use ULP coke. The ratios are dependent upon the market product requirements.
Anshika : And as I can recall, the total cash generation for the whole year has been close to INR100 crores ?
Saunak Gupta: Cash generation in the sense?
Anshika : Any of the -- in terms of the operational business performance, what was the IMFA's total cash generation in terms of what was the outflows for operation and net of the inflows?
Saunak Gupta: So as we said that our PAT is INR378 crores. And on the operating and as well as the investing activities if we add up, the total free cash flow generated was INR430 crores. So that is the
overall -- this is before payout of the dividend.
Anshika : Okay. Thank you so much, sir.
Moderator: Thank you. Th e next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.
Manan Vandur: Thank you for the follow up. S ir, my question was that I couldn't understand what is prime rate and that -- could you explain what is that prime rate, what you said around INR93,000
something?
Saunak Gupta: Yes. So the prime rate is basically the gross rate. And then on that, whatever are the sales realizations, those things on the selling cost and selling expenses, transportation expenses, if you
reduce that out, it comes to about INR87,000. So we gave you the net sales realization rate,
INR87,000.
Manan Vandur: So what is the percentage of these costs usually? So like could you give an example, like, let's say, INR1 lakh is the prime rate, gross rate. Then what would be the rest? How would you do
it?
Saunak Gupta: It will be varying from around -- it also depends on the ocean freight cost and all. So it varies around INR6,000 , between INR5,500 to INR6,500.

Manan Vandur: Okay. So that means the prime rate would be more and then the net rate would be less that way?
Saunak Gupta: Yes.
Manan Vandur: Okay. INR5,000 gap. And sir, so what you said, the long -term contracts of INR93,000, which is there, so that is prime, those long -term contracts?
Saunak Gupta: Yes, that's the average prime cost.
Manan Vandur: Okay. That's the average prime cost. Okay. Understood. And sir, for example, let's say, I just wanted an example. So let's say, today, ferrochrome is INR1 lakh as on today's date. So in our
realization, how much time will it take for that INR1 lakh to come? How many months, for
example?
Saunak Gupta: So as I said, it takes about approximately 1.5 months lag period is there, 1.5 months to 2 months to get that full value of it.
Manan Vandur: Okay, understood. Thank you, sir.
Moderator: Thank you. The n ext question is from the line of Akhilesh B an Individual Investor. Please go ahead.
Akhilesh B : Thanks for the opportunity. A m I audible?
Saunak Gupta: Yes.
Akhilesh B : I had a few questions. So production next year can be 3.1 lakh to 3.2 lakh tons of ferrochrome. And in FY '28, we can do 3.6 lakh completely?
Sureshb abu C: Yes. Y ou are right.
Akhilesh B : Okay. And have we entered into discussions for long -term contract of this expanded capacity or it's already tied up? We can have no problem in plac ing this quantity in the market?
Sureshbabu C: Venkatesh, can you?

M Venkatesh: I think you mentioned next year, I think so you were mentioning the production will go up. That's FY '26, you are talking of or...
Akhiles

h B : No, '27. '27 3.1 lakh to 3.2 lakh tons and '28 to 3.6 lakh tons, whether those can be met by us?
M Venkatesh: I will answer. So we -- like I was mentioning a little while earlier, the domestic market is growing. So there is a huge potential in the domestic market. Added to that, our existing customers -- some of them are also expanding. Their expansions are also c oming up. And some of them are -- they just have -- they take a very small quantity from us as compared to the total requirement.

So there is a scope there also. So we have the option of expanding with existing customers. But primarily, at this stage, we are trying to increase our presence in the domestic market.
Akhilesh B : But is the realization better domestically compare d to these long -term contracts o r why are we going to change the mix between long -term and spot in that way?
M Venkatesh: Yes. See, like I was again answering that, you can't have a big gap between all these prices. There may be a little lag or a lead, but the prices overall over a period of time would be at similar levels, whether it's a long -term or when you look at spot. I n long -term, you have that certainty. In spot, you don't have the certainty. So I don't see price is going to play a role for us to decide. We would rather look at the requirement. And since the domestic requirement will go up, it would be better for us to cater in the domestic market. And if need be, like I said, we have an option to also increase our exports.
Akhilesh B : And sir, second question is on power cost. So this new facility, we have tied up power, will the effective cost be lesser, higher or the same as our current power cost?
Saunak Gupta: I think Binoy can just add to that.
Binoy Agarwalla: For Kalinganagar, actually, we have tied up with hybrid renewable energy. And that power cost will be at par with our present generation cost. It won't be that high.
Akhilesh B : Even after accounting for any subsidies, et c. it's not cheaper, it's at par.
Binoy Agarwalla: It will be at par. It's not that cheap because again, there will be transmission charges, enhancement or ED, something like that is there at the landed cost. So it will be at par with power generation cost at present.
Akhilesh B : And sir, one last question on this figure of INR800 crores, INR900 crores on the capex. So if you could spend some more time commenting on how the figure increased, I think it will create a lot of concerns because earlier figure was around INR600 crores, INR500 crores. So if you could spend some more time explaining how it has increased as well?
Saunak Gupta: So, Suresh, you want to add, then I will just further add on that.
Sureshbabu C : No, no, you can talk about that.
Saunak Gupta: So what I was just saying earlier, as I said that we are actually putting in the best -in-class plant over there. We are looking into all the opportunities. It has increased because last year, initially, we had said it will be around INR700 crores from there. It has increased on the base level, to INR 840 crores.
As well as there is an escalation of the various costs, which has happened because this INR700 crores we had mentioned somewhere around 2.5 to 3 years back. So that has gradually, had escalation of cost, plus whatever is the quality of the equipments and all what we have done, that has resulted into increasing to INR840 crores.

On that, based on whatever the current accounting standard, we can also capitalize whatever the cost, which we will be spending for commissioning and trial run. It adds up to about INR60-odd crores. In all total , the full capitalizable value we are taking at INR900 crores.
Akhilesh B : And this is the final value now. There ar e no escalations in this number?
Saunak Gupta: So,

this is the final number on this.
Akhilesh B : And this best-in-class machinery, so will it -- will this plant have better efficiency than our existing plant? Will we have more -- will the ratios improve in this plant compared to the prior one?
Saunak Gupta: So basically, the visibility of the operations will improve. It is more of the digitization we are

doing. So those will happen to a major extent. And efficiency, we expect there should be a better improvement from the current levels. We are hopeful on that.
Akhilesh B : Okay. Thank you, sir. All the best.
Moderator: Thank you. Th e next question is from the line of Joe Shah from 7seas . Please go ahead.
Joe Shah: Gentlemen, I understand that for Q4, average realization was INR87,000 about per metric ton of ferrochrome. Now for Q1, we are expecting some INR92,000 to INR93,000 per metric ton realization -- average realization. Can you confirm my understanding?
Saunak Gupta: So Mr. Shah, we are seeing some upside. But as you know, there are certain lag period for getting this value in our books. So, obviously, we are having that our -- overall, we are expecting that Q1, our realization will improve. But exactly quantifying at this stage is slightly difficult.
As you know, the market still is uncertain. So we can't predict what it will be at the end of 30th June, considering the overall uncertainty in the market. But yes, our overall -- currently, at the current date , we have a feeling that, yes, it should be better than what we had experienced in quarter 4.
Joe Shah: Okay. Thank you.
Moderator: Thank you. T he next question is from the line of Manan Vandur from Wallfort PMS. Please go ahead.
Manan Vandur: Yes. Thank you so much for giving another opportunity. S ir, we have 110 megawatt renewable energy contract. So would you please give us the details of that? So like per unit, how much price have we contracted it and for how many years is the contract?
Binoy Agarwalla: Actually, 110 megawatts, we have signed 70 megawatt of contracted capacity with hybrid mechanism with JSW. Fine? And we have signed binding terms with Ampin 40 megawatt. Club up together is 110 megawatts. And both the agreement will be for 25 years, and th ey will be supplying power by June '26.

Manan Vandur: Okay. And what would be like the agreement price of that, 1 unit price?
Binoy Agarwalla: One unit price of JSW is tariff at injection point is INR3.84 and with Ampin is INR3.75.
Manan Vandur: Okay. So that means this is lesser than our current INR4.09. So this will be helpful for us. Is that understanding correct?
Binoy Agarwalla: It's a generation injection point and your landed cost will be a little bit higher, right? But our variable cost is INR4.09. It will be at par with that only.
Saunak Gupta: Okay. Understood. And these are 25 years contract, PPA contract.
Binoy Agarwalla: That's we already told, 25 years.
Manan Vandur: Correct. Okay. And sir, our long -term contracts, they are changed -- their contract prices are changed every 3 months or 1 month or something like that is there, like renewing of prices is something like that happening?
Binoy Agarwalla : For this contract of 110 renewal energy?
Manan Vandur: No, sorry, sir, sorry. About...
Saunak Gupta: Venkatesh, you may add or respond to the question.
M Venkatesh: Yes. T here are contracts which have a quarterly price. And there are also long -term contracts, which is based -- which is a monthly price based on certain indexes. So both the contracts are there in place.
Manan Vandur: Okay, quarterly and monthly. So -- and how is this determined? So these prices, how would they be determined?
M Venkatesh: This is linked. If you look at the quarterly contracts, they are linked to what we call it as EBM. That's the European benchmark price now declared by Samancor.

So because you can't have a long-term contract without any linkage to an index. You just can't have a quantity without a price. It has to be linked. Similarly, we have certain monthly contracts, which is linked to certain indexes in China.
Manan Vandur: So when you said quarterly sir, BBM and the monthly one is which index?
M Venkatesh: EBM, European benchmark.
Manan Vandur: Okay. EBM. And the monthly one is linked to what, sir?
M Venkatesh: It's linked to the Chinese index price.
Manan Vandur: Okay. Understood. And if I wanted to understand like any quarter's price, so how is this linkage actually done? Like is that a percentage form o r is it directly that same amount? How is that done?

M Venkatesh: That is a part of the negotiation. Just to give you a small example, the EBM went up by this quarter, that is quarter 1, from quarter 4 to quarter 1, there was a change of $0.05. But if you look at it as that's the $0.05 is an absolute number. But in terms of percentage, it's 3.7%. So based on these numbers, we negotiate the price.
Manan Vandur: Okay. So this was almost a 3.7% rise. So for example, let's say, in Q4, our realization was INR90,000, for example. And so, in Q1, it would be almost 3.74% higher. Is that understanding correct?
M Venkatesh: It would be -- I can't tell it will be exactly the same. It would be at similar level.
Manan Vandur: Correct. Okay. Understood. Thank you so much.
Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr. Abhishek Savant from Veritas Reputation for closing comments. Over to you, sir.
Abhishek Savant: Thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA. As always, we remain committed to the transparent communication and delivering long -term value to our shareholders. On behalf of the Board of Directors and management, we thank you all for your participation in this call. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you again in our future u pdates. Have a good afternoon and stay safe. Thank you.
Saunak Gupta: Thank you.
Moderator: Thank you. O n behalf of Indian Metals & Ferro Alloys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

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05th August 2025
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Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, the transcript of the audio
call recording of the Company's Investor/ Analyst Call held on 31st July
2025 on the Unaudited Standalone and Consolidated Financial Results of
the Company for the quarter ended 30th June 2025 is attached herewith .
You are requested to take the same on record.
Thanking you
Yours faithfully
For IN N METALS & FERRO ALLOYS LTD
(Smruti Ranjan Ray)
Compa y Secretary & Compliance Officer
Membership No: F4001
Encl : As above.

"Indian Metals & Ferro Alloys Limited Q1 FY '26
Earnings Conference Call"

July 31, 2025

MANAGEMENT : MR. B IJAYANANDA MOHAPATRA – WHOLE TIME
DIRECTOR AND CHIEF OPERATING OFFICER
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER
MR. BINOY AGARWALLA – HEAD POWER BUSINESS
UNIT
MR. SANDEEP B. N ARADE – HEAD MINES BUSINESS
UNIT
MR. S URESHBABU CHIGURUPALLI – HEAD
FERROALLOYS BUSINESS UNIT

MR. M. V ENKATESH – HEAD SALES AND MARKETING
FERROALLOYS BUSINESS UNIT
MODERATOR : MR. ARYAN RANA – VERITAS REPUTATION PRIVATE
LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Earnings Conference Call of Indian Metals and Ferro Alloys Limited, arranged by Veritas Reputation.
At this moment, all participant s' lines are in listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press * ' and '1' on your touchstone keypad. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aryan Rana from Veritas Reputation. Thank you. And over to you, sir.
Aryan Rana: Thank you, Shubham. Good evening once again, everyone. On behalf of Indian Metals & Ferro Alloys Limited , I welcome you all to the Q 1 FY '26 Earnings Conference Call . We appreciate your time and interest in joining us today to discuss the Company 's financial performance for the quarter ended June 30, 2025.
Following the 'Opening Remarks by our Management , we will open the floor for a Q&A session . Kindly keep your questions concise and relevant to allow broader participation.
IMFA , India 's leading fully integrated producer of ferro alloys , has demonstrated significant improvement and resilience in Q1 FY '26 despite ongoing market challenges. This performance underscores the Company 's focus on operational excellence, disciplined execution, and long -term value creation.
The financial results and investor presentations are available on our website and have been filed with the stock exchanges for your reference.
Before we begin, I would like to remind you that some of the statements made in today's discussion may be forward -looking in nature. These are based on the Company 's current expectations and are subject to various risks and uncertainty that could cause actual outcomes to differ materially.
Joining us on today's call are, and I welcome Mr. Bijayananda Mohapatra – Whole -Time Director and Chief Operating Officer of the Company ; Mr. Saunak Gupta – Chief Financial Officer; Mr. Binoy Agarwalla – Head (Power Business Unit); Mr. Sandeep B. Narade – Head (Business Mines Unit); Mr. Sureshbabu – Head (Ferro Alloys Business Unit); Mr. M. Venkatesh – Head of Sales and Marketing for the Ferro Alloys Business Unit.
With that, I would now like to hand over the call to Mr. Saunak Gupta – our Chief Financial Officer for the 'Update' on 'Financial Performance and Overview' . Over to you, sir. Thank you.
Saunak Gupta: Thank you, Aryan. Good afternoon, everyone. I welcome all of you to IMFA's Q1 FY '26 earning call. And I thank all of you for joining the call.

The highlights of Q uarter 1 FY '26 Results were :
Our revenue and margins have sequentially improved over the previous quarter, primarily driven by the Ferrochrome price pick -up, along with our cost optimization and operational efficiency improvement initiatives. Our greenfield ferrochrome expansion project in Kalinganagar is on track with our execution plan.
Simultaneously, the underground Sukinda Mines expansion is progressing as per our schedule. The construction work in our 120 KLD ethanol project in Therubali has also commenced in Q1 and we are on track of commissioning the plant by Q4 FY '26 .
Our financial position as of June '25 end continues to be robust with net debt -free balance sheet. Our focus will continue to be on operational efficiency improvement, further cost optimization and closely monitoring capacity expansion, building on the Company 's financial strength and integrated business models .
I will keep it short , and I thank you once again for your valuable time and support. We look forward to your questions and insight. Over to the moderator to open the floor for question -and-answer.
Moderator: Thank you very much. We will now begin with the question -and-answer session

. The first
question comes from the line of Joe Shah from Seven Seas. Please go ahead.
Joe Shah: Binoy, I would like to understand the ratio between renewable energy and captive power, thermal power. From our last conc all, I understand that 25% renewable power enables us to use 75% thermal power. So , 25-75 ratio, is it a ratio of government of India? Or is it a European

ratio? Renewable power versus thermal?
Binoy Agarwalla: No, as per the guidelines from MOP, each year they have kept REC obligation to be met . That is, this year, 25 -26, they have kept 33.01% of REC obligation. But As per our availability of thermal power and renewable energy signed is coming around 75-25 range. There are no guidelines or standards for 75 -25.
Joe Shah: Now , ferrochrome produced by using this kind of power mix , is it called this a green ferrochrome or that has to be produced by totally renewable power? Green ferrochrome , what is the definition? How is it produced?
Binoy Agarwalla: Suppose my ferrochrome production power requirement is 100 M egawatts . I am just giving you an example. And out of which 25% is renewal and 75% is thermal. Then your 25% is your green product. You have used 25% of renewable energy for your product. And your 25% will be accounted for your green product. Not 100%.

Moderator: The next question comes from the line of Gautam Rajesh from Ever flow Partners. Please go ahead.
Gautam Rajesh: I have two questions. My first question was in terms of our cost of production. How does our production cost compare with global peers in China, South Africa and I think maybe Kazakhstan as well ? So, how would our cost of production compare among these three countries and the peers there?
Sureshbabu Chigurupalli: We are better compared to the China and many countries. Only a few countries which are faring better than us are like Kazakhstan, that is producing at a lower price than us.
Gautam Rajesh: What about South Africa?
Sureshbabu Chigurupalli: South Africa price is also high because of their present problem of power prices. They are facing the problem of electricity charges.
Gautam Rajesh: Because of their telecom, right?
Sureshbabu Chigurupalli: Electricity charges are hiked by around 950% in the last two decades, recently it has been hiked by 12.5%. And the availability of power is a problem there. That is the main reason for the cost competitiveness problem of South Africa.
Gautam Rajesh: Can you give a rough percentage? How much cheaper are we compared to China? And how much more expensive is Kazakhstan compared to us? Is there a rough sense of percentage you can give us?
Sureshbabu Chigurupalli: At present, I can't be able to give the right picture, but we are better compared to other countries except Kazakh and a few more Asian countries. Like Kazakh and other , Turkey is also a little bit better compared to our prices.
Gautam Rajesh: Would this be better by single digits or double digits, sir?
Sureshbabu Chigurupalli: Single digits ?
Saunak Gupta: No, I don't think we will be in a position because of volatility in the market and the price changes as well as FOREX movement . Under the current geopolitical situation, we may not be having the exactness.
Gautam Rajesh: And my next question was, once the new capacity comes on board, how will this change our current cost of production?

Saunak Gupta: When the Kalinganagar project comes into operation , like the first furnace in June '26, and the second furnace in September '26. Obviously, there will be teething issues which may come in during initial stages and it will take time to get scaled up fully .
But at the full scale -up level, the cost will be more or less like the current level, what we are maintaining ,

duly adjusted with inflation .
Gautam Rajesh: Inflation ?
Saunak Gupta: But we can't comment much on something which will happen after 1.5 years in the current geopolitic al situation.
Gautam Rajesh: No, my understanding was these facilities are more equipped. So, would we have more operating leverage or efficiency here? Would we see any improvement in the cost of production post that?
Sureshbabu Chigurupalli: The cost of the production will be in the similar line. Only the logistic advantage we may get at Kalinganagar . Otherwise, the efficiency and operation parameters will be similar in line .
Gautam Rajesh: Is there like a quantum you can give me for logistic advantage?
Sureshbabu Chigurupalli: It will be slightly advantageous . At this moment we can't tell those prices here.
Gautam Rajesh: And sir, not by numbers, are we significantly cheaper than China or just by a hairline?
Sureshbabu Chigurupalli: Yes, substantially , we are at a better price. We are making double digits .

Gautam Rajesh: Substan tially, at least.
Moderator: The next question comes from the line of Pranav Jain from Ageless Capital and Finance. Please go ahead.
Pranav Jain: Hi, everyone. Congratulations for the Q1 numbers. And it is great to see the Company come back up with great numbers. My first question is, sir, can you tell us the production numbers for this quarter?
Saunak Gupta: Ferrochrome is 65,929 metric ton and Chrome ore is 1, 03,780 metric ton.
Pranav Jain: And sir, what would be our EBITDA cost for this quarter ?
Saunak Gupta: It is around 77,500.
Pranav Jain: Can you give the breakup of it as well?

Saunak Gupta: See, t hese are bit of strategic in nature . Primarily if you see , our overall costs are in line with whatever marginally it has increased from last quarter by about Rs. 500. Driven by a slight higher chrome ore cost and to some extent the repair and maintenance. We had planned repairs and maintenance. For that there is a marginal increase in repair and maintenance costs . These are the two major costs. Otherwise, it is in line with the overall cost structure.
Pranav Jain: Sir, looking at your FY '2 5 annual report, I was seeing the cost of material , what does the purchasing number include? Is it me t coke or is it something else?
Saunak Gupta: Yes, primarily me t coke and binders , like molasses.
Pranav Jain: Lastly, just a clarification from my end . In the previous con call, it was mentioned that the cost of chrome ore was 7 ,500 per ton. Is it per ton of ferrochrome or per ton of chrome ore raised?
Saunak Gupta: It is basically on total chrome ore . It is landed chrome ore cost.
Pranav Jain: That we multiply by 2.35 to get the per ton of ferrochrome price, right?
Saunak Gupta: Yes, approximately it is about 2.35 to 2.38. It varies.
Pranav Jain: That's all from my end.
Moderator: The next question comes from the line of Madhur Chaturvedi from MAIQ Capital. Please go ahead.
Madhur Chaturvedi: Congratulations, sir, on a good quarter in a difficult environment, but exceptionally done. Just to clarify, how much ore did we raise this quarter?
Sandeep B. Narade: In Q1, we have raised about 1 ,04,000 tons of ore.
Madhur Chaturvedi: 1,04,000 tons. And s ir, how would that compare to Q1 last year? For the last quarter?
Sandeep B. Narade: It was last quarter , Q4 or Q1 of last FY?
Madhur Chaturvedi: Either one, whichever number you have handy, if you have both.
Sandeep B. Narade: It was about 2 ,20,000 in Q4 FY 25.
Madhur Chaturvedi: And this is mostly attributable to the monsoon?
Sandeep B. Narade: It is attributable to two or three things. Monsoon is the number one because this year, Monsoon is almost three weeks earlier. Generally, it comes on the 15th of June, but it started in the last

week of May. And, we are having enough stock at our plants and at mine s. About more than four months ' stock at plants and more than two months ' stock at mines.
Madhur Chaturvedi: And is this in anticipation of the Kalinganagar expansion coming on next year ?
Sandeep B. Narade: Yes, we will ramp up our production as per requirement in Q3.
Moderator: The next question comes from the line of Vinayak Kariwal from Xponent Tribe . Please go ahead.
Vinayak Kariwal: Sir, I wanted to understand the domestic capacity on the ferrochrome and the chrome ore side. So, if you could give an overview to us, it would be very helpful. Because as per my understanding, we would be one of the largest private chrome ore miners in the country. Because even Tata has closed one of their Sukinda Mine and they have submitted the documents for giving up the Sukinda Mine . Could you please explain us how the domestic scenario is playing currently?
Sureshbabu Chigurupalli: Last year, it was around 1.325 million tons. And most of the smelters are non -operational. Now also the figure will be less than that. We are forecasting the production levels this year will be lower . So, the capacity utilization is less this year. The similar kind of figures will come around 1.25 to 1.3 million tons.
Vinayak Kariwal: Sir, this you are talking about the ferrochrome or the chrome ore?
Sureshbabu Chigurupalli: Yes, ferrochrome. Chrom e ore is around 3.3 million tons of production per annum.
Vinayak Kariwal: And, sir, who would be the biggest chrom e ore miner in the country? Let's say, if you talk about the private player , would we be the biggest chrome ore miner private player in the country?
Sureshbabu Chigurupalli: Yes.
Vinayak Kariwal: And the public player who is the biggest is the Odisha Mining Company , if I am not wrong .

Sureshbabu Chigurupalli: Yes, Odisha Mining Corporation.
Vinayak Kariwal: How much chrom e ore do they produce in the year?
Sureshbabu Chigurupalli: The OMC figures at present I do not have. But they have published in the Steel Mint. You can see those figures.
Vinayak Kariwal: Sir, my second question was on the line of if you could give us an understanding of the value -added products like the products we do. Do we do any value -added products like a few players are talking about low silicon ferrochrome which is used in special steel? So, are there any value -added products in our product segment?

Sureshbabu Chigurupalli: Yes, we have started to produce these niche products from the month of January. We are producing low -silicon, low -phosphorus products with high -chromium alloy.
Vinayak Kariwal: Sir, could you give us a percentage of the total production, how much are we doing this? How much could it ramp up?
Sureshbabu Chigurupalli: That is a very small amount we are producing, around 15,000 of production we are making for this niche segment. It is around 5 % to 6% of our total capacity.
Moderator: The next question comes from the line of Dhviti from Molecule Ventures. Please go ahead.
Dhviti: Sir, I just wanted to know, what is the cost of production for Q1 FY '26 for the quarter?
Saunak Gupta: EBITDA cost is about 77 ,500 for the quarter.
Dhviti: And are our power costs for the current quarter?
Binoy Agarwalla: Power cost is Rs. 5.27, total cost per unit .
Dhviti: Versus for Q1 FY '2 5?
Binoy Agarwalla: Q1, '25, it was Rs. 4.97.
Dhviti: And if you could give a breakup of coal and co ke cost for the current quarter ?
Binoy Agarwalla: You wanted to know the coal cost of Q1 FY ‘26 .
Dhviti: Yes.
Binoy Agarwalla: The coal cost is Rs. 2.68.
Saunak Gupta: More or less, it is in line with our cost . It Is in the range of around 2.7. The main thing is that our variable cost is Rs. 4.03 and total cost is Rs. 5.27 for the quarter.
Dhviti: And sir, I just wanted to know what our current cost of raising ore is and how it is expected to change when we transition to underground mining for both our mines. I wanted to understand how it will add up to our operating cost.
Sandeep B. Narade: Right now, our r aising cost is about Rs. 3,000 together of both the mines . And definitely it will increase when we go fully underground. As of now I cannot give the exact number of what the cost will be, but it will increase.
Dhviti: Any percentage if you can ?

Sandeep B. Narade: No, actually it depends upon the type of mining we will be doing. And there are many things that we are not sure of right now. That is why I cannot say the exact number.
Saunak Gupta: Dhviti, just to add, the whole expansion plan for the mines will continue to about four to five years. At this point, predicting the overall final cost for raising will be a bit of a challenge. So, that is what Sandeep was me ntioning .
Moderator: The next question comes from the line of Jainam Madrecha from KC Capital. Please go ahead.
Jainam Madrecha: My question was on the line of like last 4, 5 years, we have seen the EBITDA per ton going up like massively from the previous historical averages. So , is it just because of the realization growth or we had some operating leverage as well? And on top of that, if it was an operating leverage thing, on what line items are we getting the operating leverage?
Saunak Gupta: Basically, if we see for the last one year, our EBITDA cost has remained in the range of around 77,500 only, plus or minus 500. Primarily, over here, as you know, the input cost like t he met coke cost has to a larger extent reduced. At the same time, some of the other operational costs have also gone up to some extent.
It is a mixture of our input cost to some extent coming down, driven by the cost optimization efficiencies that we have done. But at the same time, even for the imports, met coke imports, there is exposure to the forex fluctuation. And you would have seen that for the few years, from around 78 levels, currencies have gone up to 87 levels. That also has an impact on the overall cost to some extent .
There are multiple factors, but more or less we close ly monitor our alternative cost opportunities as well as the operating efficiencies to keep the overall cost of EBITDA to around 77,500.
Jainam Madrecha: And if, like, let's say, in future, met coke prices go up, are we going to go back to like earlier EBITDA per ton levels or we would be maintaining this level?

Saunak Gupta: See, i t is very difficult to say because it is a factor of many other costs, not just the met coke cost, it is coal cost and the overall impact can only be measured after we see how the trend is coming on all the input cost. It is very difficult to predict for the future.
But currently, we are seeing stability in the cost structure. You have seen over the last two quarters and this quarter also , we have maintained our costs at around 77,500 , between 77,000 to 77, 800 and 77,900. We are expecting the EBITDA cost to remain in this level currently. But with the current geopolitical volatility, it is very difficult to predict anything for the future.
Jainam Madrecha: And just another question on the industry perspective. Like, h ow are we seeing the Chinese ferrochrome producers? Are there any new capacities coming up or have they just cut down the production levels? We know the production levels are down. But are there any plans in future

for new capacities? And how is the stainless -steel supply demand over there? Because that would be the end part that would be driving the pricing over there. So , what is the scenario over there?
Saunak Gupta: I will j

ust give it to Venkatesh for his insights on that.
M. Venkatesh: Going into China, basically, we are not hearing any more big new capacities in ferrochrome coming up. As far as our knowledge goes, nothing is going to come up in recent times .
Going back to the stainless -steel industry, in fact, all industries, like Mr. Saunak said, there is a geopolitical uncertainty. There are so many talks of tariffs, you know, which are keeping the entire industry on tenterhooks. So, currently, the demand also for stainless steel is weak.
And traditionally, if you look at this quarter, which is a monsoon month, both in China and in India, where the demand comes down a little bit , and in Europe, there is a summer vacation . So, from the tariff situation, looking at the economies of various countries on tenterhooks , the demand or the downstream demand for stainless steel is quite challenging at this moment.
Jainam Madrecha: But how is the supply /demand currently like? Are we seeing too much oversupply in China market?
M. Venkatesh: I will just put it in another way to answer your question. Many of us have read that there has been a lot of cutbacks in production in South Africa. I am talking about ferrochrome production.
We see a little bit of reduction of ferrochrome production even in India. You know, when we see these cutbacks, and as I said, the lower downstream demand for stainless steel , this has kind of countered each other.
Otherwise, if the demand was good and there were cutbacks, obviously the prices would have jumped . So, these cutbacks with demand and the weakness in downstream demand have kind of balanced the industries as of now.
Jainam Madrecha: And just on the last part, like ex -China, there are no new capacities coming in. And is it the case that China would be taking in all the ferrochrome for captive use only or they would be exporting their ferro chromes as well?
M. Venkatesh: As far as China government policy goes, they restrict the export. There is an export tax on ferrochrome . Their idea is to be kind of self -sufficient or have ferrochrome capacity. But the purpose of the government is to discourage exports. There is an 40% export duty on ferrochrome in China . So, there is no question of any ferrochrome being exported out of China.
Moderator: The next question comes from the line of Joe Shah from Seven Seas. Please go ahead.
Joe Shah: Venka tesh, I think you will be able to answer my question in a better way. Now, for the first time in history of South Africa, Glencore and Samancor , they asked South African government

to levy $100 per ton export tax on Chrome or e export. This has happened for the first time. It will help South African government to raise the revenue, very important, significant, $3 billion, $4 billion, which is very important for them.
It will lead to the higher cost of a per ton for China, by say, Rs. 20,000 per ton of ferrochrome.
And then, all the prices of ferrochrome everywhere will go up. And it would be a very good windfall for India . So, now, what is your take about this export tax in South Africa? This $100 is suggested by Glencore and Samancor . Although this Mineral Council, they were happy to be opposing this, and South African government is not listening to those Mineral Council things.
Those people just want to make money from export of ore without doing any value addition . So, now I want your valued views, please.
M. Venkatesh: Thank you very much for asking the question. I think this was also addressed by our MD during the AGM. It is the same view as we had heard of this imposition or planned imposition of export duty around five years back. I think it was just before COVID. And somehow it fizzled out.
On a plain basis, yes, if there is an export tax, the cost will go up and all that. What you said is true.

But let us wait and see actually what the numbers translate. As you know, and you have rightly said, there is a lot of dependency on South African ore in China. You know, most of the ore comes in from South Africa .
Let's wait and see. It will be too early to speculate right now what is going to be that impact because we are not just talking of South African government. The Chinese also have a lot of investments in South Africa. You must have heard about that.
We don't know exactly what kind of pressures would come on a governmental level also . So, let's wait for the concrete announcement , and then I think let's take it forward.
Joe Shah: Venkat esh, my point is for the first time, not even during covid time also, this Glencore and Samancor came out with this proposal. This is the first time these two companies, giant companies in South Africa, they will come out with this proposal to put export tax .
As you know, they are heavyweight in South Africa. And South African government, as we know in the past also, they have passed a resolution to impose a tax on this ferrochrome, this chrome ore export.
Now, this is the first time these major chrome ore companies have come out with this suggestion to impose tax . So, then it makes a big difference between the situation in the past and the situation at present.
My take is, now South Africa is inclined more towards the imposing of tax. And then that would change the whole dynamic of ferrochrome price in India and internationally. Okay, we will have to wait for that. But it should not take more than six months' time .

M. Venkatesh: I agree with the change in dynamics but let us both wait for the announcements.
Joe Shah: Yes, definitely. Sandeep, I have some questions for you. In Q1 FY '26 , this chrom e ore raising has gone down by around 50% say, 1, 03,000 tons. If we compare it with the Q1 of FY '2 5, monsoon quarters , in FY '2 5, it was 2,02,000 tons. In Q4, FY '2 5, it was 2 ,20,000 tons.
Sandeep B. Narade: Yes.
Joe Shah: This time, monsoon has arrived three weeks early, but it cannot de duct into 50% reduction in chrom e ore raising. So, what is the main reason for this drastic reduction?
Sandeep B. Narade: That is what I am saying. Actually, in Q4 of last year, we have produced more than our budget. And we build the stock like more than 4 -month stock in the plants and more than 2 -month stock in the mines. In the last year, as you see, the monsoon arrived quite late. It was not on 15th of June. And this year, the monsoon arrived at the end of the third week , in May itself . So, that was the major reason .
What we are producing and disp atching to the plants are as per the requirement of the plants and as per our storage capacity in the plants . We are having that capacity right now. And as I said we will ramp up production in Q3 and Q4 because from the open cast, we are capable enough to ramp up production .
Joe Shah: One more question. We have been discussing critical minerals , and the exploration of critical minerals . I want to understand it in more detail. The Sukinda Valley, our mining area, is said to have a lot of critical minerals after the geological survey . In case IMFA wants to ex tract these critical minerals in our own mining area, do we have to take permission of the O disha government that we can export on our own?
Sandeep B. Narade: In Sukinda Valley, there is nothing like the presence of critical minerals. There may be some previous studies, like Nickel and that number is quite low in percentage, which is not minable also. And if there is presence of critical mineral in our own l ease, even then we will have to take permission . We can do exploration without getting permission , but after that for mining and all those things, we will have to take permission because our lease is for minin

g of chromite ore
only.
Moderator: The next question comes from the line of Naman Bhansali from Nine Rivers Capital . Please go ahead.
Naman Bhansali: I have one question that in the annual report you have mentioned that incremental 40% of the capacity that is coming up would be targeted towards the domestic player consumption . So, could you help us understand the dynamics of the stainless -steel market in India in terms of the current demand/supply situations and how much the stainless -steel market is growing at in terms of the demand requirement?

I am asking this given that our business mix is currently almost 90% of exports and that can shift towards 70% to 75% exports after this incremental 40% is used for domestic consumption . So, how should we think about the impact on realizations or the EBITDA margins going forward?
M. Venkatesh: Stainless -steel in India is growing at a healthy rate of around 6% on C AGR growth. What we

are witnessing is there is a slight reduction in ferrochrome production in India , and there is a good domestic requirement . So, our focus going ahead with the expansion is to focus on the domestic market and cater to the domestic market. Of course, the exports will continue.
Your second question was pertaining to the realization part.
Naman Bhansali: The realization, ye s.
M. Venkatesh: Whether you look at domestic or export, there is a slight lead or a lag. But finally, both settle at similar price levels.
Moderator: The next question comes from the line of Akhile sh B from an individual investor. Please go ahead.
Akhilesh B.: I was saying in a previous answer, you mentioned that 5 % to 6% of the total sales can be considered as value -added products . So, I wanted to know, can this number increase as a percentage of our sales? What is the kind of premium on realization we get for such products assuming these are higher margin products compared to a regular grid?
M. Venkatesh : When you look at what we call the niche gr ade as Mr. Sureshbabu explained , the market itself is limited and there are already entrenched players . Going up above 5% would be kind of difficult at this stage. We are still exploring if this can go up.
This product has various categories . So, the premium could range all the way from Rs. 4,000 a ton till about Rs. 20,000 a ton.
Akhilesh B.: You had mentioned that our EBITDA per ton has been going up also because we have done some cost efficiency internally in our Company . So, I wanted to know whether there is more scope for more efficiency in our internal operations for further gains in EBITDA.
Saunak Gupta: Yes. There is more scope. We are just evaluating it out internally. And that is a continuous process for us . So, all the areas related to the conversion process from Chrom e ore to Ferrochrome, the whole chain, we are evaluating now on an individual basis.
Last financial year, we implemented the ERP Oracle Fusion in our system. That is a very high - end ERP system where we can also get a lot of visibility. And that also through digital operation efficiency, further improvement initiatives are being taken . Whatever scope we have on the cost optimization and improving on the operational efficiency , we take .

That is a continuous process which I said in the beginning of the initial statement. And that is also helping us in driving . There are a lot of actions we are now focusing on to keep ourselves more cost -efficient. When the overall price actually drops in the market, we will see that our margins have been better off compared to our peers . So, that is the advantage we are having.
Akhilesh B .: From your position, can you see 1% to 2% possibility through efficiency gains in the coming years ? If you can, quantify what

kind of potential you see in these activities .
Saunak Gupta: In this, yes, we can . We are trying to identify currently how much we can improve upon. And that is the main reason if you see that overall , we have maintained our cost quite efficiently within 77,500.
But as I said, we do not actually make too much estimation during one or two quarters . It will be very difficult to say how much the improvement will be in one or two years down the line. But we are focused on that way , and actually a lot of initiatives have been taken , and we are expecting a lot of positives from that.
Currently, it will be very difficult to say whether it will be 1% or 2% or more or less. But definitely, a continuous mechanism has been put in to ensure that we make a concerted effort to improve our operating efficiency and find alternative sourcing , I would say, opportunities in our input cost to keep our cost down.
Akhilesh B .: And, sir, one last question. We are shifting from open cast completely to underground mining in Sukinda . What was the trigger to do this because it is going to cost more than it did in open cast? Was this some regulatory reason that we had to shift or what was the reason to completely phase out open cast and get into underground?
Sandeep B. Narade: Basically , we do the open cast mining when it is possible to do it, technically. It depends upon the depth of the o re body. Also, it depends upon the o re from which depth we can get . That is the basic reason .
We have done the open cast mining till now in Band 1 and then we started backfilli ng, now in Band 2 , we are doing the open cast mining. That will be possible for the next 4 to 5 years . After that we have to go for the underground only. Otherwise, there will be no ore available for our plants. That is the basic reason. From the technical mining point of view, we have to go for underground.
Moderator: The next question comes from the line of Manan Vandur from Wallfort PMS . Please go ahead.
Manan Vandur: The first question is what is the cost of chrome ore and coke per ton in this quarter?
Saunak Gupta: we had already mentioned that the chrome ore cost is approximately around 8,400 odd for the quarter.

Manan Vandur: And coke cost, sir?
Saunak Gupta: And coke, a nyway, we had mentioned that in our total 77, 500 EBITDA cost, the coke is approximately com es to 14,500.
Manan Vandur: Okay, 14,500. So, sir, from Q1 till July end, are we saying that co ke cost has increased or it has decreased since that time ?
Saunak Gupta: The overall market cost has gone down and in our EBITDA cost also, to some extent, it has decreased.
Manan Vandur: Currently, the co ke cost would be, you are saying, less than 14, 500.
Saunak Gupta: When? In future?
Manan Vandur: Yes, like current prices and future prices.
Saunak Gupta: More or less, the prices whatever it is, we have got the benefit of it. At least for this quarter, we expect the prices to be in the same line . But again, there is a lot of forex volatility . We have to see how the landed cost ends up in Quarter 2. But currently the met coke will remain in the similar range.
Manan Vandur: Out of the total Rs. 21 crores of other income is the Rs. 7 crores of Utkal C also included?
Saunak Gupta: No. Currently, we are having about Rs. 915 crores of total amount of surplus, including internal accruals . The return o n the investment adds up to that amount is approximately Rs. 21 crores.
Moderator: The next question comes from the line of Joe Shah from Seven Seas. Please go ahead.
Joe Shah: Bijayananda , now I think whatever is happening with Tata Steel is very important for us. Number one, they surrendered this very important Sukinda Mine, and they got a notice of Rs. 1,902 crores from the Orissa government to pay the penalty for t

he raising of less ore .
Now they are continuing with the Misrilall and Mohanty Mines , where also they have to pay the same 95% premium . There also Tata Steel entirely becoming unviable. And I understand that the ferrochrome production has gone down from 50,000 tons per month to just 15,000 tons. And that also they are thinking of getting out of ferrochrome business.
That will give us very good opportunities in two ways. Number one, we will get some asset buying opportunities. Our management has been saying that we look forward to inorganic growth.

So we will get asset inorganic growth opportunities . And number two , the Indian domestic market, when it is improving, it has started improving and becoming bigger. In fact, we will be probably the only supplier in India . So, maybe we would be getting more of a price premium in the Indian market . That also we will be able to see . So, I would like to know your views on this , Bijayananda, yes.
Bijayananda Mohapatra: They cannot go for further open cast mining and have to go for only underground. That is why they are surrendering. So, we cannot go for that one. We don't know for the time being and if any opportunity comes, we will see and report.
Joe Shah: No, b ut they will reduce the ferrochrome production from 50,000 tons to just 15,000 tons. 35,000 tons per month they will see the reduc tion. So, that is giving us good strength going forward.
Bijayananda Mohapatra: Yes, that is what, what ever our capacity is, we are utilizing to the maximum. And we are adding Kalinganagar, but it will take time. That is why Sureshbabu and Venkatesh told that we are focusing on Indian market.
Moderator: The last question for the day comes from the line of Vinit Thakur from Plus91 . Please go ahead.
Vinit Thakur: Sir, could you throw some light on the strategic rationale behind IMFA's acquisition of Metallix Aviation ? And how do you see it complementing your existing business operations?
Saunak Gupta: On the Metallix Aviation , which is a 100% subsid iary, we have incorporated. I t is basically IMFA has certain helicopters ,which is primarily used for its own business purposes to go to the mines or the Therubali plant .
To keep the balance sheet core assets in the IMFA book, the ones which are not directly linked to the IMFA business, we are restructuring it and moving it to the separate Company . That is the overall rational e behind it. Now w e are waiting for the DGCA approval . We are making an application to DGCA. And it takes about 6 months to one year to get the final approval to move the assets.
Moderator: The next question comes from the line of Vinayak Kariwal from Xponent Tribe . Please go ahead.
Vinayak Kariwal: Sir, I wanted to understand, we have a stainless -steel capacity in the domestic market of 7.5 million to 8 million tons. And let's s ay if 60 % or 80% of that is utilized , so 5 million tons of stainless steel is being produced in the country every year. So, I just wanted to understand, do we have enough ferrochrome capacity in the country so that we could fulfill the stainless -steel

production demand, and how much of this capacity is actually being used in the domestic market versus being exported?

M. Venkatesh: You are right in terms of the capacity, stainless -steel capacity in India, about 7 million tons. And the actual production is around 4 million tons. You know, the requirement of ferrochrome would also depend on the scrap usage by these stainless -steel mills.

I will just address it in a different manner. When you look at India's ferrochrome production, like Mr. Sureshbabu had mentioned a little earlier, hovering at around 1.3 million tons , and roughly about half of the ferrochrome is consumed domestically a

nd half is exported .

In case the stainless -steel capacity utilization improves , there is a strong demand for stainless - steel. Obviously, then what you see is the exports are coming down and more and more ferrochrome gets consumed domestically .

To address it in another manner, we have the capacity to meet the requirements of the domestic stainless -steel manufacturers.

Vinayak Kariwal: That is what my question is. Because looking at the dynamics, I think we have a lot of ferrochrome b eing imported in the country for fulfilling our stainless -steel production . Our capacity, which is 90% being exported , so, in that dynamics, I guess we have a lot bigger opportunity on the domestic side if we see going further , because also one of the participants mentioned lots of ferrochrome capacities are being closed down in the country and we being the largest producer of chrom e ore and also one of the la rgest in ferrochrome. So, how do you see the domestic and export share going forward, like two, three years down the line?

M. Venkatesh : To address, there was one, the first point that you made that ferrochrome getting imported into the country , there is very limited ferrochrome which gets imported into our country. There could be certain grades of ferrochrome which may come in, depending on the requirement for that manufacturing, that grade of stainless steel . There could be some imports coming in, but there are no big imports which come in.

And to address the second question, we have already addressed it, saying that once the expansion comes up, our focus will be more on the domestic market . So, I think that addresses your question .

Vinayak Kariwal: Could you give a share of revenue, if you have in mind, where could the dynamics go from there?

M. Venkatesh : It is a very evolving and dynamic market . Let the expansion come in, let's do the domestic , and then we can really work out on the share of export versus domestic. But for sure, the direction is going to be more domestic, less of exports as far as the expansion comes . So, overall, when we look at the ratio of 90 -10, that is going to change drastically.

Vinayak Kariwal: And s ir, one last question on the prices of chrome ore . So, I was tracking and there was the last quarter the chrome ore prices which we mentioned were 7,500. And this quarter , we are

mentioning it as 8 ,400. So, how does this fluctuation come in, in the chrome ore price because that is the cap tive thing which we are raising.

Saunak Gupta: On the chrome ore price, compared to the last quarter and this quarter, as we said, due to the early coming of the monsoon, the production was lower. But there were some semi -variable costs also in that, which is usually loaded to the overall cost.

That is why the average cost for the quarter has slightly increased. But one should always look into the total annual value of the chrome ore prices to get an overall sense of how the price is moving.

Vinayak Kariwal: You are saying that they are range bound normally, and they don't fluctuate much because of any other factor which we don't know.

Saunak Gupta: No, chrome ore actually would be primarily driven by the average production cost and whatever decline work cost we have taken into account. But more or less it remains in line with our normal range. If the production is slightly lower , then obviously the average cost tends to be slightly higher. If production is higher, like in Quarter 4 , the production was quite high , so the cost was slightly lower. But more or less, it is in the range of Rs. 8,000 to Rs. 9,000 in the last year you have noticed.

Vinayak Kariwal: Thanks for the clarification. That helps a lot.

Moderator: The next question comes from the line of Gautam Rajesh from Everflow Partners. Please go ahead.

Gautam Rajesh:

Sir, one follow -up question. Like, Tata is shutting down or like wanting to close their mines you mentioned because they won't go underground and all that . So, what gives us the surety that when we are spending this much money on going underground with our mines that the cost won't completely go up, that all our cost advantages go up? Because a huge Company like Tata, which would have scale d up and had Capex of a greater extent, is also shutting down. What is the idea behind that?

Sandeep B. Narade: We have to plan early for going underground. Like we are having one underground mine, the Mahagiri one. We started quite early . Now , we are heading for 6 lakh tons in the next one or two years.

Same with our Sukinda Mine . Now we are running an open cast and simultaneously we are going for the underground . So, for more than one year we have started on this underground project, and we are doing all our development for declin e, ventilation & main shaft s. So, this is how we have to do.

Gautam Rajesh: And, sir, also that I just want to clarify, we do not, India as a country, do not import any ferrochrome, right?

M. Venkatesh : Our import s are minim al, if there are requirement of certain special grades of stainless -steel, and India has a particular standard grade of ferrochrome being manufactured, then there is some import. Not like regular imports, that is what I mean t to say.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Abhishek Savant from Veritas Reputation. Thank you. And over to you, sir.

Saunak Gupta: Before Abhishek, I want to thank all of you who have congratulated us on our results. And I also want to thank all of you for your very insightful questions and participating today . So, thanks for it. And over to Abhishek.

Abhishek Savant: Thank you, Saunak . And thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA . As always, we remain committed to transparent communication and delivering long -term value to all our stakeholders.

In closing, on behalf of the Board of Directors and Management, we thank you all for your participation in this call today. IMFA remains focused on operational excellence, financial prudence, and long -term value creation. Should you have any further questions, please feel free to reach out to us. Look forward to engaging with you again in our future updates. Have a good evening an d stay safe.

Moderator: Thank you. On behalf of Indian Metals & Ferro Alloys and Veritas Reputation, that concludes this conference. Thank you for joining us , and you may now disconnect your line s. Thank you.

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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13th February 2026
~---- --------------
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Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirem ents) Regulations, 2015, the Transcript of the audio call recording of the Company 's Investor / Analyst Call held on 06th February 2026 on the Unaudited Standalone and Consolidat ed Financial Results of the Company for the quarter and nine months ended 31st December 2025 is attached herewith.
You are requested to take the same on record.
Thanking you
Yours faithfully
For I DIAN METALS & FERRO ALLOYS LTD
(Smru i Ranjan Ray)
Comp ny Secretary & Compliance Officer
Mem rship No: F4001
Encl: As above.

"Indian Metals & Ferro Alloys Limited
Q3 FY '26 Earnings Conference Call "
February 06 , 202 6

MANAGEMENT : MR. SUBHRAKANT PANDA – MANAGING DIRECTOR
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER
MR. BINOY AGARWALLA – HEAD, POWER BUSINESS
UNIT
MR. SANDEEP NARADE – HEAD, MINING BUSINESS
UNIT

MR. SURESHBABU CHIGURUPALLI – HEAD, FERRO
ALLOYS BUSINESS UNIT

MODERATOR : MR. ABHISHEK SAWANT – VERITAS REPUTATION PR
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Metals & Ferro Alloys Limited Q3 FY '26 Earnings Call , hosted by Veritas Reputation PR Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Abhishek Savant from Veritas Reputation. Thank you, and over to you, sir.

Abhishek Savant: Thank you, Alex. Good afternoon once again to everyone. On behalf of Indian Metals & Ferro Alloys Limited, I welcome you all to the Q3 FY '26 Earnings Conference Call. We appreciate your time and interest in joining us today to discuss the company's perfor mance for the quarter ended December 31, 2025.

Following the opening remarks by our management, we will open the floor for the Q&A session. Kindly keep your questions concise and relevant to allow broader participation.

IMFA, India's leading fully integrated producer of ferro alloys has demonstrated a significant improvement and resilience in quarter 3 FY '26 despite the ongoing market challenges. This performance underscores the company's focus on operational excellence, disciplined execution and long -term value creation.

As you all know, the company has signed definit ive agreements to acquire Tata Steel Limited ferrochrome plant at Kalinganagar in Odisha, adding 99 MVA of furnace capacity for a base consideration of INR610 crores. This acquisition will make I MFA , India's largest ferrochrome manufacturer and the sixth largest globally, with a total capacity exceeding 0.5 million tonnes.

The financial results are available on our website and have been filed with the stock exchanges for your reference.

Before we begin, I would like to remind you that some of the statements made today in our discuss

ion may be forward -looking in nature. These are based on the company's current expectations and are subject to various risks and uncertainties that could cause actual outcomes to differ materially.

Joining us on the call today are Mr. Subhrakant Panda , Managing Director; Mr. Saunak Gupta , Chief Financial Officer; Mr. Binoy Agarwalla , Head , Power Business Unit; Mr. Sandeep Narade , Head , Mines Business Unit; and Mr. Sureshbabu , Head , Ferro Alloys Business Unit.

With that, I would like to hand over the call to Mr. Subhrakant Panda, our Managing Director, for the update on the overall performance. Over to you, sir.

Subhrakant Panda: Thank you, Abhishek. And at the outset, I would like to extend a warm welcome to all of you who have taken time out to join this call and to talk about IMFA's Q3 results. So let me start out with an opening statement, and then, of course, we will move on to the Q&A section.

First, a word about the performance. I'm quite pleased to report to you about the robust set of numbers that we have reported for the third quarter of FY '26, where our EBITDA and PAT numbers have gone up as we had indicated on account of the improvement i n realizations in ferrochrome pricing.

Of course, we have had a continued focus on productivity, on making sure that output is on track, focus on efficiency that is our various consumption norms. And by and large, our costing has been stable with a slight increase in the power generation cost o n account of coal prices. But other than that, during the quarter under review, the costing has remained stable. And taking the

improvement in realization into account, we are reporting these numbers.
I will just quickly go through the production and the sales numbers for Q3 FY '26. Ferrochrome production during the quarter has been 67,196 tonnes. Power generation stands at 256.17 million units and chrome ore raising during the quarter is 265,468 tonnes . And if you look at sales of ferrochrome during the quarter, that stood at 64,802 tonnes.
On the ongoing expansion and acquisition plans , as far as the greenfield project at Kalinganagar is concerned or KNR 1 as we refer to it, I'm glad to report that the project is on track, and we expect to commission the first furnace in June 2026 and the second furnace shortly thereafter. So, it's at a ver y advanced stage and on track.
Secondly, as far as the strategic acquisition is concerned, which we refer to as KNR 2, we are in the process of obtaining various statutory and other government approvals, and we expect to close out the deal in the ongoing fourth quarter of FY '26, more s pecifically, I think, within the month of February itself.
Now in as much as output from the acquisition is concerned, anything that we get in fourth quarter is going to be a little bit of a bonus, but we really expect volumes to come in, in the true sense of the word in first quarter of FY '27. And this is, of co urse, something which is going to be immediately value accretive.
Finally, in as much as the ethanol project is concerned, that's again at a very advanced stage, and we expect to commission it in March 2026, that is next month. So, there is a slight delay because we were initially targeting the second half of February, b ut there's been a slight spillover on that, and we are expecting to commission it in March. And this is something after the initial sort of stabilization activity, we expect it to start contributing to the top line in, starting April, so in FY '27.
That is where we stand. And I would now like to move on to the Q&A section, and we will do our best to answer your questions and provide further clarity and information about the company's operations. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line

of Aashav Patel from Molecule Ventures PMS. lfflfa

Aashav Patel: Congratulations to the entire team for a great set of numbers. And special thanks to Mr. Panda for taking out the time and joining the con -call. My first question is, sir, that globally realizations are very robust right now, and they have increased from the recent lows. Do you expect Q4, we will be able to see most of the benefit of increased realization? And the second question, follow - up on that is that the demand buoyancy, how you are seeing at this point in time?
Subhrakant Panda: Thank you, Aashav. Pleasure to be on the call to interact with you and other investors and analysts who have taken the time out. First, a word about realizations. As we had indicated in the last investor call, we were expecting a noticeable jump in realiza tions from Q2 to Q3. That has indeed translated through. And our EBITDA margins are a little above 23% in Q3.
Now as far as Q4 is concerned, there was a slight dip in prices, but now they have again moved back up. So domestic prices are roughly in the INR118,000 to INR120,000 a tonne mark, and Chinese prices are around USD 0.96 to USD 0.97. Now, we expect these prices to continue during the ongoing quarter, barring any exceptional situations, which I don't foresee at this point in time to be very clear. And if so, we will certainly benefit from these realizations.
Secondly, as far as demand is concerned, we have always been in a slightly different position to many of our peers, where we believe in long -term contracts and offtake arrangements where pricing is decided every month or every quarter, depending upon the p articular customer.
What that basically means is that at least offtake is assured. And we don't really have spot sales, if I can put it in, mention it in that manner. But demand in general is buoyed by the fact that stainless -steel has grown, even though it is in low single d igits, around 2% to 3%, but stainless - steel output has increased.
And correspondingly, there has been a sort of a constraint in ferrochrome production with South Africa bringing down its output sharply. Producers in India, non -integrated producers in India have also been affected. So basically, we do not see any issue in terms of placing our current capacity as well as the expanded capacity, which is coming online.
And as I said, in the ongoing quarter, we see these realizations holding. And as of now, the expectation is that it will translate through into the first quarter of FY '27 as well because that is where South Africa, in particular, has the Winter Tariffs an d all that. And of course, I know that there is a lot of chatter around the special electricity tariffs which have been announced.
I'll broadly expand your question, Aashav, and answer that because that is something which is definitely something that everybody is closely tracking. As you may have read, the tariffs in

South Africa are broadly around USD 0.135 or thereabouts. And what Eskom, which is the utility has announced, is an approval from NERSA, which is the regulator, to bring that down to USD0. 87 for Glencore and Samancor, and which is valid for 1 year.

But that's predicated on a couple of things. One, that as we understand that the tariff of USD0. 87 covers broadly Eskom's variable cost and some degree of legacy costs, but not their full overheads. So that in itself, to my mind, cast some sort of uncertainty about how practicable this is. And secondly, that NERSA has also said that the difference betwe en the tariff to be paid by these 2 customers and what is actually required by Eskom is to be borne by the government. The question here is that how practical is it for only 2 companies to get a special tariff, but again, that's not in

my scope of competence or control. But what we certainly are waiting to see is how sustainable is this tariff.

And secondly, we believe that even if these companies start up production, it should lead to some, when ferrochrome production in South Africa had come down sharply, the ore exports to China moved up, I wouldn't say correspondingly, but certainly as a cons equence. So now with ferrochrome, if it were to pick up in South Africa, logically, it should lead to some lowering of chrome ore exports to China and therefore, lower ferrochrome production in China.

At some level, we think it may turn out to be a zero -sum game. But more than anything else, I wanted to make the point that I'm more concerned about what is in our control and the fact that we have a fully integrated business model, and we are efficient, we are competitive, a lot of focus on productivity and efficiency. I would focus on our capabilities rather than get distracted by the noise around what is happening elsewhere.

Aashav Patel: Sure. Got it. Sir, my follow -up is that there is this structural shift which is happening globally in the ferrochrome industry. Now the cost curve for most of the top producing countries is moving significantly upwards. Given your multi -decade experience in the industry, how significant do you see this happening? And how beneficial it is for integrated player like ourselves?

Subhrakant Panda: You're absolutely right that there are cost pressures on non -integrated producers because chrome ore prices are moving up. If you look at UG2 prices in South Africa, they are around USD 300 a tonne. I haven't kept track of domestic prices in India, but they continue to be elevated. So as a result, there are significant cost pressures. And from that point of view, the fact that we have a fully integrated business model is what adds to our resilience and competitiveness.

Now one has to see how this plays out. But one of the reasons ferrochrome prices have moved up is, as I said, there is growth in stainless steel, not tearaway growth, but there is growth in stainless steel, but more importantly, there are cost pressures.

If demand improves further on account of stimulus measures in China, on account of some of the geopolitical issues sort of moving towards resolution, etc, if demand were to pick up a little bit more, I definitely see ferrochrome prices moving up.

And equally, a lot of non -integrated producers in India have cut back production. There have been cutbacks in production other than in South Africa. We do see a sort of a structural sort of gap between demand and supply persisting over the next 1 to 2 years, which should be supportive of prices.

But then again, I would say this with a caution that this is a general trend that we envisage, but we don't really look at anything beyond the ongoing in the next quarter because experience has taught us not to get ahead of ourselves. But I don't see any c urveball coming out from the left field, which significantly alters the market dynamics at this point in time.

Aashav Patel: Got it. And sir, impact of Chinese anti -involution is already visible on ground?

Subhrakant Panda: No, whatever they have, ferrochrome production in China has picked up significantly in line with South Africa cutting back. And, if they are taking some smaller inefficient furnaces out, they are adding capacity both in ferrochrome and the same exercise is happening in stainless steel. But China is a consumer. As you know, they have a significant export duty on ferrochrome. We don't see increase in Chinese ferrochrome production being a threat in any manner to ferrochrome prices globally.

Moderator: The next question comes from the line of Parthiv Jhonsa from Anand Rathi Group.
Parthiv Jhonsa: Congratulations on a great set of numbers. Sir, just quickly wanted to again circle back to the entire South Africa tariff scenario. Considering if things work out in their favor, do you expect all the smelters from Glencore and Samancor to come on stream?

Or it is only for certain smelters which would be there and a couple of smelters which are actually not operational since some time now, they will not come back on stream? Because if that happens, the supply crunch still persists, if I'm not mistaken. Is t he understanding and thinking correct, sir?

Subhrakant Panda: Parthiv, thank you for your kind words on IMFA's numbers for the quarter. As far as South Africa is concerned, again, to reiterate, the tariff announced for 2 companies has come down from ZAR 0.135 to, I mean, ZAR 0.87 from ZAR 0.135 to ZAR0.87. And as I mentioned, what we read is that it covers Eskom's variable cost and part of some legacy costs.

I think the concerns which have been expressed about how sustainable this is, is on account of the fact that it is for 2 companies, and certainly, it will lead to demands from others is the expectations, whether it i s manganese steel, aluminium , etc. And the second that, obviously, covering only variable costs may not be sustainable, and that is where NERSA has very clearly said that the government has to reimburse and the burden shouldn't go on to the common to the average consumer.

And the ferrochrome producers on their side are saying that 87 is not good enough, and it needs to be 62. This is a situation which is in flux. It's not something into which, we are seeing it from outside and reading about it, but I don't have any particular insight. But there is a lot of skepticism, which has been expressed about how feasible is this and how s ustainable is it going to be. One. And in terms of revival of ferrochrome production, I understand s ome of the smaller capacity, et c, has, I believe, permanently shut down.

Now if you look at the larger producers, I think their capacity can be divided into the more efficient ones like Glencore's Lion and the rest which are less efficient. As of now, we don't have any concrete information on, although I believe that Glencore might be restarting its Lion facilities in February or March. But then again, as I said, my expectation is that you can't have ore exports to China at exactly the same lev els even as ferrochrome prices picks up because, first of all, there is the availabil ity issue.

And second, if there has been a distinct increase in Chinese ferrochrome production corresponding or consequential to a reduction in South African output. Now if Chinese output doesn’t come down and South Africa adds its capacity, then logically, ferrochrome prices will fall. And forget about what it does to us. I mean that in itself is going to defeat the whole purpose of giving special tariffs to South African ferrochrome producers.

You can't look at one part of the equation and say that tariffs have been brought down and therefore, everything is hunky -dory. I think this is a complex equation, and there are multiple factors at play. And you plug one leak somewhere and it will show up somewhere else. That's our take on the situation.

Parthiv Jhonsa: Thank you for such an elaborate answer, especially considering the entire global macro is interlinked to the entire fact. Sir, my second question is pertaining to your EBITDA per tonne. I just wanted to get a sense that EBITDA per tonne has actually surpas sed this INR25,000 mark, especially after Q2 of '25. So, after multiple quarters, you have actually surpassed that mark. Just wanted to understand what has changed between Q2 to Q3 that there is a substantial jump in the profitability? And also, how do you plan your Q4? Considering you have given the guidance at for '27 and '28, just wanted to get a sense of o re raising guidance or whatever you can share for Q4 and also for the next few years?

Subhrakant Panda: Parthiv, the short answer to what has changed between Q2 and Q3 of FY '26 is ferrochrome prices. Realizations have moved up by roughly by about INR6,000 a tonne. That is what translates through into the improved EBITDA margins. In a single word, it is prices.

And as I said, in ongoing Q4, we did see that the INR117,000, INR118,000 come down briefly to about INR106,000 to INR108,000. But again, leading up to the Chinese New Year holidays where there tends to be a little bit of stocking up by Chinese buyers and consequent to over constraints and elevated prices, domestic prices have moved back up to the INR118,000 to INR120,000 a tonne mark.

We do expect the current, what the average pricing that we saw in Q3 to more or less translate through into Q4, possibly with a slight upward bias. So, we are reasonably confident about similar EBITDA margins in the fourth quarter as well.

Parthiv Jhonsa: Perfect. And sir, what the ore raising, I think you have done like 265,000 tonnes plus of ore raising. So similar pace would continue even Q4?
Subhrakant Panda: Q3 and Q4 are the good quarters for ore raising because it is post monsoons, and even from a weather perspective, yo u're not in the peak summer, et c. Q3, Q4 are the peak ore raising time.
Just a word on the general trajectory.
As you know, in FY '25, our total ore raising was approximately 725,000 tonnes. And as far as FY '26 is concerned, we are looking at 850,000 tonnes, broadly speaking. And as we have said, every year for the next 1 or 2 years is going to be a record because we are scaling up ore raising to cater to increased demand and the excess stock that we have been carrying will start getting now consumed because of the additional capacity.
And the Board at its meeting yesterday also approved the annual budget for FY '27. And that's going to be a milestone year for us because we are targeting 1 million tonnes of ore raising, that is 10 lakh tonnes in FY '27. Just to reiterate here the obvious point that our existing capacity, smelting capacity plus expansion plus acquisition is going to be catered to entirely from captive mines, and we are not going to be buying any ore.
Parthiv Jhonsa: Okay. Perfect. And just a very quick, very generic question on the greenfield facility. How better is the technoeconomic parameters compared to your other existing facilities? If you can just quantify in the percentage terms?
Subhrakant Panda: When you talk about technoeconomic, the fact that, we're putting it up now. Whatever learnings we have from our previous furnaces and whatever shortcomings that we see, we try to address that in the design situation. We have moved to a closed furnace design, which added to the capex a little bit.
But obviously, that enables us to get better norms and roughly about 8, 8.5 megawatts of power generation. But other question, which you and I, in particular, had this conversation during the CNBC panel post the announcement of the acquisition is that Kali nganagar is, from a logistics point of view, very friendly given that we are close to captive mines, close to stainless steel producers who are our consumers and close to Paradip port.
Once we get over the initial stabilization phase and do keep in mind that when the new furnaces come online, we will have an initial period of stabilization, and the heating period means you are consuming energy without getting ferrochrome production in turn.
But leaving that aside, when you're in a steady -state operation, we expect our weighted average EBITDA cost for the expanded output to reduce by about INR1,500 to INR2,000 a tonne on account of logistics costs and all of that. That is something will obviously add to our margins.
Subhrakant Panda: Obviously , the most important variable here is what, w

here ferrochrome prices, how they pan
out. We do expect, as I said, while we are not, we don't do really projections of ferrochrome prices, we can only give a little bit of visibility into the ongoing quarters a nd the next quarter.

But the market dynamics are such that there will be some volatility. It's not going to be a steady line or only with an upward bias.
But our key commitment is that we have the wherewithal to be more competitive and more resilient than most. So that is one. In terms of cost structure, I mean, independent of this, I believe we have seen the lowest prices in the recent past in metallurgica l coke prices, and that's something which is trending upwards a little bit.
But then again, it will, all of this will put pressure on bringing cost pressures on the entire value chain and should translate through into perhaps better ferrochrome prices because while we are fairly comfortable with our EBITDA margins, that number doe sn't apply to, or that position doesn't apply to all producers.
Moderator: The next question comes from the line of Harsh Vasa from SBI Securities.
Harsh Vasa: Congrats, sir, on a robust set of results and to the entire team. Sir, my question was that what would be the capex for FY '26, '27, '28, if you could break up? And the capex would be what

for, which part like the amount, for example, for the mines and for the greenfield and like that, like the total?
Saunak Gupta: On the capex side, in KNR 1, we have almost spent out 60% this year. About 40% will be remaining, which will be around INR300-odd crores and will be spent in the next year. And the other one would be the residual value of the ethanol project, which mostly we'll be spending in this year, and about INR50 odd crores will remain for next year.
For the mines, we have around INR200 crores of capital outlay or spend cash outflow next year. Approximately next year, we are expecting somewhere around INR600 crores plus general capex that we'll be spending out. In the following year, it is primarily the expansion of the underground projects will be the majority spent .
This is the overall outlay that we have somewhat planned for next 2 years. And it is like INR600 crores next year and another INR400 crores to INR500 crores the year following. So, INR1,000 crores will be spent for the next 2 years.
Harsh Vasa: Okay. Sir, what was the capex which you have already incurred in this year?
Saunak Gupta: We have already incurred overall INR370 odd crores this year.
Harsh Vasa: Okay. And for the next 3 months, any amount, tentative amount?
Saunak Gupta: In next 3 months, we have a plan of approximately INR270 crores to INR280 crores of spend.
Subhrakant Panda: Thank you, Harsh. I'll just take this opportunity to just provide a little bit more insight. Just to remind everyone that as far as our acquisition is concerned, which is at a base price of INR610 crores plus GST plus net working capital, that's going to be funded entirely out of internal accruals, and in as much as our KNR 1 project is concerned, we do have a loan sanction of about,

INR470 odd crores. And the drawdown of long -term debt as of now is a little short of INR80 crores.
We have hardly drawn down. We are focused more on internal accruals to meet our capex requirements thus far. And we expect the strength of the balance sheet to continue even after the payout , etc, we will still have a comfortable cash position. And of course, with expanded capacity, we will have, I mean, enhanced working capital available. The focus is still to have a conservative bent of mind in terms of taking on debt.
Moderator: Our next question comes from the line of Kaushal Kedia from Wallfort PMS.
Kaushal Kedia: Sir, I have a generic question on the entire space. We heard the Vice President of the United States mentioned critical minerals and they had a conference where they invited their partners. What do you think Chromium is a critical mineral for the U.S. and they are setting up a price floor for it? I just wanted your thoughts on this. What is happening? And what is this price flo or that you look at it?
Subhrakant Panda: As far as critical minerals are concerned, as all of you are obviously aware that China has an overwhelming position in terms of not just reserves that they are able to extract, but also the processing thereof. And that is where I think the rest of the worl d is scrambling to get to some degree of self -sufficiency. If I look at it from India's perspective, lots of initiatives announced by the central government, which is the PLI scheme for rare earth permanent magnets, which is outlays for recovering critical minerals from tailings.
And as far as the current budget, which was announced a few days ago is concerned, there was a reference to the critical minerals' corridor comprising Odisha , Andhra and a few other states. Clearly, given the importance of critical minerals and rare earth elements, the fact that they're used from everything from household white goods to fighter aircraft and the sort, it's something that all countries are scrambling.
The U.S. has announced this large fund that they are creating to stock up on critical minerals. Secondly, through the other initiatives, they are looking at coordinated action. That's where I think critical minerals stand. And again, I'll take the opportunity to expand the question and respond. It's an area which we have identified as a potential area of interest for us because there is a degree of similarity because it involves m ining and processing of minerals. That's something that we are closely evalua ting. And when we find the right opportunity, which is value accretive, we will move forward on it.
Kaushal Kedia: Sir, I have a few accounting questions. What is the cash and balance sheet as of today?
Saunak Gupta: The total amount which we are having, including investments in mutual funds and bonds is close to INR1,100 crores in our balance sheet.
Kaushal Kedia: I wanted to understand the payment.

Saunak Gupta: Yes, INR610 crores base amount for acquisition plus GST . We expect somewhere around INR700 crores will be the outflow. We'll still have INR 400 crores out of INR 1000 crores , in our balance sheet plus the future cash accruals from the business.
Kaushal Kedia: Just to draw a sense, by the end of March, we'll have about INR400 crores post the Tata payment and about INR300 crores of capex that you mentioned earlier that you will incur this year.
Saunak Gupta: Yes. we have capex , but we also have unutilized whatever our MD said is that we have about INR470 crores of sanctioned term loan limit, which we have utilized only about INR80 crores. Overall, around INR390 crores we have unutilized, which we will see how much we will utilize . Obviously, the cash position that we will have after all payments expected to be minimum INR 300 crores .
Kaushal Kedia: Just back on your calculation, if the EBITDA margin continues to be the same for Q4 , taking that into consideration, we should be somewhere around INR300 crores of cash in March, hopefully.
Saunak Gupta: Yes, you are right. It will be INR300-plus crores of cash if the EBITDA continues in the same range. I just wanted to close on what Kaushal said. The position is that whatever we were saying on INR300 crores of capex payment that we'll be doing, we will be still having in our hand INR300-plus crores of cash position accrual after payment of whatever is the acquisition as well as unutilized term loan of INR390-odd crores. Almost INR700 crores will be there in our hand. We will

just see how we will be actually paying out those cash outlays. We have sufficient funds in hand .
Moderator: We'll move to the next participant that is Madhu Chaturvedi from MAIQ Investment Advisors LLP.
Madhur Chaturvedi: Congratulations on a fantastic set of numbers. You guys have taken a lot of time and answered most of the questions. Just one sort of bookkeeping question from my end. I think after a while, just our ferrochrome production in tonnes was slightly more than our ferrochrome sales. Was wondering is this a sort of strategic thing for are we seeing a bigger order next quarter? Is this maybe an impact of the slight price increase we've seen? I was wondering if there was any reason to it.
Subhrakant Panda: Broadly, I would say, Madhur, that in terms of quarterly production, we look at 65,000, 66,000 tonnes, maybe up a little bit down, there and thereabouts, and similar sales. I think in the recent, in the past 2, 3 quarters, In Q2, there was a lot of pressure from customers for supplies, which is where we ate into inventory a little bit and sold about, if I remember correctly, in Q2, the sales volume was close to 69,000 tonnes, which was a bit of an outlier.
But we have sort of come back to that 65,000, 66,000 tonnes sales and similar sort of production numbers. We expect in terms of production for the ongoing FY '26 we expect to close at about 265,000 tonnes and sales broadly similar numbers. lfflfa

The real jump, of course, will come from Q1 FY '27 onwards when additional volumes come into play. But not so much trying to gain the market. Obviously, prices increase when there is demand. So, it's not just a question of trying to encash on higher prices but also making sure that our long -term customers with whom we have relationships, we try to meet their requirements in terms of additional to nnages as and when it comes up.
Moderator: The next question comes from the line of Joe Shah from 7 Seas.
Joe Shah: Congratulations. We are going very well on our growth plan as far as KNR 1 and KNR 2 are concerned. I think by June '26, we'll be quite well on this plant. Now second thing, recently, Government of India has announced that coking coal is notified as a crit ical mineral. And my understanding is that in India, we do not have low phosphorus coking coal available and mostly we have inferior coking coal. So, what is your take on this coking coal?
Subhrakant Panda: You're absolutely right. As far as coking coal is concerned, India doesn't have very large reserves, we have very large reserves of coal, thermal coal, but not large reserves at all of coking coal. And moreover, what is there is a grade that we cannot really use in the ferrochrome industry, which is why, especially given the grade of ferrochrome that we produce, we are entirely dependent upon imported metallurgical coke from Colombia and from other sources.
Yes, the declaration of coking coal as a strategic mineral has definite implications for the steel industry. This is a large import win for them and development of coking coal mines domestically will ease some of that pressure. But realistically speaking, n o significant impact for the ferrochrome industry.

Joe Shah: Okay. Now one more question about Sukinda Chromite Mine signed up by Tata Steel. Looking at the past happening of Hindustan Copper getting copper mine in Madhya Pradesh, we also get excited that IMFA should also get the Sukinda Chromite Mine, whenever it c omes on table. So, what is your idea?
Subhrakant Panda: They've announced that they would surrender. The process is yet to be completed. It's only when it comes up for auction that we can have a strategy. But my answer would remain the same that as with any other opportunity, we will evaluate anything which is interesting, we will certainly evaluate, and we will move ahead if we see it as

be ing value accretive.
Moderator: The next question comes from the line of Sanket Kapoor from Kapoor Company.
Sanket Kapoor: Firstly, pertaining to our capex and the underground mining part. So, if you could just outline to us what's the roadmap? How much have we spent? And pertaining to this underground mining, what amount of the capex goes towards the equipment? And whether we will be opting for the MDO route for the ore that will be taken out? Or what is the thought process there?
Subhrakant Panda: I'll ask Saunak to share the capex numbers. We also have Sandeep Narade, who is our mining business head on the call. Broadly , the figure for capex for underground mining is roughly INR1,000 crores . lfflfa

Saunak Gupta: On the overall capex budget of INR1,000 crores, we have till now already ordered approximately INR780 crores. At present , cash outlay is around INR120 crores till now. And as I was saying that in next year, there is higher amount of cash outlay on this , with a mixture of both infrastructure capex payments as well as development costs that we have to incur for building up the whole underground mine. But I'll also ask Sandeep if he can just add a little more on that.
Sanket Kapoor: There is a point here, INR780 crores of order tendering are on the equipment part. So, are we importing this equipment? Or are we sourcing them?
Subhrakant Panda: No, INR780 crores is not just equipment. It also includes an element of development because the underground, 2 ventilation shafts, the decline and the main shaft are all being developed. There is a significant element of equipment in there like winders and all of that, INR 780 crores is not just equipment.
Sandeep Narade : Mostly, we are operating on the MDO mode . And out of overall capex , about 25% of amount will be spent by us for major equipment like the shaft winders and fans. Rest will be the service contract with the MDOs.
Sanket Kapoor: And sir, are we sourcing this equipment domestically because there are a few players in the country that are developing. In fact, one player only Eimco Elecon that develops, I think, so underground mining equipment and then the Gainwell Group. So, are we i n?
Sandeep Narade : No, a ll these equipment are not in our scope. They are in the scope of MDOs, and they are developing in India and also getting from outside.
Sanket Kapoor: Okay, sir. And lastly, sir, Pandaji, for the ethanol part of the story, sir, firstly, you have articulated that it was the land that was available to us, and we were, that was unutilized and the availability of, I think so the RM was there in abundance tha t led to the project. But taking into account the line of interest that we have, what likelihood is going to be the story for ethanol, because INR250 crores, INR300 crores worth of project will also have management bandwidth and will have it s own vagaries and nuisances going ahead, depending upon the government policy. Going ahead, how much of this ethanol is going to be a part of IMFA in the foreseeable future?
Subhrakant Panda: Slight correction. It was not just available land, but also other infrastructure such as railway sidings and all of that for bulk handling of raw material. That is one. Second, as we scale up our ferrochrome capacity closer to the mines in, I mean in Choud war of course, there is no further scaling up. But in Kalinganagar, at some point in time, that will lead to a deemphasis on Therubali. Therefore, it is important for us to find alternate users on what we can do there. Second, minor correction. The capex for the 120 KLD unit is INR150 crores, not INR250 crores, I believe, adequately conveyed that this is a small diversification because we do need to see what we can do with, in Therubali. And it is only if we believe that we cracked the code and are able to, this is more aligned

given that it's a B2B i ndustrial product, it is more aligned with our philosophy than FMCG, for example, as I've been saying. But it is only, if we believe that we lfflfa

have cracked the code, and we can make it something value accretive that we will consider further expansions.
As of now, no further expansion commitments. We will review how this project plays out and then see what we want to take it forward. But I'll just take this opportunity to reiterate that our primary focus remains the core business, which is ferrochrome. And that is where the maximum time, attention and focus will be. So, I would hope that there isn't any anxiety on that front.
Moderator: The next question comes from the line of Manan Vandur from Wallfort PMS.
Manan Vandur: Sir, my one question was that what was the average cost of coke per tonne in Q3? And what is the current price also for this current Q4 quarter?
Subhrakant Panda: Sureshbabu, who heads our Ferro Alloys business unit can provide the details. Broadly, we are currently consuming coke, which is around USD 250 a tonne mark, and we are expecting that to move up a little bit in future procurements.
Sureshbabu Chigurupalli: It is around INR28,000 and USD 5 are expected to rise in the coming quarter.
Manan Vandur: Just a follow -up on this, INR28,000 was average for Q3. As you're saying is this current market price?
Sureshbabu Chigurupalli: Yes, the current.
Manan Vandur: Okay. Current is INR28,000 and you are saying that around USD 5 can increase from here. And what was the average for Q3?
Subhrakant Panda: Manan, we have broadly shared the details. I don't want to go into specific products and specific inputs and exact pricing. Broadly, we have shared the numbers that there had been in line with the pricing pressure or ferrochrome realization pressure going back 2, 3 quarters, coke prices had come down noticeably. And we believe it has hit rock bottom.
And our current stock, what we are consuming is around the USD 250 mark. And Suresh is a little aggressive when he looks at USD 5. I would say that there might be a slight bit more upward bias in terms of costing for metallurgical coke. But it is something that will add to our EBITDA cost a little bit, but not something which will be very significant.
Moderator: The next question comes from the line of Amit Lodha from Sanmati Consultants.
Amit Lodha: Congratulations. Most of my questions have already been answered. I have got only one question, sir, related to shareholders. Actually, in recent times, your stock price has gone to a very good level. And we as an investor when we bought the shares and fin d very difficult to get the required quantity of the shares from the market and the price has shot up as there is wide fluctuation in the prices coming up and going down.
Again, INR1,500, then INR1,100. So, there is a market, of course, that is the market for which the management is nothing to do. But I only have one suggestion. Since all the ferro alloy lfflfa

companies like Bawa Alloys Limited, Godavari Power & Ispat Limited, then Vedanta, then Hindustan Zinc, all are having the lower denominations sir. They all are having INR1 or INR2 denominations .
I would request the management in the overall interest of the shareholder that management should consider this subdivision of the equity in appropriate either INR1 or INR2 , enabled by small shareholder, not only small shareholder plus mutual fund holder also, and they can easily get in the shares, and they get out of the shares when they want. And that will reduce the fluctuation in the market. That is only suggestion from my side. Thank you very much.
Subhrakant Panda: Thank you , Amit ji, for your suggestion. We will certainly take that under consid

eration. I know
this topic has come up about having adequate floating stock to provide liquidity, but there are pros and cons to everything, but this is certainly, we will certainly take your su ggestion on board and always have the interest of shareholders paramount when we look at taking any actions.
Moderator: The next question comes from the line of Rita from Kotak Securities.
Rita: Congrats to the management for such an excellent result. I'd like to just ask on the question regarding what was the EBITDA margin for the previous quarter and what is expected in the next quarter?
Subhrakant Panda: EBITDA margins, we have actually issued that in the press release. So previous quarter as in Q2 was, if I remember correctly, around the 18% to 19% number and EBITDA margin in Q3 FY '26 is a little more than 23%.
Rita: And what will be expected for Q4?
Subhrakant Panda: Provided prices hold, which is what we expect it to be, we expect it to be sort of similar.
Rita: And secondly, sir, in terms of what we say for the coke INR28,000 price, so is it that INR28,000 gets fully accommodated or there is a specific set of consumption of coke, which reduces the

coke cost or there is a 1:1 ratio for reduced.
Subhrakant Panda: It's roughly 0.65 tonnes of coke per tonne of ferrochrome.
Rita: And is it the same case for ore as well that we, how much ore we gave that much?
Subhrakant Panda: Roughly 2.5 tonnes of chrome ore per tonne of ferrochrome.
Moderator: The next question comes from the line of Vinit Thakur from Plus91 AMC.
Vinit Thakur: I would just like to know what would be a sustainable EBITDA post the Tata Steel incorporation of the plant? And when could we see the revenue coming from it as well on our, from that plant itself?
Subhrakant Panda: The second question is easier to answer, which is that we expect meaningful contribution to top line and to financial numbers from Q1 FY '27 itself. As I mentioned, we are looking to close the

deal in the ongoing quarter, in fact, possibly in February itself. We might get a little bit of output in March, but we are not really taking that into consideration. If anything comes, that's the bonus. But realistically speaking, from first quarter of FY '27, and as far as sustainable margins are concerned, there are 2 factors. Clearly, there is volatility both in realizations as well as in input costs.
We are, in as much as chrome ore is concerned, we are relatively sheltered in terms of any impact. But when it comes to metallurgical coke, when it comes to therma l coal for power generation, et c, obviously, we are exposed to a degree of volatility. But what will, just to reiterate a point I had made earlier in the call, what will be a significant sustainable advantage of the KNR facilities, KNR 1 and 2 is that logistically, it is far friendlier, similar to or perhaps even better than Choudwar. And therefo re, we are expecting between INR1,500 to INR2,000 a tonne at least of reduction in weighted average EBITDA costing.
Vinit Thakur: I want the capex like we have planned for the near term, what would be our total capex plan? And what would be our peak debt as well?
Saunak Gupta: For Kalinganagar project, we have a total capex plan of INR800-odd crores. That we will be spending out by mid next financial year. And for ethanol, we have INR150 crores that already a major chunk will be spent by this year and the residual amount left will be spent next year.
On the mine side, we have said we have an overall capex of INR1,000 crores, but it will be spent out in next 4 to 5 years as we go for the developments. These are the 3 key ones. And in Kalinganagar 2, Tata Steel unit that we'll be acquiring, the asset transfer of the unit, with GST is around INR700 crores. This is the overall spend out, which we are doing.
Subhrakant Panda: And of

course, for the GST, we will get back, we'll get input tax credit.
Vinit Thakur: What would be your peak debt?
Subhrakant Panda: Broadly, at the moment, our, the long -term debt drawdown against the sanctioned limit is just short of INR80 crores. The sanctioned amount is INR470 crores but depending upon how the ongoing and the next quarters go, we may not even draw down the full debt amount. We'll see how that, but theoretically, the maximum it will go up to is INR450 crores, INR470 crores. And from a debt equity point of view, we are not looking at, I mean, our outer limit is 0.5, but we are not expecting to go bey ond 0.3 at most.
Moderator: The next question comes from the line of Akshita from SBI Life Insurance.
Akshita: Sir, my question is regarding the market. What is the expected market in quarter 4? How is the prices going to react?
Subhrakant Panda: As I said, early on in Q4, there was a slight dip in prices. But now primarily on account, I would say, of Chinese demand stocking up before the New Year holidays, domestic prices have moved up to INR118,000 to INR120,000 a tonne, and Chinese prices are at about USD 0.96 to USD 0.97.

But in our case, we have long -term commitments and therefore, offtake is not an issue at all. And we'll have to see how exactly the price plays out. But at the moment, we are reasonably confident that price realization will stay around the same levels on a n average for the entire quarter will stay at the same levels as Q3. And therefore, we can expect similar EBITDA margins.
Akshita: Okay. Sir, as of now, what is our export and domestic ratio?
Subhrakant Panda: Very heavily skewed towards exports in excess of 90%. Going ahead, in 2 years' time, we are

expecting 60 -40 still slightly in favor of exports, but certainly more sort of more focus on the
domestic market to ensure that demand is properly met.
Akshita: Sir, what is our ratio for the LTC and spot mix?
Subhrakant Panda: We have primarily long -term contracts, Akshita. The difference between the 2 categories of long-term contracts is where we have binding offtake contracts for 1 year or 5 years as in the case of POSCO. But what we technically categorize as spot sales is repeat sales to the same customers without any month ly or annual commitment. So, we don't really do spot sales where we find new customers and all of that.
Now with added tonnage, we will certainly look at certain niche geographies and all of that, plus we have also started producing niche ferrochrome with 015 phosphorus maximum and 1.5% silicon maximum, which has a significant premium of about 25% or so. For that, we are selling now, starting to sell to some specific customers in Japan. But other than that, I mean, you could broadly call our entire marketing strategy as long -term oriented.
Akshita: Okay, sir. And can you just tell me what are the major customers, like you m entioned for POSCO 2 to 3 major customers?
Subhrakant Panda: We have a joint venture with POSCO alongside a long -term contract. We sell to customers in Taiwan, in Japan, we do have sales in China. We sell small quantities in Europe, which will probably we will look to perhaps increase a little bit when we expand our capacity.
Moderator: The next question comes from the line of Pritesh from Lucky Investments.
Pritesh: Yes, sir. What is the volume guidance for FY '27, the ferrochrome guidance?
Subhrakant Panda: What we have indicated because we have the acquisition coming online and we have the commissioning of our greenfield unit taking place in starting June. So, from the present levels of about 260,000 tonnes, give or take a little bit, we have indicated that w e expect production volume in FY '27 to be approximately 400,000 tonnes, and we expect the volume in FY '28 to be between 475,000 to 500,000 tonnes. These are, of cour

se, barring any unexpected
developments, but I don't foresee anything of that sort.

Pritesh: So just to continue here, these capacities, what is the breakeven utilization level of the incremental capacity?
Subhrakant Panda: I don't think we have really counted, I mean, we have really analyzed it in that manner, but we are absolutely running neck and neck in terms of our ability to produce and sell. In terms of volume, given that the total consumption of ferrochrome worldwide is in the range of 16 million, 17 million tonnes, enhanced capacity placing that with, we get a lot of pressure from customers to increase volumes. So that's not a concern at all for us.
Pritesh: My question was what the breakeven levels is usually of these capacities. They start producing after 50% capacity utilization starts running out profits or from that angle, I was asking.
Subhrakant Panda: I understand, but that again depends upon a variety of factors. If you don't have captive ore, then the breakeven levels will be much higher. But as I said, that's not something that we have specifically gone into depth.
Pritesh: And just one confirmation. Based on the setup that you talked about Africa and it's a zero -sum game and considering the capacity, which is shut down, the overall con cern does it make you believe that the ferrochrome prices will stay higher than what they were in the recent years that we saw. Usually, the chrome price, ferrochrome price oscillated from 85 to 95. And are we in a lower band? At least that directionally can be concluded or even that cannot be concluded.
Subhrakant Panda: I think the way you put it at the end is a better way to look at it, which is that there will be some volatility going ahead. It would be foolish of me to say that it's only going to be in an upward direction here on. There will be. But I think in the near term, what we can see, we are quite confident about the market dynamics.
But if I were to stretch your question, the period that you mentioned in your question from 1 to 2 years, if you look at the last 10 years, clearly, slowly but steadily the band has moved up. And I'd like to mention that last year when we had an analyst and investor interaction, physical interactio n in Mumbai, I had made a point that judging by our experience and what we see, I would broadly think that a fair price for ferrochrome is in that INR105,000 to INR110,000 range, and taking into account cost pres sures and all of that. But there will be obviously a range below and above that.
Moderator: The next question comes from the line of Aashav Patel from Molecule Ventures PMS.
Aashav Patel: My last question, sir, is that domestic, as you rightly mentioned that most of our production volume is tied up with long -term contracts and specifically more so tilted towards export side. But recently, we have been observing over the last few months, dom estic ferrochrome realizations have been much higher than the global ferrochrome realizations.

Do you see a case for dedicating 1 of the 2 upcoming Kalinganagar facilities, maybe specifically to cater to the domestic spot market and so that as a strategy to capture the spot increases better, domestic spot increase in realizations better? lfflfa

Subhrakant Panda: Aashav, as I very clearly said, we expect to move from 90 -10, that is 90% exports and 10% domestic market at present with enhanced capacity over the next few years for it to be somewhere around 60 -40. So, but that's not only a reaction to domestic prices b ecause there will be prices domestically or internationally will move up and down a little bit. But we believe as the market leader, it is, in many ways, our responsibility to see that we are able to meet domestic demand. That should be o ur

priority, and that is what we intend to do.

Moderator: The next question comes from the line of Aditya Mutha , an Individual Investor .

Aditya Mutha : Almost all my questions have been answered. I just want to know what was our variable power cost for this quarter?

Subhrakant Panda: Aditya, we would not like to get into specific details, but variable power costs moved up a little bit in line with the quality of coal received as well as certain price increases. But nothing very significant. Broadly, I would categorize it as, I mean, it's moved up by about INR0.10 or INR0.15 per unit. Nothing that I would say that has added significantly to our cost structures.

Moderator: The next question comes from the line of Pragyam Laddha from Omni Securities.

Pragyam Laddha: All my questions have been answered. Just one question. Do you see a one -off due to the Tata Kalinganagar plant integration in Q1 and Q2?

Subhrakant Panda: No, I don't see any one -off in that regard. But again, when you start up all the furnaces, there will be an initial heating up period and some power consumption, etc. Some start -up costs will be there, but nothing one -off in terms of integration costs, may be some investments in aligning our ERPs and all that because they are on SAP, we are on Oracle. But nothing major in that regard.

Pragyam Laddha: No major margin pressures, right?

Subhrakant Panda: No margin accretion in fact.

Moderator: The next question comes from the line of Joe Shah from 7 Seas Business Solution.

Joe Shah: Subhrakant, I think our worries would be South African production. I understand that there is a lot of movement to reduce power cost for supply to Glencore and Samancor and go to ZAR0.62. And people are over there, they are saying that South African Minist ry will be really available unlike in India.

My counterpart met him just 2 days ago, and he said there will not be any tariff on the export of chrome ore. They are very clear about it. And they say that such tariff will ultimately go to the miners, which they are not ready to do. And second thing, thi s funding of this cheap power is concerned, they are saying that there are so many benefits involved in pushing up the entire economy of South Africa. They are looking for taking this South African economy out, by focusing on the ferrochrome production. And they are planning to have 3.5 million tonnes to 4 million tonnes of ferrochrome production. lfflfa

And even they were saying that they are looking at India also as their market. Obviously, we can have anti -dumping duty for South Africa to protect our market, but still China and other places could be a bit difficult area. So, I would like to have your vi ews. This is, I think, a real challenge coming to IMFA, the South African production and other things, we are quite safe. But the South African is a big worry for us also. So, will you please give me your views, please?

Subhrakant Panda: As I've said, and I will reiterate that I wouldn't want to focus on issues which are not in our control. I believe that we have the right business model, thanks to our captive mines and power generation, the ability to be resilient and competitive. And that is all that I would focus on. And we have the marketing relationships and the tie -ups to be able to place this. And I believe that you will not simply see an increase in production of ferrochrome in South Africa without a corresponding impact on ore exports.

And not to mention because of scale back production last year, their grid was relatively stable.

As I said, this is a complex equation. It is not a simple thing that rates have been brought down, and ferrochrome production will increase, and therefore, there will be an imbalance, which will lead to lower prices. I believe it is a far more complex scena rio, and there are various trade -off

s
involved. So, is it something that we are looking at and observing? Absolutely. But we are confident about our ability to be competitive. And I think in the end, that's what matters.
Joe Shah: So, you think that Indian ferrochrome cost of production will be quite competitive as compared to the South African cost of production?
Subhrakant Panda: I would not say Indian ferrochrome production cost, but a fully integrated producer in India.
Moderator: Ladies and gentlemen, the last question comes from the line of Anand Sinha from Coal India.
Anant Sarda : Yes. Just to see that I'm from Chattisgarh Investment Limited. My name is Anant Sarda. Congratulations on the brilliant set of results. I just have a question that, sir, there is 150,000 tonnes of capacity, furnace capacity in the Tata project and about 50,000 tonnes of furnace capacity was incomplete. So, do you have any kind of, like what is the status of that? And when can that be online?
Subhrakant Panda: You're right. The unit has 4 16.5 M VA furnaces, which are capable of producing 100,000 tonnes, which are good to go. And there is a 33 M VA furnace, which is partially complete, which can produce another 50,000 tonnes. Our estimate is approximately a year's time and roughly INR50 crores of capex to make that operational. So, when we take control of the unit, our first focus will be on maximizing output from the existing operational furnaces while, of course, evaluating and proceeding with c ompleting the fifth furnace and getting that additional tonnage from there.
Anant Sarda : Okay. And sir, like you said that you're going to shift the international to domestic sales from 90-10 to 60 -40 in maybe 2 years' time. But immediately, we can see that the ferrochrome prices in domestic market are quite higher, as pointed by one of the fe llow investors. Will the Tata lfflfa

Kalinganagar 2, the Tata acquisition, will that be particularly used for spot market in the next financial year, sir?
Subhrakant Panda: In the next financial year, we will also have our greenfield project commissioned. The point is that we will, first and foremost, give priority to, wherever we have contractual commitments, that is what is our topmost priority. We are not going to divert tonnages because of higher realizations elsewhere because I think it is important to be considered a credible and reliable supplier.
The second point I have made conceptually is that as the largest producer in India, it is incumbent upon us to make sure that the domestic market is supplied to the best of our ability. So, taking that in mind, we are looking at the 90 -10 becoming 60 -40 ov er the course of the next 2 years. But we will obviously retain the flexibility to sell internationally or domestically depending upon market conditions and demand.
Anant Sarda : Okay, sir. And last question, sir, what is the road map for critical mineral space? Like where do you want to position yourself maybe in the mining or maybe in processing or both, what kind of strategy are you thinking, sir, for the company?
Subhrakant Panda: Anant, it's very early days yet for us to give any concrete guidance on that. We are evaluating opportunities. And as a general practice, I would say that we are open to evaluating all opportunities which come our way. And we will only pull the trigger on investments if we believe it is value accretive, and we have a degree of compet ence.
But having said that, I mean, we, of course, both from a mining and a processing perspective, have the competence, but where exactly the opportunity lies and how we can maximize shareholder value is what will guide us. And it's too early for us to give any specific comments on that.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the confere

nce over to Mr. Abhishek Sawant for the closing remarks.
Abhishek Savant: Thank you and thank you to everyone who joined us today and participated in the discussion. We appreciate your questions and continued interest in IMFA. As always, we remain committed to transparent communication and delivering long -term value to our stake holders.
In closing, on behalf of the Board of Directors and management, we thank you all for your participation in this call. IMFA remains focused on operational excellence and long -term value creation. Should you have any further questions, please feel free to reach out to us. We look forward to engaging with you a gain in the near future. Thank you again and have a great evening. Stay safe.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Veritas Reputation, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. lfflfa

Call: Jun 2026

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Bandra (E)
Mumbai-400051
Stock Symbol & Series: IMFA, EQ
Sub : Earnings Call Transcripts
Dear Sir/ Madam, 3rd June 2026
The Deputy General Manager
(Corporate Services)
BSE Limited
Floor 25, P.J. Towers
Dalal Street , Fort
Mumbai-400001
Stock Code : 533047
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Investor/ Analyst Call held on 27th May, 2026 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2026 is attached herewith.
You are requested to take the same on record.
Thanking you
Yours faithfully
For INDIAN METALS & FERRO ALLOYS LTD
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njan Ray)
CompfiJny Secretary & Compliance Officer
Membership No: F4001
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“Indian Metals & Ferro Alloys Limited
Q4 FY '2 6 Earnings Conference Call ”
May 27, 202 6

MANAGEMENT : MR. SUBHRAKANT PANDA – MANAGING DIRECTOR
MR. SAUNAK GUPTA – CHIEF FINANCIAL OFFICER
MR. SURESHBABU CHIGURUPALLI – HEAD OF FERRO ALLOYS BUSINESS UNIT
MR. BINOY AGARWALLA – HEAD OF POWER BUSINESS UNIT
MR. SANDEEP NARADE – HEAD, MINING BUSINESS

UNIT

MODERATOR : MS. SAVLI MANGLE – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Metals and Ferro Alloys Limited Q4 FY '26 Earnings Conferenc e Call hosted by Adfactors PR. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Savli Mangle from Adfactors PR. Thank you, and over to you, ma'am.

Savli Mangle: Thank you Alaric , Good evening, everyone, and thank you for joining us on Indian Metals and Ferro Alloys Limited Earnings Conference Call for the Fourth Quarter and Full Year Ended 31st March 2026. Today, we have with us Mr. Subhrakant Panda, Managing Director; Mr. Saunak Gupta, Chief Financial Officer; Mr. Sureshbabu Chigurupalli, Head of Ferro Alloys Business Unit; Mr. Sandeep Narade, Head of Mining Business Unit; and Mr. Binoy Agarwall a, Head of Power Business Unit.

We will start the call with the opening remarks by our MD, Mr. Subhrakant Panda, on the business operations, key initiatives and the broad outlook, followed by discussion on financial performance by our CFO, Mr. Saunak Gupta, after which we will open the f orum for a Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement of explanation of this risk is included in our earnings presentation, which has been shared with all of you earlier. The company does not undertake to update these forward -looking statements publicly.

I would like to now invite Mr. Subhrakant Panda to make his opening remarks. Thank you, and over to you, sir.

Subhrakant Panda: Thank you, Savli. And at the outset, I would like to extend a warm welcome to all of you who have taken time out from your busy schedules to attend today's investor con -call to discuss IMFA's Q4 and financial year '26 results. As Savli mentioned, I will start out with a few opening remarks, and then we will go into the Q&A section.

I want to, at the outset, point out that we have uploaded an investor presentation to the stock exchanges, which has all the relevant data available therein relating to production sales numbers, etc. So, we will not be going through those in this con call per se. But of course, any questions relating to it, we will certainly do our best to answer.

At the outset, I would like to say that the fourth quarter of FY '26 has been a very good quarter operationally. We registered production of about a little 68,500 tons. And broadly, I would say it had 2 elements: One, which is as far as the existing facilities at Therubali and Choudwar are concerned, the production numbers were by and large the same. But what is interesting in this output number is that it has some outp ut from our KNR 2 acquisition. As you would know, we closed that deal on February 27.

We switched on the furnaces in March. So, we have about, I think, 2,200 tons odd production included in the quarter. And just as an aside, as far as the ongoing first quarter of FY '27 is concerned, all furnaces are running smoothly, and we are getting approximately 6,000 tons a month output, but more on that later.

Secondly, realizations as compared to the corresponding quarter last year are substantially higher. In fact, in the fourth quarter, broadly about 109,000 tons as compared to roughly INR87,000 a ton. So that is why you see a substantial jump in the PAT from about INR47 crores in the correspondi

ng quarter to INR103 crores in the current quarter.

Costs are up marginally, primarily on account of royalty on chrome, which has gone up a little bit due to elevated ore prices. And thermal coal prices have inched up a little bit. But by and large, I would say we have had a tight focus on costs. And in fac t, if I were to use this as a segue to talk about the West Asia crisis update, I think broadly, direct impact we have seen is in terms of higher freight costs and domestic logistics costs because of increase in fuel prices. But other than that, in terms o f demand, in terms of container availability, shipping space, et c, I think all of that is, by and large under control.

Next, I'd like to give you an update on the various projects as well as the additional hybrid renewable energy that we have signed up. First, on the renewable energy, as you know, we have 70 megawatts signed up with JSW Energy, which is expected to flow in July or so of this year. And we had another agreement for 40 megawatts, which we cancelled on mutual discussions with the developer.

And instead, we have tied up with Enfinity Global for 65 megawatts of hybrid renewable energy, which will come online June of 2027. So, 70 and 65 take the hybrid renewable energy portfolio to 135 megawatts, which will substantially reduce our carbon footprint through abatement of carbon emissions. And of course, we have the benefit of stable prices over the length of these agreements.

Now on to the project updates. As far as the greenfield project, KNR 1 is concerned, it is broadly on track. We are initiating col d trials and pre -commissioning activities from 30th of May onwards, which will continue through June and slight delay of 10 or 15 days in terms of switching on the furnaces, and that is on account of two things, which was temporarily, there was a partial ma npower demobilization because of various reasons, people moving out for elections, etc. So that broke the tempo a little bit , but we are now back at full manpower at site since last week. And work is continuing, of course, at full speed.

And second, of course, for the last 2 to 3 weeks, the midday temperatures are intense, 44, 45 degrees, and that is certainly affecting output to an extent. So, I would say a slight delay, but nothing significant. And we will broadly switch on around July 10 to 15 is what we're expecting.

Secondly, as far as the ethanol project is concerned, we had updated earlier that as against the target of March or April of 2026 that we are seeing a delay in it due to the geopolitical developments and delay in fabrication and supply of some equipment be cause of related factors. So there, I'm happy to report that we are on track. We will be taking up pre -commissioning activities in July, as we have mentioned, and commissioning in Q2 of FY '27. We should be able to start getting output maybe towards the e nd of August or something of that sort.

I think beyond that, what I would like to mention is that stainless steel demand continues to be good, although growth has been about 2% to 3%, but there has been a sharp to 64.157 million tons in the calendar year 2025, globally speaking. But there has been a decline in ferrochrome output globally by about 9.4% to just short of 16 million tons. And that is one of the reasons, along with elevated cost structures which have led to prices firming up. In the ongoing Q1 FY '27, we are seeing margins and price s and therefore, margins higher than what we saw in Q4. So, I think that will enable us to report good numbers during the ongoing quarter.

But of course, that's something we will discuss later. But generally, we continue to be positive about the industry fundamentals, about demand, about the fact that stainless steel production and demand in India is moving up. And I think we are ideally positioned not j

ust to cater to our
international customers as we have been with a 90 -10 export versus domestic sales.

But moving ahead, we are looking to pivot towards more domestic sales and some of that was evident in Q4 itself. But we are confident about industry fundamentals, about our own resilience and cost structure. And we will, of course, keep an eagle 's eye on operational efficiency so that we are able to deliver superior results.

Thank you. Savli, we can move on to the Q&A now.

Moderator: Thank you. The first question comes from the line of Parthiv Jhonsa with Anand Rathi. Please go ahead.

Parthiv Jhonsa: Congratulations, sir, for good set of numbers. Just a couple of questions. The first one is pertaining to the South African tariff, the power tariffs. Now that the government and the local authorities are planning to have the lower tariff for the ferro man ufacturers and a couple of mills are expected to start the operation , the smelters are expected to start the operations. So, what's your take on it?

Like would it have because I think over the last 12 months or 14 months, the actual global output of ferrochrome has been lower, as you mentioned, it's shy of about 16 million tons. So, do you expect this volume to come on stream, which will eventually have some competition for us in the Asian market?

Subhrakant Panda: Okay. So Parthiv, as you know, the South African power tariff situation has been publicly discussed for quite a while now. In 2025, South African ferrochrome production fell off drastically on account of their high costs, power costs, high inl and logistics costs, etc.

And while some of it was made up with the increase in Chinese production, where monthly output went from about 650,000 tons a month to, if I recall correctly, about 950,000 tons in December and sort of those levels thereafter. But nevertheless, as I mentioned in my opening remarks, overall, during the year, ferrochrome production was down by a little more than 9%. So as against th e standard rate of $1.36, first $0.877 was approved. And then Eskom has and the government have agreed to $0.62. And public consultation took place on 25th May from what we read online. I'm not sure if there will be more consultations or that was the only thing which happened. But what we believe is the following that it is actually an interesting scenario where this special tariff is being offered to only 2 producers in a specific sector.

And Eskom today is making a point that they will not need any additional subsidies because of the difference between $1.36 and 0.62. So, they don't need any support. They don't need any fiscal support from the government. They will not pass on or burden the retail consumers with this, and it is overall a better scenario than not selling power.

The thing I don't understand, we are all struggling to understand , is that why did this then have to be sort of almost forced on them. But having said that, that's their prerogative , its their national policy to do what they want to do. What we broadly believe is that from a chrome units perspective, it will, by and large, be sort of neutral in the sense that if ferrochrome production picks up in South Africa as a result of these -- if $0. 62 is finally approved, I believe, first of all, it will come with c ertain conditions like upside sharing and all sorts of things.

But that apart, if it leads to increase in ferrochrome production in South Africa, then it should lead to reduction in ore supplies to China and therefore, lower ferrochrome production in China, maybe moving back towards that 650,000, 700,000 or 750,000 tons sort of a monthly mark. And net-net, you will not see a glut of ferrochrome.

What I will acknowledge is that if ferrochrome production in South Africa picks up and Chinese ferrochrome production doesn't go down, then you will certainly see pressure on prices. But I would argue that it is not something which is going to be unique to IMFA. And in fact, it will put this whole special power tariff arrangement into a tailspin because Glencore has been very vocal in saying that $0.62 is what they need to sort of "survive." But if ferrochrome prices drop down sharply, then $0.62 will not be viable . So, this is a confusing scenario. We'll have to see how it plays out.

But we have strong fundamentals. We are comfortable where we stand. And we believe that by and large, even if these tariffs are approved, it will be sort of net-net neutral in terms of chrome units.

Parthiv Jhonsa: Okay. That's actually quite helpful, sir. Just to take that power point forward because now you are about 135 megawatts of hybrid renewable. So, what is the total power requirement which will be met through this particular hybrid renewable? And what is the cost saving on it, if you can share, sir?

Subhrakant Panda: Okay. So, our power portfolio at the moment is we have 200 megawatts of thermal at Choudwar and 4.5 megawatt peak of solar at Therubali. And of course, we have some off -gas generation of about 5 megawatts at Choudwar. But broadly, in as much as our expansion, which is KNR 1 and the strategic acquis ition, which is KNR 2 is concerned, we broadly need about 100 -odd megawatts of power. We have tied up 135 ; out of that 70 megawatts should start flowing in about July of this year and 65 megawatts, which we have signed up with the second supplier a few day s ago, will be flowing from June of 2027.

And we are also looking to increase our capacity in KNR. As you know, KNR 2 has a partially built 33 M VA furnace capable of producing 50,000 tons. We are working on getting environmental clearances for it. And hopefully, by June of 2027 we will have it up and running. But when we have a little bit more clarity is when we will share some concrete timelines for that.

But broadly, we're looking at June 2027. So, the idea behind hybrid renewable energy is that it reduces our carbon footprint. Secondly, we will have DISCOM power as a backup because, as you know, the combined utilization factor of renewable energy is not as high as it is with thermal coal.

Now in terms of cost savings, by and large, two things. First of all, renewable energy today is at sort of grid parity or a little bit plus/minus. So, I think the benefit will come out of the fact that this is a rate which is steady for the duration of the entire contract, 25 years for the 70 megawatts and 29 years for the 65 megawatts, unless there are any regulatory changes. So those benefits will accrue with time.

But I would also like to point out that what we are seeing in terms of the fresh coal linkages that we are bidding for, and those benefits will start flowing probably from Q3 of this year that coal sourcing through linkages is also the pricing is going to be about INR400 to INR500 a ton cheaper. So those are some advantages in our existing thermal coal generation that we will see, but from H2 of FY '27.

Parthiv Jhonsa: That's quite interesting. Sir, if I may just ask the last one bookkeeping question. Just wanted to quickly check on your capex and your debt position, which you expect for '27 and '28.

Subhrakant Panda: I will ask Saunak Gupta our CFO, to share those numbers?

Saunak Gupta: Yes. On the capex , as you know, we have already spent INR600-odd crores by April. And the balance amount which we have to spend next year is approximately INR450-odd crores. We have taken INR470 crores of term loan , which we have partly utilized by March . We have unutilized balance of INR170 crores from there which we will use along with the internal accruals . We will be managing out the balance of INR450 crores and whatever we think is required .

And we may or may not use the full term loan. But if required, we have INR170 crores of unutilized sanctioned loan . So INR170 plus INR250, roughly INR450 crores should be sufficiently generated by us through our own sanctions we have from banks as well as the profitability that we are getting. So that's the plan. I hope I could answer your question.

Moderator: The next question comes from the line of Anant Sarda with Chhattisgarh Investments.

Anant Sarda: Sir, I want to understand if we have tied the production capacity of Kalinganagar 2 like as a long-term contract? Or are we selling the ferrochrome on spot pricing, sir? And building on that question, sir, what do you think will be the strategy for long -term contract versus spot pricing for Kalinganagar 1 as well?

Subhrakant Panda: Okay. So, Anant, broadly, when we look at our marketing strategy, we look at selling about 70 -odd percent, 70%, 75% against long -term contracts, where essentially whether it is an annual contract or a 5 -year contract, tonnages are fixed and pricing is done either e very month or every quarter. I mean it's monthly in the case of China, quarterly in the case of POSCO and some Japanese customers, et c. But when we talk about spot sales, it's not as if we are selling to random people for the first time. It is broadly cust omers -- repeat customers, but where we don't have a contract blocking that tonnage for any particular length of time.

So, there are certain consumers in India as well as overseas where we sell tonnage regularly, maybe even every quarter, but we don’t , there is no long -term contract where that tonnage is set aside. But spot sales is not really selling to a random person for the first time. So let me put it in that way.

Secondly, as far as our strategy for Kalinganagar 1 and 2 is concerned, our output is going to go from about 265,000 tons, which is where we are in FY '26 to broadly 400,000 tons in FY '27 and 500,000 tons or so, 475,000 to 500,000 tons in FY '28. Now first and foremost, what we are doing is from a 90 -10 in favor of exports, we are looking to be a bout 60 -40 in favor of exports. Our existing long -term customers internationally are interested in additional tonnage, have reached out to us for additional tonnage. So we will be looking to allocate some tonnages there. And we believe domestically, the economy is growing, stainless stee l production is growing, per capita consumption is increasing, and there is space in the market for us to make our presence felt.

So, we will be looking at allocating at least about 200,000 tons to the domestic market in times to come. Now having said that, long term versus spot, traditionally, in India, contracts have always been finalized on tonnage -to-tonnage basis , lot-to-lot basis. But we are talking with a few customers here. And generally speaking, I think they are receptive to the idea of allocating tonnages and pricing it on whichever format. But suffice to say that we are very confident about demand. We are very confident abou t placing these tonnages, and we don't see any issues in that regard.

Anant Sarda: Okay. Sir, regarding the Kalinganagar 2 expansion, there was one 33 MVA furnace, which was partially built. What are time lines for the completion of that furnace, additional 50,000 tons?

Subhrakant Panda: So, in fact, I just mentioned that, but I'll reiterate it. So yes, there is a partially built 33 MVA furnace, which when completed can add another 50,000 tons of output. So because the environment clearances, et c , have to be obtained for that because it has been in that partially built stage for a while. So we are just trying to figure out the time lines. But we would hope to target commissioning around June 2027.
But that is something we need to get a little bit more

clarity about the environmental clearances,
etc. So we will give a formal sort of an update on that perhaps when we discuss Q1 results, et c, in a couple of months. But broadly, we are targeting June 2027, but I want to reiterate that a firm update on what time line is will be shared by us in a few months.
Moderator: The next question comes from the line of Harsh Vasa with SBICAP Securities.
Harsh Vasa: Congratulations on the good set of numbers. Sir, my first question was about the capex on FY '27-'28. I know Saunak sir said about that. But the voices are little muffled. Could you just repeat that?
Saunak Gupta: Yes. In FY '27, what we said is that the balance amount of Kalinganagar and Ethanol projects and the underground mines in Sukinda that we are investing. Total amount of INR450 crores planned towards capex . From that , major portion of in vestment will be through our internal accruals. But we still have unutilized term loan of approximately INR170 crores, which we can use. As the time progresses, we will see the ideal mix to use the term loan and the internal accruals.
Harsh Vasa: Okay. And sir, capex for FY '28?
Saunak Gupta: For FY '28, other than the routin e capex , primarily the balance portion of the mines will be there, which will be to an extent of approximately INR700-odd crores. But INR700 crores is not in FY '28. We have not yet calculated the exact amount. So at least a major portion of that will be in FY '28.
Moderator: The next question comes from the line of Aashav Patel with Molecule Ventures PMS.
Aashav Patel: Congratulations to the entire team for a stable set of numbers during challenging macro environment. So sir, my first question is with regard to our hedging policy. So can you explain it at length broadly what is our hedging policy? Because it looks like t here is a sharp jump in other expenses for the quarter, which could be pertaining to that. And also the realization improvement is not as much as visible how the rupee depreciated during the quarter. So that would be very helpful.
Subhrakant Panda: So I'll give a brief remarks on this and then Saunak can step in with details. So in fact, as far as the mark -to-market notional loss that we have booked is concerned, that is there in the notes to accounts, you can see that.

And secondly, the point, broadly, what we do is we look to hedge about 25% to 30% of our outstandings at any of our net foreign exchange exposure and primarily try to make balance the downside while also locking in some of the upside. What happens in a sce nario when you have had a sudden jump from INR88, INR89 to first INR93 and then now about INR95, INR95, INR96 or so. That is where it has an impact.
Of course, a lot of it is notional, not realized, not actual losses. That is number one. And secondly, actually, the top line does capture the rupee depreciation. I mean, obviously, we can't distinguish it and show it aside separately. But broadly, if you look at it Q4 of last year to Q4 of FY '26, the tonnage gain is about 2,500 tons, which is not significant. But the jump in realization is from INR87,000 a ton to INR109,000 a ton. I mean, in terms of dollar prices, it has not moved up significantly.
I mean it has moved up, not so significantly, and a lot of it has also come in from the rupee depreciation. But Saunak, would you want to explain a little bit more on the hedging policy?
Saunak Gupta: Yes, you have explained most of the things. Based on t he probability that rupee may appreciate in future, we have internal policy to keep hedged amount at around 25% of our total exposure. 90% of our total sales is in exports and all in dollars. So that's how we hedge and it is mostly the

forward for next 12 to 18 months. Now what we see in the financial accounts , whatever forex gains are coming from the full exports are a

ctually recorded in the revenue or it's embedded there. So it's not seen separately .

But whatever is actually hedged out, the differential on actual For ex loss or on the mark -to-market is shown separately in the other expenses. So as said earlier, as on 31st December, the USD to INR was INR89.9, which increased to INR94.65 as on 31st March due to the volatile market. Now for the accounting purposes, this difference has to be shown as a provision or what we call as a notional loss in the books, though it may not be the actual loss. Whatever we have booked for next 12 to 18 months, under mar k to market accounting, we are showing it as a notional forex loss amount, which you see in the investor deck, I have said about INR28 crores of that is actually the notional amount which has been put in. Actual during this quarter, even though there has been a sharp depreciation of rupee, but the actual loss is only limited to INR3 crores.

Whereas our Forex gain almost for the full year, which is embedded in the revenue is almost INR80 crores plus than what we had budgeted. So that's basically the accounting standard, for which in the face of the P&L, it looks that there is a hit, but the actual gain is embedded in revenue .

Aashav Patel: Sir, moving on my second question is that we were hopeful of reducing our EBITDA cost per ton by INR3,000, INR4,000 once due to operational synergies once the KNR 2 is up and running. Now that we are already on track in terms of operating the KNR 2. So are you able to feel the benefits already in the numbers? Or what's the outlook there?

Subhrakant Panda: Okay. So slight clarification to that, Aashav, which is that when entire KNR complex comprising 1 and 2 is up and running is where we are looking at a weighted average reduction in EBITDA cost by INR3,000 to INR4,000 on account of better logistics . So not just KNR 2, but KNR 1 and 2 taken together. And obviously, KNR 2 operations have stabilized. KNR 1 is yet to start. But the benefits will really start flowing after the furnace operation stabilizes in both areas because two things I want to point out.

First of all, there will be certain start -up costs, which are one -off. Until furnaces stabilized when we are drawing DISCOM power, until and unless you're above 80% or 90% plant load factor, your power cost doesn't become economical, whereas when you're in the heating up mode, we are actually consuming very little power and th at is priced fairly expensive. So these little aberrations will be there, not significant, but these sorts of aberrations will be there.

I will share one other example. As part of the KNR 2 acquisition from Tata Steel, we are also from the 1st of June, taking over the GNA RE corridor, which is the transmission corridor for renewable energy, which they had for the KNR 2 site. So that has com e to us from 1st June, but the power will start flowing from, let's say, July end or something of that sort. So a couple of months, we will be paying fixed charges, which is not significant INR2 crores, INR2.5 crores or thereabouts, for the corridor witho ut actually utilizing it. But these are -- you cannot perfectly time it to a 24 -hour period that renewable energy is available and the corridor is available.

So these little aberrations will settle down after a couple of quarters. When I say short term, I mean, let's say, from November, December onwards, we will start seeing the full -fledged benefits of improved logistics costs and proper utilization of things like the GNA RE corridor, which will give us benefits.

Moderator: The next question comes from the line of Joe Shah from Seven Seas.

Joe Shah : Number one, with the URJA Strot , what is the rate we have finalized for the 55 megawatt.

Subhrakant Panda: We are not sharing commercial information on that. But suffice it to say that

it is fairly attractively priced.

Joe Shah : Okay. Another thing now KNR 1 and KNR 2, everything is going well. Congratulations for that. Now KNR1, I understand that there is a further plan to put up furnaces to 200,000 tons additional capacity, which will take us from 500,000 tons to 700,000 tons. Can you throw some light on this, how we are planning?

Subhrakant Panda: No. That is not the case. So just to clarify, as far as KNR 2 is concerned, we have acquired 100,000 tons, partially built furnace when it is completed, we'll add 50,000 tons. So that's 150,000. And as far as KNR 1 is concerned, it is for 100,000 tons.

We have land for a third furnace, but that's a call we will take later. And what you are talking about 220,000 tons clearance for Phase 2 expansion, that was prior to the acquisition. So we were putting up KNR 1 as a greenfield, and we were looking at a second phase expansion.

But now that we have acquired the Tata Steel unit, that second phase expansion is not something that we are pursuing. But yes, in KNR 2, we will complete the partially built furnace. And in KNR 1, we will evaluate whether we would like to add one more furnace or not and what is the time line for that.

Moderator: The next question comes from the line of Vinit Thakur with Plus91 AMC.

Vinit Thakur: Most of my questions have been answered. So if you could just shed some light on the expansion for mining capacity of chrome.

Subhrakant Panda: So I'll just give a broad overview. Of course, Sandeep Narade, our Mines BU Head, is available on the call if more details are required. So as you know, a few years ago, we were mining about 6 lakh tons per annum from open cast and underground, last year, we crossed 7 lakh tons. FY '26, we crossed 8 lakh tons. And FY '27, the target is for 10 lakh tons.

We will be at the 10 lakh ton mark for a couple of years, and then we will gradually take it up to 12 lakh tons. The eventual plan, which is what we are spending that close to INR1,000 crores for is to sustain output at 12 lakh tons per annum and entirely from underground. So Mahagari as against 6 lakhs, we are already at 536,000 from underground operations. And so that is pretty much maxing out. I mean we'll go up a little bit more.

As far as Sukinda is concerned, we are still in the 3 lakh to 4 lakh tons open cast ore. That will gradually peter off and we will move into underground operations. And that will also be 6 lakhs. So 6 plus 6 is what is giving us 12 lakhs. In these 2, 3 years that we are mining only about 10 lakhs and our requirement is 12 lakhs.

That is where we have quite a substantial ore inventory that will slowly start normalizing from next year onwards because we'll be eating into that inventory. So broadly, I hope I have clarified that. If there are any specific questions, we have the Mines BU head to answer.

Vinit Thakur: And sir, what would be our targeted EBITDA per ton for ferrochrome and what is the current for this year as well .

Subhrakant Panda: So look, I mean, ferrochrome is a volatile sector. We have a great degree of confidence about our costs. The only exception to that being metallurgical coke, which we procure from outside.

And of course, thermal coal prices also move up and down, and that is where once we have more of hybrid renewable energy coming in, that's more of a steady cost, as I said, barring regulatory changes, the rate remains the same. But the question here is in terms of realizations.

And first and foremost, we certainly don't look beyond a couple of quarters , we don't forecast prices, and we don't look at more than a couple of quarters to be a little conservative in this regard.

But we do feel that due to cost pressures, ferrochrome prices in line with other commodities are going to remain elevated. In fact, currently, I would say domestic prices are in the IN

R118,000
to INR120,000 a ton mark, which is a little bit higher than what we have seen in Q4 of FY '26.

And even export realizations are in excess of INR120,000 a ton. And that is a combination of prices having moved up a little bit and of course, the rupee depreciation factor coming into play. So, we are broadly confident about the mid to long -term sort of demand cycle and what that will translate to in terms of elevated ferrochrome prices. There is a lot of talk also if you look at it about the commodity super cycle. But leaving that aside, I thin k broadly because of underinvestment in newer capacity and creating new capacity, we believe that we will see a sort of a prolonged period of relatively elevated prices. So, a little difficult for us to give targeted EBITDA per ton per se. But Saunak, I don't know if you would like to add anything to this?

Saunak Gupta: No, I think you have already explained the whole matter and specifically in the volatile market, we usually don't give any future projection on the EBITDA. But on the quarter 1 side, we see a similar price realization and definitely, we expect to do well in quarter 1.

Moderator: The next question comes from the line of Pranav Jain with A geless Capital and Finance.

Pranav Jain : Really happy to see KNR 2 already at 70% utilization levels. Just two clarifications from my end. Was it this year that we are targeting a 60 -40 export versus domestic split?

Subhrakant Panda: We are looking at going from 90 -10 to 60 -40 by sometime next year. I mean, first and foremost, the added capacity from KNR 1 also needs to come on board. And that will realistically, as I said, one furnace we're looking to switch on by about 10th to 15th Jul y and the next furnace around end August, early September, so the first pre -commissi oning will start in a few days. Switching on is slightly delayed in the first furnace, but slightly advanced in the second furnace. So I think it overall averages out in terms of our output target for the year. But once that is done we will hit an annualized rate of 5 lakh tons by November, December of this year. And that is when we will broadly start looking at 60 -40.

Pranav Jain : Got it, sir. And just second was considering that our Kalinganagar capacities are coming up largely in the first half of the financial year, along with some part of renewable energy also starting. So towards the second half, can we expect that EBITDA cost to go down by a couple of thousand tons going back to 78,000, 79,000 tons that we used to do earlier?

Subhrakant Panda: I mentioned a little while ago that what we were indicating in terms of INR3,000 to INR4,000 a ton savings, that will come when the entire capacity is online. And yes, you are right that by H2, the KNR 1 will be online. And of course, KNR 2 is already operating. But again, as I mentioned, give us a few months for these aberrations in terms of start -up costs and all that to sort of settle down. So, I mean I don't want to overcommit and give explanations and thereafter have to explain.

But when we achieve a steady -state operation is when we will see it. So I think that will be towards the end of the year or to be on the safer side, if I say, from Q4 of FY '27 onwards is when we would truly have steady -state operations across the board.

Moderator: The next que stion comes from the line of Sa ket Kapoor with Kapoor & Company.

Saket Kapoor: First, a clarification that it is the unhedged part of our forex contract that has resulted in the profitability going down by INR30 crores, INR34 crores for this quarter. And with this kind of depreciation not continuing for the next, that will not be factored for the next quarter. That is how our earnings have been...

Subhrakant Panda: No. Let me ex

plain. The hedging that we had done 6 months, 8 months ago, which was all at the realizations, would have been 88, 89, 90, so to say, which at that point in time with a rate of 85, 86, 87 was looking attractive. When you have had the West Asia crisis and suddenly rupee has dipped to 94, 95 levels, that 25% to 30% that we have hedged, that is what i s resulting in the mark -to-market losses. That is number one. And sorry, the second point you were making, please remind me about that again?

Saket Kapoor: I am looking that this is not going to repeat in the ensuing quarter since we have been mark -to-market and for the entire hedge and the unhedged portion?

Subhrakant Panda: Well, so you know what, if the rupee appreciates, actually, some of that will result in a mark -to-market gain. But broadly, I think Saunak can confirm what was the rupee closing for Q4? What is that pegged to?

Saunak Gupta: So it was INR93.65. And now it is again at INR95, INR96, but the swing of almost from INR89.9 to INR93.65 that was almost INR3.75. If that much swing does not happen, obviously, we will not be getting that level of hit. But it is a relative matter between quarter -to-quarter.

Subhrakant Panda: But Saket, I want to reiterate 2 things. First and foremost, that this is notional. And if the rupee swings back a little bit to below INR93.65, then we actually record a mark -to-market gain. And again, I reiterate that whatever mark -to-market we are recording is on 25% to 30% of our foreign exchange earnings, whereas 70% is where we are gaining. So overall rupee depreciation is still good f or us. That is one. Secondly, if you dive a little deeper into the Q4 results and Q4 versus Q3, so l et's look quarter -on-quarter. One is the mark -to-market on foreign exchange hedging. Secondly, there is about INR16 crores, INR17 crores reduction in other income, and that is on account of the investment income we were getting from the large cash balances, which we then drew down and we paid for the acquisition from internal accruals. So cash in the books has gone down from INR900-odd, INR950 crores to about INR400 crores, INR450 crores.

So to that extent, investment income has gone down, but we are deploying that into assets which will give us more returns because investment returns is giving us about 6.5%, 7%, 7.5%, those sorts of returns, right, because we are deploying it fairly conserva tively. And secondly, also, I think whatever investments are there, on March 31 itself, the NAV was a little subdued, which is why some MTM is there on that as well. So when markets stabilize, then there will be some MTM gains as well.

Saket Kapoor: Right, sir. You have been very categorical whenever you speak to investors that you have visibility for 2 quarters down the line at best because of the volatile nature of the segment. So sir, how are we visualizing H1 to behave in terms of realizations ?

And lastly, at what price have been the revision for our contracted quantity benchmark If you could just give us some color how will H1 shape up as you vision today.
Subhrakant Panda: So one point, Saket, I want to make is that conviction is there beyond 2 quarters. But visibility you never know how things shape up, which is why we don't like to give any sort of forecast beyond a couple of quarters. But first and foremost, I want to re iterate that I have the conviction about elevated commodity prices because of a variety of reasons, cost pressures, underinvestment in creating new capacity, et c. And of course, our own resilience and fully integrated business model, whic h gives us that comfort.
Now to come to what H1 is looking like. First of all, as I said, Q1 is looking definitely better than Q4 of FY '26. Q1 FY '27 is definitely looking better. Prices have moved up a little bit more , and the higher output comes into play.
A

s against sales of about 65,000, 67,000 tons a quarter that is normal for us. In Q1, we will be looking at about 80,000 tons because of the additional output from KNR 2, which is coming in. And as far as Q2 of the quarter is concerned, which is July to September, in another 15, 20 days, we will start getting a flavor of what the price will be like. We expect it to be around the same as Q1 as of now. That's the expectation.
Moderator: The next question comes from the line of Anant Sarda with Chhattisgarh Investments.
Anant Sarda: Sir, in FY '27, we are saying that according to the presentation that our ferrochrome capacity will be close to 484,000 tons. And also in the same year, We are also going for a hybrid renewable of 135 megawatt. So may I understand how much proportion of this ferrochrome we made from renewable? And how much will be grid and how much will be coal -based? Is there any kind of bifurcation that you have in your mi nd?
Subhrakant Panda: You mentioned about FY '27 capacity, 484,000 tons. I just want to clear that normally, while we don't give volume guidance, but because we are in a growth phase for FY '27 and FY '28, we have given some indicated volume numbers. And for FY '27, the expected output is about 400,000 tons, which will go up to about 475,000 to 500,000 tons for FY '28. And again, our Power BU head is on the call, Binoy Agarwalla, he can share more details if necessary. But broadly, I would say that next fiscal, FY '28, we broadly would expect about 35% to 40% of our total energy consumption to be from renewable sources.
Moderator: The next question comes from the line of Pragyam Laddha with Omn ee Securities.
Pragyam Laddha: Sir, all my questions have been thoroughly answered. Just two more questions. First, would there be -- you said that there might be some one -offs when you are starting these plants. So can you throw a bit more light on it –, Would you be able to quantify it, I mean?
Subhrakant Panda: Pragyam, difficult to quantify at this point in time, but see, these are brand -new furnaces, which will come into play. So the heating period and there will be a heating of about 10 to 12 days, following which you'll be gradually stepping up load. So that is the period where 2 things will happen. First of all, you are consuming electricity without getting any output. That is one.

That we may be able to quantify, although we don't have the numbers with us offhand to mention that to you. But I was also referring to things like when you're drawing from DISCOM power, until and unless you cross 80% and ideally 90% levels, your rates per unit cost is high, and it starts dropping after 60 and goes down quite a bit noticeably after 90.
So it is only when we are running on a full -fledged basis that we will achieve 90% or perhaps even 95% power factor and things like that. So, in the initial heat up phase, you are both consuming power without output for a couple of weeks as well as that per unit rate is a little on the higher side. That was what I meant by one -offs. And the other example I gave is, for example, the GNA RE corri dor, which has transferred, but you can never time the availability of the corridor to the flow of power.
So, we would much rather bear the fixed cost for a month or two as opposed to not be able to have the power flow. As it happens, we are getting the GNA RE corridor from Tata Steel from June 1 onwards and 65 megawatts and 70 megawatts will start flowing from, I would say, July end or so.
Moderator: The next question comes from the line of Kaushal Kedia with Wallfort PMS.
Kaushal Kedia: Sir, recently, you made a statement in the business standard saying that you have aspirations to go for other critical minerals. And taking into consideration that we will be generating substantial cash in the next -- going forward after maybe 1 yea

r, we'l l again have a major portion of our
cash in the balance sheet. So can you just throw some light as to where you want to be or what is the aspiration? I know it's very difficult to say right now. It's a far long short right now. It's a far -fetched prospect right now. But what is your thought process like and there are nickel mines available in Odisha, and I believe somewhere in Sukinda. So what is your thought process as to where you want the company to be in the next 5 years?

Subhrakant Panda: So Kaushal, one lighthearted comment to begin with, certainly not far-fetched , but something that we are working on seriously, but I was just making it on a lighter note. And one correction, lithium mines not in Sukinda, not in Odisha to the best of my knowledge as well. But now to get to what is the critical minerals aspirations that we have.

So what is very clear is that in as much as critical minerals or rare earth elements is concerned, that is more up our really adjacent to our skill set of prospecting mining and doing one or more levels of value addition. Clearly, the technology and the sc ale is very different when it comes to critical minerals as compared to bulk minerals like because here, we are talking lakhs of tons. There, you may be talking tens of thousands of tons, not -- and in some cases, even hundreds of tons, not even thousands of tons. So, the technology may be different. The scale may be different. But broadly, it is adjacent to our skill set with regard to mining and processing of minerals. So that is what we are looking at.

Now secondly, we are looking to participate in some of these critical mineral blocks, which are coming up in Odisha and elsewhere in the country.

In the past year or so, we have bought a document for a few of these blocks to understand the process. We haven't really participated in any. Going ahead, we are looking to do that. Beyond that, all that I can say is that we are working very diligently on creating sort of a plan of action as to what we are targeting.

And I mean, I'm afraid there is not much details that I'll be able to share at this point in time. But hopefully, sooner rather than later, we are certainly looking to participate. And hopefully, sooner rather than later, we will be able to become the pref erred bidder for one or more blocks and then throw more light on what our strategy is.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Subhrakant Panda, the MD for their closing remarks.

Subhrakant Panda: Thank you very much. I think it's always interesting and fruitful for us to engage with all of you because we not only get to share our numbers and talk about strategy and talk about what we are doing. But as I think, said without fail in every investor ca ll, I think your questions force us to think deeper and you come up with insights which are useful. So thank you very much for taking time out, and thank you for your interest in IMFA.

What we are committed to is transparently sharing what we are doing, where things are going right, where things might be a little bit off track. But our commitment to transparency, our commitment to focusing on our strengths and operational efficiency to l ead to deliver superior performance remains uncha nged.

And we do look forward to continuing to interact with you not just in these quarterly results calls, but even at other opportunities, and we will certainly look to answer your questions to the best of our ability. If anything has got left out that you coul dn't ask or if you think of it later, please do reach out to us, reach out to the IR agency, reach out to Saunak, and we will certainly do our best to respond to these questions. Thank you once again for your time and your interest.

Moderator: Thank you, sir. Ladies a

nd gentlemen, on behalf of Indian Metals and Ferro Alloys Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.